

SENATE BILL 2690

By Johnson

AN ACT to make appropriations for the purpose of defraying the expenses of the state government for the fiscal years beginning July 1, 2025, and July 1, 2026, in the administration, operation and maintenance of the legislative, executive and judicial branches of the various departments, institutions, offices and agencies of the state; for certain state aid and obligations; for capital outlay, for the service of the public debt, for emergency and contingency; to repeal certain appropriations and any acts inconsistent herewith; to provide provisional continuing appropriations; and to establish certain provisions, limitations and restrictions under which appropriations may be obligated and expended. This act makes appropriations for the purposes described above for the fiscal years beginning July 1, 2025, and July 1, 2026.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. That appropriations hereinafter set out are hereby made for the purpose of defraying the expenses of state government for the fiscal year beginning July 1, 2026, in the administration, operation and maintenance of the legislative, executive and judicial branches of the various departments, institutions, offices and agencies of the state, and for certain state aid and obligations and for capital outlay; for the service of the public debt, and for emergency and contingency, all according to the following schedule:

I. LEGISLATIVE		<u>2026-2027</u>
1. Legislature		
1.1 General Assembly Support Services	\$	14,240,200.00
1.2 House of Representatives		34,380,700.00
1.3 State Senate		19,714,600.00
1.4 Legislative Administration Services		10,252,700.00
1.5 Tennessee Code Commission		68,900.00
Total Legislature.....	\$	78,657,100.00
2. Fiscal Review Committee		3,089,300.00
Total Title I	\$	81,746,400.00
II. JUDICIAL		

1.	Appellate and Trial Courts	\$	93,585,500.00
2.	Supreme Court Buildings.....		3,458,300.00
3.	Child Support Referees		1,263,100.00
4.	Guardian Ad Litem.....		11,047,500.00
5.	Indigent Defendants' Counsel.....		66,394,700.00
6.	Civil Legal Representation Fund.....		3,327,900.00
7.	Court Interpreter Services.....		2,500,700.00
8.	Verbatim Transcripts		5,468,400.00
9.	Tennessee State Law Libraries		74,500.00
10.	Council of Juvenile and Family Court Judges		60,300.00
11.	Judicial Conference		373,700.00
12.	Judicial Programs and Commissions.....		946,800.00
13.	State Court Clerks' Conference		260,100.00
14.	Administrative Office of the Courts		60,925,600.00
15.	Appellate Court Clerks.....		1,750,300.00
16.	Board of Law Examiners		1,199,800.00
17.	Board of Professional Responsibility		4,607,800.00
18.	Tennessee Lawyers Assistance Program.....		612,500.00
19.	Continuing Legal Education.....		1,101,700.00
20.	Client Protection Fund		208,500.00
	Total Title II.....	\$	259,167,700.00

III. EXECUTIVE

1. Constitutional and Quasi-Judicial Offices

1.	Attorney General and Reporter		
1.1	Attorney General and Reporter	\$	59,171,900.00
1.2	Publication of Tennessee Reports.....		413,600.00
1.3	Special Litigation		5,289,700.00
	Total Attorney General and Reporter.....	\$	64,875,200.00
2.	District Attorneys General Conference		
2.1	District Attorneys General.....	\$	160,037,400.00
2.2	Executive Director		5,657,400.00
	Total District Attorneys General Conference	\$	165,694,800.00
3.	Secretary of State		
3.1	Secretary of State	\$	21,030,900.00
3.2	State Election Commission.....		1,641,500.00
3.3	Public Documents		516,400.00
3.4	State Library and Archives		16,600,400.00
3.5	Regional Library System		10,794,800.00
3.6	Bureau of Ethics and Campaign Finance		1,505,100.00
	Total Secretary of State.....	\$	52,089,100.00
4.	District Public Defenders Conference		
4.1	District Public Defenders	\$	87,344,500.00

4.2	Executive Director	4,071,400.00
4.3	Shelby County Public Defender	6,951,400.00
4.4	Davidson County Public Defender	3,038,100.00
	Total District Public Defenders Conference	\$ 101,405,400.00
5.	Comptroller of the Treasury	
5.1	Division of Administration	\$ 1,988,000.00
5.2	Office of Management Services	4,397,100.00
5.3	Division of State Audit	22,411,300.00
5.4	Division of Local Government Audit	15,564,600.00
5.5	Communications and Public Affairs Office	1,041,400.00
5.6	Division of State Government Finance	904,100.00
5.7	Division of Property Assessments	13,196,000.00
5.8	Tax Relief	51,265,100.00
5.9	State Board of Equalization	1,718,000.00
5.10	Office of Research and Education Accountability	1,925,700.00
5.11	Office of State Assessed Properties	1,873,100.00
5.12	Division of Technology Solutions	11,616,700.00
5.13	Division of Investigations	6,570,700.00
5.14	Division of Local Government Finance	2,014,300.00
5.15	Office of General Counsel	1,743,800.00
5.16	Division of Health Provider Reviews	348,100.00
	Total Comptroller of the Treasury	\$ 138,578,000.00
6.	Office of the Post-Conviction Defender	\$ 4,458,500.00
7.	Treasury Department	
7.1	Treasury Department	\$ 2,901,300.00
7.2	Certified Public Administrators	407,300.00
7.3	TN Stars College Savings 529 Program	920,800.00
7.4	Electronic Monitoring Indigency Fund	210,500.00
7.5	LEA Public School Construction Maintenance	111,889,100.00
	Total Treasury Department	\$ 116,329,000.00
8.	Claims and Compensation	
8.1	Criminal Injuries Compensation	\$ 14,269,100.00
8.2	Unclaimed Property	10,537,500.00
	Total Claims and Compensation	\$ 24,806,600.00
	Total Title III-1	\$ 668,236,600.00

The appropriation made under Title III-1, Item 8.1, may be increased or decreased as realized receipts of the Criminal Injuries Compensation Fund justify, subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51. To the extent that receipts of the fund are insufficient to meet the fund's expenditure requirements, there is hereby appropriated a sum sufficient to support such expenditures.

2. Executive Offices

1.	Executive Department		
1.1	Governor's Office	\$	7,401,500.00
	Total Executive Department	\$	7,401,500.00
2.	Commissions		
2.1	Commission on Children and Youth	\$	5,870,200.00
2.2	Health Facilities Commission		28,871,600.00
2.3	Corrections Institute		7,836,700.00
2.4	Tennessee Public Utility Commission.....		8,808,600.00
2.5	Advisory Commission on Intergovernmental Relations.....		161,400.00
2.6	Council on Developmental Disabilities.....		623,200.00
2.7	Sports Wagering Advisory Council		6,955,200.00
2.8	Arts Commission		15,711,300.00
2.9	State Museum		15,126,000.00
2.10	Inmate Disciplinary Oversight Board		2,079,000.00
2.11	Tennessee Housing Development Agency		30,000,000.00
2.12	Alcoholic Beverage Commission		4,860,400.00
	Total Commissions.....	\$	126,903,600.00
3.	Department of Finance and Administration		
3.1	Division of Administration	\$	6,499,300.00
3.2	Division of Accounts		4,922,400.00
3.3	Division of Budget		6,206,500.00
3.4	Criminal Justice Programs.....		9,467,200.00
3.5	Volunteer Tennessee		469,300.00
3.6	Vehicle Tag and Analogous Fees.....		7,200,000.00
3.7	Office of Evidence and Impact.....		3,914,800.00
	Total Department of Finance and Administration	\$	38,679,500.00
4.	Department of General Services		
4.1	Real Estate Asset Management	\$	8,582,300.00
4.2	Printing and Media Services.....		1,167,400.00
4.3	Governor's Early Literacy Foundation.....		14,454,000.00
4.4	Capital Projects Programming		1,086,600.00
4.5	Statewide Capital Maintenance		40,191,100.00
4.6	Motor Vehicle Management.....		1,673,200.00
4.7	Postal Services		82,200.00
4.8	Megasite Authority of West Tennessee		1,053,500.00
4.9	Megasite Water and Wastewater Authority.....		1,000,000.00
4.10	Multi-Agency Law Enforcement Training Academy		3,279,500.00
	Total Department of General Services	\$	72,569,800.00
5.	Department of Veterans Services		
5.1	Administration	\$	9,479,900.00
5.2	Tennessee State Veterans Cemeteries.....		4,232,000.00
	Total Department of Veterans Services	\$	13,711,900.00
	Total Title III-2	\$	259,266,300.00

3. Department of Agriculture

1.	Administration and Grants	\$	62,530,200.00
2.	Consumer and Industry Services.....		7,459,800.00
3.	Business Development.....		3,876,400.00
4.	Agricultural Resources Conservation Fund.....		7,187,500.00
5.	Forestry Operations.....		34,611,200.00
6.	Forestry Maintenance		1,000,000.00
7.	Certified Cotton Growers' Organization Fund		250,000.00
8.	Agricultural Regulatory Fund		12,087,300.00
9.	Animal Health		4,204,000.00
10.	Technical Services		7,186,300.00
Total Title III-3			\$ 140,392,700.00

4. Department of Tourist Development

1.	Administration and Marketing	\$	51,335,200.00
2.	Welcome Centers.....		15,367,200.00
Total Title III-4			\$ 66,702,400.00

5. Department of Environment and Conservation

1.	Administrative Services	\$	16,396,700.00
2.	Recreation Educational Services		930,800.00
3.	Archaeology		1,712,800.00
4.	Geology		861,500.00
5.	Tennessee State Parks		79,004,700.00
6.	State Parks Maintenance.....		12,729,100.00
7.	Natural Areas		2,558,400.00
8.	Historical Commission		4,459,500.00
9.	Maintenance of Historic Sites		411,500.00
10.	West Tennessee River Basin Authority.....		2,387,700.00
11.	West Tennessee River Basin Authority Maintenance		1,615,500.00
12.	Environment Administration.....		1,341,800.00
13.	Used Oil Collection Program		1,390,500.00
14.	Tennessee Dry Cleaners Environmental Response Fund.....		2,004,500.00
15.	Air Pollution Control.....		4,397,000.00
16.	Radiological Health.....		2,803,700.00
17.	Division of Water Resources		29,053,900.00
18.	Solid Waste Management.....		3,249,200.00
19.	Abandoned Lands		580,900.00
20.	Hazardous Waste Remedial Action Fund		6,762,500.00
21.	Underground Storage Tanks		27,409,100.00
22.	Solid Waste Assistance		7,829,200.00
23.	Environmental Protection Fund.....		66,831,000.00
24.	Clean Water and Drinking Water State Revolving Fund		6,357,400.00
25.	Office of Sustainable Practices		2,021,300.00

26.	Office of Energy Programs	1,381,400.00
27.	State Facility Utility Management.....	850,300.00
28.	State Lands Compensation Fund	345,000.00
29.	Conservation Compensation Fund	12,000.00
30.	Local Parks Acquisition Fund	3,900,300.00
31.	State Lands Acquisition Fund	3,067,500.00
32.	Division of Mineral and Geologic Resources.....	1,398,000.00

Total Title III-5\$ 296,054,700.00

6. Tennessee Wildlife Resources Agency

1.	Wildlife Resources Agency.....\$	63,974,600.00
2.	Boating Safety	12,585,400.00
3.	Wetlands Acquisition Fund	21,838,000.00
4.	Wetlands Compensation Fund	555,900.00

Total Title III-6\$ 98,953,900.00

The appropriation made under Title III-6 may be increased or decreased as realized receipts of the Wildlife Resources Fund justify, subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51.

7. Department of Correction

1.	Administration\$	68,491,600.00
2.	Office of Investigations and Conduct	15,010,800.00
3.	Correction Academy	8,710,800.00
4.	Probation and Parole Field Supervision.....	138,264,700.00
5.	Sex Offender Treatment Program.....	2,030,200.00
6.	State Prosecutions	151,300,400.00
7.	Correction Release Centers	650,000.00
8.	Debra K. Johnson Rehabilitation Center.....	48,938,300.00
9.	Turney Center Industrial Complex	70,599,700.00
10.	Mark Luttrell Transition Center	25,078,900.00
11.	Bledsoe County Correctional Complex	118,432,600.00
12.	West Tennessee State Penitentiary.....	120,622,600.00
13.	Riverbend Maximum Security Institution.....	53,667,400.00
14.	Northeast Correctional Complex.....	71,267,600.00
15.	Northwest Correctional Complex	95,873,700.00
16.	Morgan County Correctional Complex.....	110,818,200.00
17.	Lois M. DeBerry Special Needs Facility	90,949,000.00
18.	Hardeman County Incarceration Agreement.....	56,196,900.00
19.	Hardeman County Agreement – Whiteville	51,702,600.00
20.	South Central Correctional Facility	62,191,000.00
21.	Trousdale County Incarceration Agreement	88,278,300.00
22.	Community Rehabilitative Services	20,965,000.00
23.	Major Maintenance	9,861,500.00

Total Title III-7\$ 1,479,901,800.00

8. Department of Economic and Community Development

1.	Administrative Services	\$ 11,489,100.00
2.	Business Development	8,190,000.00
3.	Innovation Programs	51,894,000.00
4.	Policy and Federal Programs	740,400.00
5.	Economic Development District Grants	3,613,900.00
6.	FastTrack Infrastructure and Job Training Assistance	25,006,400.00
7.	Film and Television Incentive Fund	28,687,100.00
8.	Community and Rural Development	45,636,900.00
9.	Broadband Accessibility	324,700.00

Total Title III-8\$ 175,582,500.00

9. Department of Education

1.	Administrative Services	
1.1	Administration	\$ 13,321,000.00
1.2	State Board of Education	3,476,300.00
1.3	Charter School Commission	5,521,700.00
1.4	Textbook Commission	914,800.00
1.5	Education Freedom Scholarship Program	303,920,000.00
2.	Pre-Kindergarten, Kindergarten, Elementary, and Secondary	
2.1	State Programs	
a.	Centers of Regional Excellence (CORE)	95,454,500.00
b.	Career Ladder	4,958,900.00
c.	Tennessee Investment in Student Achievement (TISA)	7,121,228,000.00
d.	Driver Education	1,700,000.00
e.	Academic Offices	36,324,200.00
f.	Grants-in-Aid	78,891,200.00
g.	Technology, Infrastructure, and Support Systems	9,616,800.00
h.	Data and Research	32,556,200.00
i.	Early Childhood Education	106,834,400.00
j.	Non-Public Education Choice Programs	4,632,200.00
k.	After-School Programs Special Account (Lottery-Funded)	19,346,300.00
2.2	Federally Funded and Supported Programs	
a.	Improving Schools Program	3,395,200.00
b.	School Nutrition Program	4,836,300.00
c.	Special Education Services	1,197,200.00
d.	ESSA and Federal Programs	2,494,200.00
3.	College, Career and Technical Education	14,914,400.00
4.	Special Schools	

4.1	Alvin C. York Institute	8,773,700.00
4.2	Tennessee School for the Blind.....	20,194,600.00
4.3	Tennessee School for the Deaf	27,056,800.00
4.4	West Tennessee School for the Deaf	4,262,000.00
4.5	Major Maintenance.....	239,100.00
	Total Title III-9	\$ 7,926,060,000.00
10.	Higher Education	
1.	Administration and Support Services	
1.1	Tennessee Higher Education Commission.....	\$ 8,071,900.00
1.2	Contract Education.....	2,396,100.00
1.3	Tennessee Student Assistance Awards	125,262,500.00
1.4	Tennessee Student Assistance Corporation.....	3,180,300.00
1.5	Loan/Scholarship Programs	1,052,500.00
1.6	THEC Grants.....	20,651,200.00
1.7	Lottery for Education Account (Lottery-Funded)	382,916,100.00
1.8	Higher Education Capital Maintenance.....	50,000,000.00
2.	Excellence Initiatives	
2.1	Academic Scholars Program	1,211,800.00
2.2	Centers of Excellence	21,381,800.00
2.3	Campus Centers of Emphasis.....	1,547,400.00
	Total Administration and Support Services and Excellence Initiatives.....	\$ 617,671,600.00
3.	University of Tennessee System	
3.1	Administrative and Other Services	
a.	UT University-Wide Administration.....	\$ 7,155,700.00
b.	UT Institute for Public Service	9,461,500.00
c.	UT Municipal Technical Advisory Service	5,107,000.00
d.	UT County Technical Assistance Service	4,527,900.00
e.	UT Student Success and Innovation Initiative	5,806,700.00
f.	UT Space Institute	11,526,700.00
g.	UT Research Initiatives	5,852,900.00
h.	Tennessee Foreign Language Center	1,141,900.00
3.2	Agricultural Services	
a.	UT Agricultural Experiment Station	39,101,800.00
b.	UT Agricultural Extension Service	52,428,100.00
c.	UT Veterinary Medicine.....	36,481,300.00
3.3	Medical Education	
a.	UT Health Science Center.....	237,660,300.00
3.4	University Campuses	
a.	UT Chattanooga.....	88,051,200.00
b.	UT Knoxville.....	407,006,700.00

	c. UT Martin	49,658,700.00
	d. UT Southern	8,932,700.00
	Total University of Tennessee System	\$ 969,901,100.00
4.	Tennessee Board of Regents System	
4.1	Administration and Other Services	
	a. Tennessee Board of Regents	\$ 39,299,900.00
	b. TBR and LGI Student Success and Innovation Initiative...	10,256,900.00
4.2	Medical Education	
	a. ETSU Health	67,893,900.00
4.3	Locally Governed Institutions	
	a. Austin Peay State University	78,179,300.00
	b. East Tennessee State University	107,954,600.00
	c. University of Memphis	191,383,000.00
	d. Middle Tennessee State University	152,220,200.00
	e. Tennessee State University	56,029,800.00
	f. Tennessee Technological University	96,435,700.00
4.4	Tennessee Community Colleges	422,338,700.00
4.5	Tennessee Colleges of Applied Technology	127,507,700.00
4.6	Agricultural Centers	
	a. TSU McMinnville Center	1,609,200.00
	b. TSU Institute of Agricultural and Environmental Research	7,038,000.00
	c. TSU Cooperative Education	6,328,000.00
	d. TSU McIntire-Stennis Forestry Research	240,700.00
	Total Tennessee Board of Regents System	\$ 1,364,715,600.00
	Total Title III-10	\$ 2,952,288,300.00
11.	Department of Commerce and Insurance	
1.	Administration	\$ 2,536,000.00
2.	Cemetery Consumer Protection Fund	361,200.00
3.	Pre-Need Funeral State Administrative Fund	350,100.00
4.	Fire Service and Codes Enforcement Academy	4,859,900.00
5.	Fire Fighting Personnel Standards and Education	9,960,900.00
6.	Peace Officer Standards and Training (POST) Commission	15,167,900.00
7.	Tennessee Law Enforcement Training Academy	5,697,700.00
8.	911 Emergency Communications Fund	159,248,400.00
9.	Regulatory Boards	26,357,400.00
	9.1 Real Estate Education and Recovery Fund	297,500.00
	9.2 Auctioneer Education and Recovery Fund	82,800.00

10.	Fire Prevention	553,400.00
11.	Insurance	2,857,900.00
	Total Title III-11	\$ 228,331,100.00
12.	Department of Financial Institutions	\$ 37,987,100.00
	Total Title III-12	\$ 37,987,100.00
13.	Department of Labor and Workforce Development	
1.	Administration	\$ 7,085,000.00
2.	Tennessee Occupational Safety and Health Administration	7,621,100.00
3.	Mines	303,700.00
4.	Boilers, Elevators, and Amusement Devices	9,313,900.00
5.	Labor Standards.....	1,832,000.00
6.	Workers' Compensation	20,302,700.00
7.	Workers' Compensation Employee Misclassification	1,582,100.00
8.	Subsequent Injury and Vocational Recovery Fund	9,166,400.00
9.	Adult Basic Education.....	16,880,600.00
10.	Unemployment Insurance.....	447,700.00
11.	Workforce Services	17,408,100.00
	Total Title III-13	\$ 91,943,300.00
14.	Department of Mental Health and Substance Abuse Services	
1.	Administrative Services Division	\$ 29,161,800.00
2.	Mental Health Services	
2.1	Middle Tennessee Mental Health Institute.....	50,382,100.00
2.2	Western Mental Health Institute	36,654,700.00
2.3	Moccasin Bend Mental Health Institute.....	40,351,100.00
2.4	Memphis Mental Health Institute	18,354,900.00
2.5	Community Mental Health Services.....	173,308,700.00
2.6	Major Maintenance.....	900,000.00
3.	Community Substance Abuse Services	92,151,500.00
	Total Title III-14	\$ 441,264,800.00
15.	Department of Military	
1.	Administration	\$ 6,706,300.00
2.	Army National Guard	3,832,500.00
3.	Air National Guard	3,510,300.00
4.	Tennessee Emergency Management Agency	11,575,300.00
5.	TEMA Disaster Relief Grants.....	4,000,000.00

6.	Armories Utilities	1,400,600.00
7.	Armories Maintenance.....	1,500,000.00
8.	Station Commanders Upkeep and Maintenance Fund.....	150,000.00
9.	STRONG Act of 2017	4,141,500.00
10.	STORM Act	547,700.00
11.	Governor's Response and Recovery Fund	100,000,000.00
12.	State Guard	67,000.00

Total Title III-15\$ 137,431,200.00

16. Department of Health

1.	Administration	
1.1	Administration	\$ 28,662,100.00
1.2	Public Health Policy, Planning, and Informatics.....	11,967,100.00
2.	Manpower Resources and Facilities	
2.1	Health Licensure and Regulation.....	1,522,000.00
2.2	Emergency Medical Services	7,589,500.00
2.3	Laboratory Services	16,806,000.00
2.4	Health Related Boards	31,684,600.00
3.	Community Health Services	
3.1	Environmental Health	13,858,300.00
3.2	Family Health and Wellness	22,628,400.00
3.3	Communicable and Environmental Disease and Emergency Preparedness	54,386,500.00
3.4	Community and Medical Services	46,103,800.00
4.	Health Services	162,093,000.00

Total Title III-16\$ 397,301,300.00

17. Department of Human Services

1.	Administration	
1.1	Administration	\$ 106,495,100.00
1.2	County Rentals.....	12,749,000.00
1.3	Appeals and Hearings	11,187,600.00
2.	Family Assistance Services	
2.1	Child Support	26,883,500.00
2.2	Family Assistance Services.....	122,619,300.00
2.3	Temporary Cash Assistance	1,029,500.00
2.4	Child Care Benefits	19,900,000.00
3.	Community Services.....	40,065,700.00

4.	Rehabilitative Services		
4.1	Rehabilitation Services		18,198,000.00
	Total Title III-17	\$	359,127,700.00
18.	Department of Revenue		
1.	Administration Division	\$	11,061,200.00
2.	Collection Services		9,993,000.00
3.	Tennessee Revenue Registration and Reporting System.....		16,272,200.00
4.	Taxpayer Services Division		15,921,900.00
5.	Processing Division		4,553,300.00
6.	Audit Division		33,198,100.00
7.	Anti-Theft Unit		2,907,000.00
8.	Sales Tax Disaster Relief		250,000.00
9.	Tax Refund Interest Expense		2,500,000.00
10.	Vehicle Services Division.....		26,723,600.00
11.	Computerized Title and Registration System		7,107,100.00
12.	Insurance Verification		3,444,400.00
	Total Title III-18	\$	133,931,800.00
19.	Tennessee Bureau of Investigation	\$	129,743,500.00
	Total Title III-19	\$	129,743,500.00
20.	Department of Safety		
1.	Administration	\$	23,178,200.00
2.	Driver License Issuance		40,351,300.00
3.	Highway Patrol		303,188,900.00
4.	Office of Homeland Security		165,809,300.00
5.	Driver Education.....		343,300.00
6.	Motorcycle Rider Education.....		566,900.00
7.	Communications.....		24,193,900.00
8.	Tennessee Highway Safety Office.....		255,300.00
9.	Immigration Enforcement Section.....		546,900.00
	Total Title III-20	\$	558,434,000.00
21.	Department of Finance and Administration, Strategic Health-Care Programs		
1.	CoverKids.....	\$	47,395,400.00
2.	CoverRx		8,889,600.00
	Total Title III-21	\$	56,285,000.00
22.	Miscellaneous Appropriations		

1.	State Employee Benefits	
1.1	State Employees' Unemployment Compensation, Sick Leave, Death Benefit Payments and Terminal Leave Payments	\$ 200,000.00
1.2	Public Employees in the Military... Sick Leave in Lieu of Annual Leave	50,000.00
2.	Consolidated Retirement System and Insurance	
2.1	Former Governors and Widows of Former Governors – Pensions.....	800,000.00
2.2	Retirees Health Insurance	24,380,000.00
2.3	Retired Teachers Insurance	22,500,000.00
2.4	TCRS – Retirement Contribution Rate Increase	22,459,500.00
2.5	Hybrid Retirement Plan Conversion	82,647,600.00
3.	Group Health Insurance	
3.1	Long-Term Disability Claims Processing Fee	700,000.00
3.2	Group Health Insurance – State Employees.....	20,674,200.00
3.3	Group Health Insurance – State Employees – 1/1/27	22,152,100.00
4.	State Employee Compensation	
4.1	TEAM Act – Performance Bonus Pool.....	32,790,300.00
4.2	TEAM Act – Performance Pay Pool.....	35,923,200.00
4.3	Non-TEAM Act – Salary Pool	8,179,600.00
5.	Attorney's Fees – Civil Rights Cases	500,000.00
6.	Special Election Reimbursement to Counties	2,000,000.00
7.	Intergovernmental Conference Dues	1,000,000.00
8.	Statewide Rate Adjustments	
8.1	MVM – Purchase of New Vehicles	5,000,000.00
8.2	FRF Rent Adjustment.....	2,183,400.00
8.3	STS – MyTN.Gov Implementation	2,500,000.00
8.4	Risk Management	2,000,000.00
8.5	Internal Service Fund Billings	7,500,000.00
8.6	Enterprise Data Analytics	1,399,700.00
8.7	STS – Process Automation and Efficiencies.....	5,000,000.00
8.8	STS – Cloud Initiatives	5,500,000.00
8.9	IT Support and Maintenance	1,000,000.00
8.10	STS – Cloud Billing	3,305,600.00
8.11	STS – BSD Cloud Optimization Support.....	373,600.00
8.12	ERP – Grants Management Application Implementation Support	796,700.00
8.13	Policy Management Software	2,443,300.00
8.14	STS – ERP Modernization.....	70,000,000.00
8.15	STS – Artificial Intelligence Enablement Program	50,000,000.00
8.16	STS – ADA Compliance	4,000,000.00
8.17	STS – North Data Center Relocation.....	20,000,000.00
8.18	End Point Management Services	717,100.00

8.19	Multi-State Information Sharing and Analysis Center Membership	516,800.00
8.20	North Data Center Relocation – Cloud Consumption.....	1,950,000.00
8.21	Gubernatorial Transition.....	2,250,000.00
9.	Grants	
9.1	Criminal Justice Programs.....	693,500.00
9.2	Tennessee Association of Rescue Squads.....	100,000.00
9.3	Volunteer Rescue Squad \$25,000 Death Benefit.....	25,000.00
9.4	Emergency Responder Death Benefit (2017 PC 408)	25,000.00
9.5	Death Benefit for Certain First Responders (2017 PC 445) ..	75,000.00
9.6	Health Insurance for Immediate Family Members of First Responders (2017 PC 476)	8,400.00
9.7	Death Benefit for Firefighters – Leukemia/Testicular Cancer in Line of Duty (2022 PC 1091)	50,000.00
9.8	YMCA Youth Legislature	25,000.00
9.9	YMCA Community Action Program.....	350,000.00
9.10	Forensic Center at Quillen College of Medicine	100,000.00
9.11	UT CBER – Research Assistance	180,000.00
9.12	UT CBER – State Census Data Center	300,000.00
9.13	Civil Rights Museum.....	250,000.00
9.14	Swipe and Ride Benefit	500,000.00
9.15	American Battle Monuments Commission – Maintenance of Tennessee World War I Monuments in France	3,500.00
9.16	Motor Vehicle Registration Fee Exemption for Volunteer Fire Fighters and Rescue Squad Members.....	17,800.00
9.17	National Foundation for Women Legislators	15,000.00
9.18	Legal Expenses	1,000,000.00
9.19	STS – Cybersecurity for Local Governments	2,000,000.00
9.20	Electronic Work Papers for Audit	365,500.00
9.21	OCJP – Grants to Local Government – AFIS	1,500,000.00
9.22	Support New Online Learning System	357,200.00
9.23	Firefighters – Leukemia/Testicular Cancer Insurance Coverage (2022 PC 1091).....	10,000.00
9.24	The Faith Based and Community Initiatives Foundation – Grant	1,487,000.00
9.25	Line of Duty Health Insurance Claims	191,600.00
9.26	Governor's Rural Education Foundation – Grant	14,600,000.00
9.27	Camp Blount Park – Grant.....	50,000.00
9.28	Juvenile Justice Center – West TN – Grant	10,000,000.00
9.29	Juvenile Justice Center – East TN – Grant	10,000,000.00
9.30	Memphis – Downtown Pubic Safety Grant.....	50,000,000.00
9.31	Memphis – Crime Intervention – Focused Deterrence Grants	15,000,000.00
9.32	Memphis – Crime Intervention – Work- Centered Training Grants.....	15,000,000.00

10.	Amendment and Legislation	
10.1	Administration Amendment	8,000,000.00
10.2	Legislative Initiatives	8,000,000.00
10.3	PC 978 – Substance Abuse	581,600.00
10.4	PC 512 – Transportation of Mental Health Patients	4,000,000.00
10.5	PC 1021 – Uniform Administrative Procedures Act Revision	10,000.00
10.6	PC 470 – Pharmacy Benefit Managers.....	137,300.00
10.7	PC 988 – AI Advisory Committee Travel Reimbursement.....	9,500.00
10.8	PC 480 James Dustin Samples Act.....	30,800.00
10.9	Tennessee Emergency Management Agency Legislation.....	1,700,000.00
10.10	2025 PC 324 – Vape Act – Set Aside	14,655,300.00
10.11	2025 PC 526 – Hemp Act – Set Aside.....	8,438,900.00
	Total Title III-22	\$ 635,235,600.00

23. Department of Children's Services

1.	Administration	\$ 62,568,300.00
2.	Family Support Services.....	54,871,200.00
3.	Custody Services	324,270,400.00
4.	Needs Assessment.....	34,171,000.00
5.	Adoption Services	75,660,100.00
6.	Child and Family Management	120,924,100.00
7.	John S. Wilder Youth Development Center	16,221,500.00
8.	Statewide Child and Family Services.....	56,723,900.00
9.	Major Maintenance	500,000.00
	Total Title III-23	\$ 745,910,500.00

24.	Board of Parole	\$ 12,939,300.00
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	Total Title III-24	\$ 12,939,300.00
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25. Department of Disability and Aging

1.	Intellectual Disabilities Services Administration	\$ 4,077,800.00
2.	Community Intellectual Disabilities Services	62,200,600.00
3.	Protection from Harm	660,600.00
4.	Harold Jordan Center	7,897,100.00
5.	West Tennessee Regional Office	1,644,900.00
6.	Middle Tennessee Regional Office	1,281,800.00
7.	East Tennessee Regional Office	1,016,600.00
8.	Seating and Positioning Clinics	4,180,100.00
9.	West Tennessee Community Homes.....	35,300.00
10.	Middle Tennessee Community Homes	95,900.00
11.	East Tennessee Community Homes	248,400.00

12.	Major Maintenance	500,000.00
13.	Tennessee Early Intervention System	61,302,400.00
14.	Commission on Aging and Disability	41,843,900.00

Total Title III-25\$ 186,985,400.00

26. Department of Finance and Administration, Bureau of TennCare

1.	TennCare Administration	\$ 223,528,300.00
2.	TennCare Medical Services	5,011,957,200.00
3.	Supplemental Payments	315,212,000.00
4.	Intellectual Disabilities Services	448,398,500.00
5.	Medicare Services	632,366,700.00

Total Title III-26\$ 6,631,462,700.00

27. Emergency and Contingency Fund\$ 1,000,000.00

Total Title III-27\$ 1,000,000.00

The Emergency and Contingency Fund may be used for any purpose authorized by law to be allowed on Executive Order of the Governor; provided, however, the Emergency and Contingency Fund shall not be used to fund any law requiring the expenditure of state funds unless an appropriation is made elsewhere for the estimated first year's funding.

28. Facilities Revolving Fund

1.	Facilities Operations	\$ 7,518,000.00
2.	Leases and Space Planning	4,784,000.00

Total Title III-28\$ 12,302,000.00

29. Department of Transportation

There is hereby appropriated for the use of the Department of Transportation such receipts of highway revenues as are now provided by law, or may hereafter be so provided, to accrue to that department during the fiscal year, beginning July 1, 2026, to be expended by the Commissioner of Transportation, all according to the following schedule:

2026-2027

1.	Headquarters	\$ 32,621,000.00
2.	Bureau of Administration	113,981,600.00
3.	Bureau of Operations	1,270,297,000.00
4.	Bureau of Engineering	179,833,900.00
5.	Bureau of Planning	291,091,300.00

Total Title III-29\$ 1,887,824,800.00

Grand Total \$ 27,089,794,400.00

Said funds so appropriated shall be obligated and expended under the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51. There is further appropriated to the Department of Transportation such departmental revenue, expressly including federal matching funds, as may accrue to the department.

The "Proposed Highway Program for Fiscal Year 2026-2027", prepared by the Department of Transportation as a supplement to and as "Supporting Data for the Budget Request," is hereby incorporated into and made a part of the Appropriations Act.

Whenever a determination is made that one or more of the projects in the approved program cannot be proceeded with, the Commissioner of Transportation shall furnish, in written form as prescribed by the Chairs of the Finance, Ways and Means Committees of the Senate and House and the Chairs of the Transportation Committees of the Senate and House, the reasons for such proposed cancellation or rescheduling of said project, together with a recommendation for a substitute project. The notice of cancellation or rescheduling of said project shall be submitted to the Speaker of the Senate, the Speaker of the House of Representatives, the Chairs of the Finance, Ways and Means Committees of the Senate and House, the Chairs of the Transportation Committees of the Senate and House and to the individual Senator and Representative in whose districts the canceled project or proposed substitution is located.

For the fiscal year beginning July 1, 2026, the Commissioner of Transportation shall distribute this money among the ninety-five (95) county geographical areas of the state according to the following formula:

One-half of the funds shall be distributed equally, and one-half shall be distributed on the basis of structural needs. Structural needs shall be determined by calculating the ratio of linear feet of bridges with a load rating of less than ten tons, in each county geographical area, located on public roads other than those on a federal-aid system or the state system of highways, to the total linear feet of like bridges in the state.

30. State Funding Board

There is hereby appropriated to the State Funding Board for interest and reduction of the state debt, for debt service expense and interest on proposed bond authorization:

	<u>2026-2027</u>
1. Interest on State Debt.....	\$ 49,710,000.00
2. Retirement of Bonds.....	149,081,000.00
3. Debt Service Expense	3,500,000.00
4. Short Term Interest.....	4,000,000.00
5. Amortization of Authorized and Unissued Construction Bonds	129,501,000.00
6. Amortization of Authorized and Unissued Highway Bonds.....	127,000,000.00
Total Title III-30	\$ 462,792,000.00

The appropriation made under Section 1, Title III-30, Items 1, 2, 3, 4, 5, and 6 is made under the provisions of Tennessee Code Annotated, Title 9, Chapter 9, and may be increased to such amounts as will be necessary to carry out such provisions.

31. Capital Outlay

There is hereby appropriated to each of the departments and agencies enumerated herein, funds for major maintenance, equipment, construction, and acquisition of land, and for expansion, improvement, betterments, and repairs to existing structures. The Commissioner of Finance and Administration is hereby authorized to transfer the amounts herein appropriated to the Capital Projects Fund for the use of the said departments and agencies.

1.	Department of Agriculture	\$	1,100,000.00
2.	Department of Education		2,740,000.00
3.	Department of Environment and Conservation		107,089,000.00
4.	Department of Military		80,000,000.00
5.	Department of Transportation		165,000,000.00
6.	Department of Veterans Services		7,410,000.00
7.	Austin Peay State University		1,000,000.00
8.	East Tennessee State University		21,548,000.00
9.	Tennessee Technological University		1,690,000.00
10.	University of Memphis		30,000,000.00
11.	Tennessee Board of Regents		6,990,000.00
12.	University of Tennessee		12,980,000.00
13.	Facilities Revolving Fund.....		19,050,000.00
Total Title III-31			\$ 456,597,000.00

Said funds herein appropriated shall be used solely for improvements, betterments, and additions to state structures and for the acquisition of additional land and space, including the purchase of existing structures and grants, as described or referred to above and as approved by the State Building Commission; provided, further, that such funds as are appropriated herein shall be utilized to finance only those projects, improvements, betterments, or additions which are presented in the State of Tennessee's 2026-2027 Budget Document, as amended by any changes or additional projects contained in the Appropriations Act as passed on third and final consideration; provided, further, that all funds appropriated in this act or other general acts of this session for capital outlay shall be subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 15, Part 1.

32. Capital Outlay - Sinking Fund

There is hereby appropriated for the fiscal year beginning July 1, 2026, to the Sinking Fund from the receipts of the tax levied by Tennessee Code Annotated, Title 67, Chapter 4, Part 20, "The Excise Tax Law," an amount to be determined by the State Funding Board.

SECTION 2. Capital Outlay and Major Maintenance.

Item 1. Any funds appropriated by this General Assembly for capital outlay, capital maintenance, and major maintenance, shall not revert to the general fund but

shall remain available until expended. It is the intent of the General Assembly that funds of capital outlay nature shall remain available until expended for the purpose for which the appropriations were made.

In the fiscal years ending June 30, 2026, and June 30, 2027, the carry-forward and reappropriation of unexpended appropriations for major maintenance shall be subject to approval by the Commissioner of Finance and Administration based upon the availability of revenues and reserves in the general fund at June 30, 2026, and June 30, 2027.

Item 2. Any unexpended capital outlay or capital maintenance funds appropriated by previous General Assemblies for completed or discontinued projects shall be accumulated in a capital account to be administered by the Department of Finance and Administration. Expenditure of these funds is subject to approval by the State Building Commission upon recommendation of the University of Tennessee, State Board of Regents, boards of locally governed institutions, or Department of General Services, as applicable, and certification of available funds by the Commissioner of Finance and Administration. After such approvals and certification of available funds, the Commissioner of Finance and Administration is authorized to transfer a portion of such funds allocated to the Department of General Services from the aforementioned capital account to the state office buildings and support facilities revolving fund.

Item 3. From the appropriations made to the State Funding Board in Section 1, Title III-30, the Funding Board is hereby authorized to allocate and provide to the Capital Projects Fund such funds not required for debt service during fiscal year 2026-2027 for projects duly authorized and approved by the General Assembly; provided, however, that when the Funding Board allocates funds under this provision, any other appropriation or bond authorization for said purpose is hereby reduced accordingly.

Item 4. From the funds appropriated for capital outlay in this act and other acts of the legislature, the Commissioner of Finance and Administration, with the approval of the State Building Commission, is authorized to charge the administrative costs of the construction programs to the capital outlay appropriations or to transfer from the Capital Projects Fund to the general fund an amount sufficient to cover those costs. Such expenditures shall be from non-bond proceeds.

Item 5. From the funds appropriated for capital outlay in this act and other acts of the legislature, the Commissioner of Finance and Administration is authorized to establish and charge the costs of design and engineering positions to the capital outlay appropriations or to transfer from the Capital Projects Fund to the general fund an amount sufficient to cover these costs. This item is subject to approval by the State Building Commission.

Item 6. From the funds appropriated for capital outlay in this act and other acts of the legislature, the Commissioner of Finance and Administration, with the approval of the State Building Commission, is authorized to transfer the appropriations for capital outlay to the Department of Finance and Administration to provide for the centralized administration of capital outlay. It is further the legislative intent to allow for centralized administration of any project recommended by the Commissioner of Finance and Administration and approved by the State Building Commission.

Item 7. To the extent that the accumulated yearly interest and earnings of the Natural Resources Trust Fund are available through June 30, 2026, said funds are hereby appropriated to the Department of Environment and Conservation to be available for projects which are reviewed and evaluated under procedures established by the authority of Tennessee Code Annotated, Section 11-14-308.

Item 8. There is hereby appropriated to the Department of Correction the proceeds from the sale of any real property and facilities deposited in the reserve for correctional facilities created by Tennessee Code Annotated, Section 12-2-120. The appropriation shall be available for the uses provided in Section 12-2-120.

Item 9. There is hereby appropriated to the Department of Mental Health and Substance Abuse Services the proceeds from the sale of any real property and facilities deposited in the mental health trust fund created by Tennessee Code Annotated, Section 12-2-117. The appropriation shall be available for the uses provided in Section 12-2-117.

Item 10. There is hereby appropriated to the Department of Military the proceeds from the sale of any real property and facilities deposited in the reserve for military facilities created by Tennessee Code Annotated, Section 12-2-121. The appropriation shall be available to fund replacement facilities for the department subject to approval by the State Building Commission.

Item 11. There is hereby appropriated to the Department of Disability and Aging the proceeds from the sale of any real property and facilities deposited in the intellectual and developmental disabilities trust fund created by Tennessee Code Annotated, Section 12-2-117. The appropriation shall be available for the uses provided in Section 12-2-117.

Item 12. There is hereby appropriated to the state office buildings and support facilities revolving fund created by Tennessee Code Annotated, Section 9-4-901, the proceeds from the sale of any real property and facilities deposited to the fund, to be used, pursuant to Tennessee Code Annotated, Section 12-2-119 for capital outlay requirements of the state's office buildings and support facilities. This appropriation shall be subject to approval of the State Building Commission.

Item 13. There is hereby appropriated to the Department of Agriculture the proceeds from the sale of any real property and facilities deposited in the reserve for forestry maintenance created by Tennessee Code Annotated, Section 12-2-122 for capital outlay for replacement facilities of the department or other capital outlay of the department. The appropriation shall be subject to approval by the State Building Commission.

Item 14. Capital improvement projects recommended for higher education institutions in the 2026-2027 Budget Document on pages A-136 to A-137 include funding partially from institutional sources. It is the legislative intent that such projects include a minimum matching component for new construction projects at the following rates by type of institution: (a) R1, Very High Research (UT Knoxville and UoM), 17%, (b) ETSU, MTSU, TTU, UT Chattanooga, 8%, (c) APSU, UT Martin, TSU, UT Southern, 6%, and

(d) Community Colleges and Specialized Units, 4%. Major renovations projects have a minimum matching component at the following rates by type of institution: (a) R1, Very High Research (UT Knoxville and UoM), 6%, (b) ETSU, MTSU, TTU, UT Chattanooga, APSU, UT Martin, TSU, UT Southern, 4%, and (c) Community Colleges and Specialized Units, 2%. All matching funds may include gifts, grants, institutional funds, student fees, and other non-state sources. The match component for new construction projects shall at a minimum consist of gifts to the institution in the following percentage of the total pledged match: (a) R1, Very High Research Activity (UT Knoxville and UoM), 50%, (b) Doctoral/Masters Universities, 33%, and (c) Community Colleges and Specialized Units, 0%.

Item 15. From the appropriations made in Section 1 and Section 4 of this act, the Commissioner of Finance and Administration is authorized to transfer appropriation savings resulting from energy management projects to the major maintenance accounts of the departments and agencies. These funds may be used to pay debt service on associated bonds, to reimburse the general fund for appropriations made for energy management capital projects, to pay energy management fees, and to fund energy projects approved by the State Building Commission.

Item 16. From the appropriations made in Section 1 and Section 4 of Chapter 530, Public Acts of 2025, and in Section 1 and Section 4 of this act, the Commissioner of Finance and Administration is authorized to transfer appropriation savings resulting from Empower Tennessee energy management projects to the Capital Projects Fund. Further, the funds may be used to pay Empower Tennessee energy management fees, including interest, and to fund additional Empower Tennessee energy management projects approved by the State Building Commission. The provisions of this item take effect upon becoming a law, the public welfare requiring it.

Item 17. The appropriation in Section 1, Title III-10, to the Tennessee Higher Education Commission, Higher Education Capital Maintenance, is subject to the following provisions:

(a) The appropriation in the amount of \$50,000,000 is hereby reappropriated to the commission for major maintenance and capital outlay purposes.

(b) Any remaining unexpended balances at June 30, 2026, are carried forward and hereby reappropriated to be expended in the subsequent fiscal year.

(c) From any remaining reserve fund balance carried forward at June 30, 2026, there is hereby appropriated a sum sufficient to the department for major maintenance and capital outlay purposes.

(d) Other appropriations made under this act to the Tennessee Higher Education Commission, Higher Education Capital Maintenance, are hereby reappropriated to the commission for major maintenance and capital outlay purposes.

Item 18. The appropriation in Section 1, Title III-2, Item 4.5, Department of General Services, Statewide Capital Maintenance, is subject to the following provisions:

(a) The appropriation in the amount of \$40,191,100 is hereby appropriated for statewide major maintenance and capital outlay purposes.

(b) Any remaining unexpended balances at June 30, 2026, are carried forward and hereby reappropriated to be expended in the subsequent fiscal year.

(c) From any remaining reserve fund balance carried forward at June 30, 2026, there is hereby appropriated a sum sufficient to the department for major maintenance and capital outlay purposes.

(d) Other appropriations made under this act to the Department of General Services, Statewide Capital Maintenance, are hereby reappropriated to the department for major maintenance and capital outlay purposes.

Item 19. The Commissioner of Finance and Administration is authorized to reallocate the appropriation in Section 1, Title III-32, Item 5, of Chapter 1130, Public Acts of 2022 from the benefit of the Department of Finance and Administration to the benefit of other agencies as certain new capital projects are identified for this appropriation and submitted for approval to the State Building Commission.

Item 20. From the funds appropriated to a public four-year college or university located in this state in Chapter 1130, Public Acts of 2022, Section 1, Title III-32, a sum sufficient is hereby transferred from the Capital Projects Funds and re-appropriated to the college or university to defray expenditures, including operating expenses, that are essential to fulfilling the college or university's mission. The transfer and re-appropriation in this item is subject to approval of the Commissioner of Finance and Administration and the Comptroller of the Treasury, the college or university's compliance with a memorandum of understanding, and written acknowledgement by the chairs of the finance, ways and means committees of both houses of receipt of notice of the approval in accordance with Chapter 467, Public Acts of 2025.

Item 21. In addition to any to any other funds appropriated by the provisions of this act, from the existing funds appropriated in Section 1, Title III-32, item 19 of Chapter 1130, Public Acts of 2022, there is hereby appropriated a sum sufficient to provide for the purchase and installation of an audio/visual system for the War Memorial Auditorium as a part of the capital project titled "Legislative Plaza Renovations" and described on page A-163 of the Fiscal Year 2022-2023 Budget Document.

SECTION 3. Certain Regulatory Programs and Other Dedicated Funds – Provisions, Limitations, and Restrictions.

Item 1. Appropriations made under Section 1, Titles III-11 and III-16, for the operation of the state regulatory boards, shall be subject to allotment by the Commissioner of Finance and Administration, and no expenditure shall be made by any said boards out of fees collected by them unless and until such allotments have been made by the Commissioner of Finance and Administration. Such allotments for the operation of said respective boards as are made by the Commissioner of Finance and Administration shall be disbursed under the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51.

The allotment hereinabove provided shall be subject to the condition that no money shall be paid therefrom for the salary of any employee of said boards unless and until such salary has been approved by the Commissioner of Human Resources. The appointment of all employees of said boards shall likewise be approved by the Commissioner of Human Resources.

No member of any board or commission established by law or pursuant to law shall receive any compensation except in accordance with Tennessee Code Annotated, Section 9-4-611.

Item 2. Except as otherwise provided in this section, the appropriations to the Wildlife Resources Agency under Section 1, Title III-6, shall be paid out of the special fund established under Tennessee Code Annotated, Title 70, Chapter 1, Part 4 and Section 69-9-203. Such appropriations shall be expended under the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51, and shall be used only for the expenses of the Wildlife Resources Agency pursuant to Tennessee Code Annotated, Title 70 and Title 69, Chapter 9, Part 2, and no part of the unexpended fund left at the end of the fiscal year shall be used for any other purpose but shall be carried over in said fund and may be expended during the next year, and all of said fees and revenues provided by Tennessee Code Annotated, Title 70 and Title 69, Chapter 9, Part 2, are herein specifically apportioned and appropriated to the use and for the benefit of the Wildlife Resources Agency to be expended under the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51. Nothing in this item shall be construed as relieving the Wildlife Resources Agency of the duty of policing littering of lakes and streams.

Item 3. The appropriation to the State Board of Law Examiners in Section 1, Title II, Item 16, shall be from funds generated by fees collected by the board under the provisions of Tennessee Code Annotated, Title 23, Chapter 1.

In case the appropriation to the board shall prove inadequate to allow the board to function efficiently, the Commissioner of Finance and Administration may make an additional allotment thereto from the general fund, the total of all allotments to the board not to exceed the revenues paid into the treasury by the board.

Item 4. The appropriation to the Department of Financial Institutions in Section 1, Title III-12, shall be derived from banking fees assessed pursuant to Tennessee Code Annotated, Title 45, Chapter 1, Part 1; credit union fees assessed pursuant to Tennessee Code Annotated, Title 45, Chapter 4, Parts 9 and 10; and from certain fees and revenues derived from other non-bank entities. No part of the unexpended banking fees left at the end of the fiscal year shall revert to the general fund.

DEPARTMENTAL REVENUES

SECTION 4. Appropriations from Departmental Revenues. All departmental revenues of every kind, as hereinafter defined, collected by any department, institution, office, or agency, in the course of its operations, for its own use, are hereby appropriated to it in addition to the specific appropriations made by this act, unless otherwise provided in this act or other provisions of law. Federal aid funds granted to the state for the use of or to be administered by

any department, institution, or agency, are likewise appropriated. For the purpose of this section "departmental revenues" are defined as (1) earnings or charges for goods or services; (2) donations, contributions or participation by political subdivisions, foundations, corporations, firms or persons; and (3) certain state revenues which for budgetary purposes, are treated as departmental revenues under the provisions of this section, unless otherwise provided in this act or other provisions of law. State revenues, in contradistinction to departmental revenues, are the proceeds of taxes, licenses, fees, fines, forfeiture or other imposts laid specifically by law.

Notwithstanding any provision of the previous paragraph, the Department of Health shall deposit all funds generated by fees or taxes collected by such entity in the general fund of the state. Any appropriations for the operation of such entity shall be subject to allotment by the Commissioner of Finance and Administration, and no expenditure shall be made by any such entity out of fees or taxes collected by it, unless and until such allotments have been made by the Commissioner of Finance and Administration. Such allotments for the operation of such entity as are made by the Commissioner of Finance and Administration shall be disbursed under the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51.

The departmental revenues and federal aid funds appropriated under this act shall include the amounts hereinafter set out:

I. LEGISLATIVE		<u>2026-2027</u>
1.	Legislative Administration Services	\$ 17,000.00
2.	House of Representatives	28,500.00
3.	State Senate	22,000.00
4.	General Assembly Support Services	70,000.00
	Total Legislature	\$ 137,500.00
	Total Title I	\$ 137,500.00
II. JUDICIAL		
1.	Appellate and Trial Courts	\$ 27,300.00
2.	Supreme Court Buildings.....	613,000.00
3.	Child Support Referees	2,572,900.00
4.	Indigent Defendants' Counsel.....	5,000.00
5.	Council of Juvenile and Family Court Judges	67,000.00
6.	Judicial Conference	40,000.00
7.	Judicial Programs and Commissions.....	498,200.00
8.	Administrative Office of the Courts	2,263,700.00
9.	Appellate Court Clerks.....	1,627,100.00
	Total Title II	\$ 7,714,200.00
III. EXECUTIVE		
1.	Constitutional and Quasi-Judicial Offices	

1.	Attorney General and Reporter		
1.1	Attorney General and Reporter	\$	16,574,800.00
1.2	Special Litigation		788,800.00
	Total Attorney General and Reporter.....	\$	17,363,600.00
2.	District Attorneys General Conference		
2.1	District Attorneys General.....	\$	11,809,000.00
2.2	Executive Director		2,084,500.00
2.3	IV-D Child Support Enforcement		41,188,600.00
	Total District Attorneys General Conference	\$	55,082,100.00
3.	Secretary of State		
3.1	Secretary of State	\$	8,835,200.00
3.2	Records Management		1,619,400.00
3.3	State Library and Archives		3,485,800.00
3.4	Regional Library System		791,100.00
3.5	Bureau of Ethics and Campaign Finance		715,100.00
3.6	Help America Vote Act		27,500,000.00
	Total Secretary of State.....	\$	42,946,600.00
4.	District Public Defenders Conference		
4.1	District Public Defenders	\$	994,600.00
	Total District Public Defenders Conference	\$	994,600.00
5.	Comptroller of the Treasury		
5.1	Division of State Audit	\$	3,361,600.00
5.2	Division of Local Government Audit.....		1,459,100.00
5.3	Division of State Government Finance		831,000.00
5.4	Division of Property Assessments		1,899,500.00
5.5	State Board of Equalization		107,400.00
5.6	Division of Technology Solutions.....		222,500.00
5.7	Division of Health Provider Review.....		2,900,000.00
	Total Comptroller of the Treasury	\$	10,781,100.00
6.	Treasury Department		
6.1	Treasury Department	\$	93,826,600.00
6.2	Small and Minority-Owned Business Assistance Program		250,000.00
6.3	TN Stars College Savings 529 Program		1,000,000.00
6.4	Tuition Guaranty.....		50,000.00
	Total Treasury Department.....	\$	95,126,600.00
7.	Claims and Compensation		
7.1	Criminal Injuries Compensation.....	\$	3,404,000.00
7.2	Risk Management Fund		99,243,500.00
	Total Claims and Compensation	\$	102,647,500.00
	Total Title III-1	\$	324,942,100.00

2. Executive Offices

1.	Commissions		
1.1	Commission on Children and Youth	\$	1,818,500.00
1.2	Alcoholic Beverage Commission		13,551,500.00
1.3	Advisory Commission on Intergovernmental Relations.....		4,042,700.00
1.4	Tennessee Housing Development Agency		505,284,900.00
1.5	Arts Commission		2,248,400.00
1.6	Tennessee Public Utility Commission.....		2,557,300.00
1.7	Tennessee Rehabilitative Initiative in Correction (TRICOR) ..		63,665,500.00
1.8	State Museum		415,000.00
1.9	Council on Developmental Disabilities.....		2,464,000.00
1.10	Corrections Institute		95,500.00
1.11	Health Facilities Commission		15,157,800.00
	Total Commissions.....	\$	611,301,100.00
2.	Department of Finance and Administration		
2.1	Division of Administration	\$	6,856,800.00
2.2	Strategic Technology Solutions (STS) Operations.....		273,639,400.00
2.3	Benefits Administration.....		18,473,200.00
2.4	Division of Accounts		68,038,300.00
2.5	Criminal Justice Programs.....		74,311,500.00
2.6	Volunteer Tennessee		8,318,500.00
2.7	Office of Inspector General.....		6,525,200.00
2.8	Enterprise Resource Planning.....		34,609,300.00
2.9	Business Solutions Delivery		104,871,000.00
2.10	STS Agency Purchasing		85,500,000.00
	Total Department of Finance and Administration	\$	681,143,200.00
3.	Department of Human Resources		
3.1	Executive Administration	\$	2,140,900.00
3.2	HR Management Services.....		8,782,200.00
3.3	Office of Strategic Support		6,932,400.00
3.4	Talent Management Centers of Excellence		9,921,400.00
	Total Department of Human Resources	\$	27,776,900.00
4.	Department of General Services		
4.1	Administration	\$	9,932,400.00
4.2	Postal Services		18,502,000.00
4.3	Motor Vehicle Management.....		94,309,800.00
4.4	Real Estate Asset Management		16,632,000.00
4.5	Printing and Media Services.....		9,328,600.00
4.6	Procurement Office		14,875,300.00
4.7	Surplus Operations		4,010,800.00
4.8	Megasite Authority of West Tennessee		107,100.00
4.9	Megasite Water and Wastewater Authority.....		9,413,800.00
	Total Department of General Services	\$	177,111,800.00
5.	Department of Veterans Services		
5.1	Tennessee State Veterans Cemeteries	\$	1,539,400.00

Total Department of Veterans Services\$ 1,539,400.00

Total Title III-2\$ 1,498,872,400.00

3. Department of Agriculture

1.	Administration and Grants	\$ 38,126,300.00
2.	Consumer and Industry Services	16,330,400.00
3.	Business Development	21,394,600.00
4.	Forestry Operations	11,597,000.00
5.	Grain Indemnity Fund	126,700.00
6.	Agricultural Regulatory Fund	120,000.00
7.	Animal Health	1,057,200.00
8.	Technical Services	2,862,100.00

Total Title III-3\$ 91,614,300.00

4. Department of Tourist Development

1.	Administration and Marketing	\$ 789,200.00
2.	Welcome Centers	5,000.00

Total Title III-4\$ 794,200.00

5. Department of Environment and Conservation

1.	Administrative Services	\$ 17,612,700.00
2.	Recreation Educational Services	7,100,800.00
3.	Archaeology	60,500.00
4.	Geology	629,400.00
5.	Tennessee State Parks	60,214,500.00
6.	State Parks Maintenance	100,000.00
7.	Natural Areas	160,100.00
8.	Historical Commission	579,600.00
9.	West Tennessee River Basin Authority	10,288,500.00
10.	Environment Administration	5,450,700.00
11.	Air Pollution Control	15,808,700.00
12.	Radiological Health	7,611,400.00
13.	Division of Water Resources	25,775,200.00
14.	Solid Waste Management	17,452,400.00
15.	DOE Oversight	7,939,700.00
16.	Hazardous Waste Remedial Action Fund	11,620,000.00
17.	Underground Storage Tanks	1,973,400.00
18.	Clean Water and Drinking Water State Revolving Fund	56,677,700.00
19.	Used Oil Collection Program	1,000.00
20.	Fleming Training Center	1,805,900.00
21.	Office of Sustainable Practices	886,300.00
22.	Office of Energy Programs	19,261,400.00
23.	Tennessee Heritage Conservation Trust Fund	1,000,000.00

24.	Abandoned Lands	1,111,400.00
25.	Division of Mineral and Geologic Resources.....	14,970,300.00

Total Title III-5\$ 286,091,600.00

6. Tennessee Wildlife Resources Agency

1.	Wildlife Resources Agency	\$ 70,700,100.00
2.	Boating Safety	6,386,800.00
3.	Wetlands Acquisition Fund	1,662,000.00

Total Title III-6\$ 78,748,900.00

7. Department of Correction

1.	Administration	\$ 4,487,700.00
2.	Correction Academy	64,900.00
3.	Probation and Parole Field Supervision	1,069,500.00
4.	State Prosecutions	1,800,000.00
5.	Debra K. Johnson Rehabilitation Center	394,700.00
6.	Turney Center Industrial Complex	615,900.00
7.	Mark Luttrell Transition Center	326,500.00
8.	Bledsoe County Correctional Complex	624,700.00
9.	West Tennessee State Penitentiary	507,600.00
10.	Riverbend Maximum Security Institution	106,600.00
11.	Northeast Correctional Complex	314,200.00
12.	Northwest Correctional Complex	959,600.00
13.	Morgan County Correctional Complex	512,900.00
14.	Lois M. DeBerry Special Needs Facility	161,800.00
15.	Hardeman County Incarceration Agreement.....	18,900.00
16.	Hardeman County Agreement – Whiteville	18,700.00
17.	South Central Correctional Facility	18,700.00
18.	Trousdale County Incarceration Agreement	13,200.00
19.	Community Corrections	14,795,500.00

Total Title III-7\$ 26,811,600.00

8. Department of Economic and Community Development

1.	Administrative Services	\$ 773,800.00
2.	Business Development	975,300.00
3.	Policy and Federal Programs	28,663,000.00
4.	FastTrack Infrastructure and Job Training Assistance	340,500.00
5.	Film and Television Incentive Fund	48,600.00
6.	TNInvestco Tax Credits	1,500,000.00
7.	Community and Rural Development	103,900.00
8.	Innovation Programs	11,260,900.00
9.	Broadband Accessibility	608,100.00

Total Title III-8		\$ 44,274,100.00
9. Department of Education		
1.	Administration	\$ 3,226,000.00
2.	ESSA and Federal Programs	458,268,500.00
3.	Academic Offices	8,028,100.00
4.	Centers of Regional Excellence (CORE)	2,314,100.00
5.	Improving Schools Program	2,743,900.00
6.	Data and Research.....	8,955,300.00
7.	Early Childhood Education	9,341,700.00
8.	Energy Efficient Schools Initiative	574,000.00
9.	School Nutrition Program.....	554,276,900.00
10.	Special Education Services	321,622,800.00
11.	College, Career and Technical Education.....	25,648,600.00
12.	Alvin C. York Institute	1,529,900.00
13.	Tennessee School for the Blind	1,044,700.00
14.	Tennessee School for the Deaf	558,600.00
15.	West Tennessee School for the Deaf	224,100.00
16.	Charter School Commission.	130,072,200.00
Total Title III-9		\$ 1,528,429,400.00
10. Higher Education		
1.	Tennessee Higher Education Commission	\$ 11,473,800.00
2.	Tennessee Student Assistance Corporation	5,846,300.00
3.	Academic Scholars Program	378,700.00
4.	Loan/Scholarship Programs	291,000.00
5.	THEC Grants	13,750,000.00
Total Title III-10		\$ 31,739,800.00
11. Department of Commerce and Insurance		
1.	Administration	\$ 14,076,700.00
2.	Insurance	24,973,600.00
3.	Securities	4,523,900.00
4.	TennCare Oversight	3,191,800.00
5.	Fire Prevention	25,969,600.00
6.	Fire Service and Codes Enforcement Academy	1,635,900.00
7.	Peace Officer Standards and Training (POST) Commission.....	43,300.00
8.	Tennessee Law Enforcement Training Academy.....	1,738,200.00
9.	911 Emergency Communications Fund	5,821,800.00
10.	Regulatory Boards.....	931,900.00
11.	Cemetery Consumer Protection Fund	5,000.00
Total Title III-11		\$ 82,911,700.00

12.	Department of Financial Institutions	\$	2,400.00
	Total Title III-12	\$	2,400.00
13.	Department of Labor and Workforce Development		
1.	Administration	\$	8,233,700.00
2.	Tennessee Occupational Safety and Health Administration (TOSHA)		4,891,000.00
3.	Mines		251,600.00
4.	Boilers, Elevators, and Amusement Devices		115,800.00
5.	Workers' Compensation		210,500.00
6.	Subsequent Injury and Vocational Recovery Fund		200,700.00
7.	Adult Basic Education.....		14,129,200.00
8.	Workforce Services		84,525,300.00
9.	Unemployment Insurance		51,994,300.00
	Total Title III-13	\$	164,552,100.00
14.	Department of Mental Health and Substance Abuse Services		
1.	Administrative Services Division	\$	9,479,900.00
2.	Mental Health Services		
2.1	Community Mental Health Services.....		63,340,600.00
2.2	Middle Tennessee Mental Health Institute		23,514,300.00
2.3	Western Mental Health Institute		12,546,300.00
2.4	Moccasin Bend Mental Health Institute.....		12,582,800.00
2.5	Memphis Mental Health Institute		7,150,000.00
3.	Community Substance Abuse Services		81,757,200.00
4.	Tennessee Opioid Abatement Council.....		2,929,900.00
5.	Opioid Abatement Fund.....		80,929,900.00
	Total Title III-14	\$	294,230,900.00
15.	Department of Military		
1.	Administration	\$	887,800.00
2.	Army National Guard		12,332,200.00
3.	Air National Guard		15,675,700.00
4.	Tennessee Emergency Management Agency		13,104,900.00
5.	TEMA Disaster Relief Grants.....		180,000,000.00
6.	Homeland Security Grants.....		10,005,400.00
7.	Armories Utilities		4,041,200.00
8.	Armories Maintenance.....		6,194,600.00
9.	Station Commanders Upkeep and Maintenance Fund.....		250,000.00
10.	STORM Act		100.00

Total Title III-15		\$ 242,491,900.00
16. Department of Health		
1.	Administration	
1.1	Administration	\$ 10,193,700.00
1.2	Public Health Policy, Planning, and Informatics	12,674,400.00
2.	Manpower Resources and Facilities	
2.1	Emergency Medical Services	2,145,200.00
2.2	Laboratory Services	16,740,300.00
2.3	Health Related Boards	2,337,300.00
3.	Community Health Services	
3.1	Environmental Health	88,600.00
3.2	Family Health and Wellness	82,544,900.00
3.3	Communicable and Environmental Disease and Emergency Preparedness	65,514,500.00
3.4	Community and Medical Services	140,143,700.00
3.5	Women, Infants, and Children (WIC)	146,167,500.00
4.	Health Services	136,872,800.00
Total Title III-16		\$ 615,422,900.00
17. Department of Human Services		
1.	Administration	
1.1	Administration	\$ 104,159,500.00
1.2	County Rentals	10,429,200.00
1.3	Appeals and Hearings	5,375,900.00
2.	Family Assistance Services	
2.1	Child Support	99,140,800.00
2.2	Child Care Benefits	226,795,600.00
2.3	Temporary Cash Assistance	101,421,900.00
2.4	Supplemental Nutrition Assistance Program	1,859,112,700.00
2.5	Family Assistance Services	120,989,200.00
3.	Community Services	227,113,200.00
4.	Rehabilitative Services	
4.1	Rehabilitation Services	84,877,000.00
4.2	Disability Determination	76,154,400.00
Total Title III-17		\$ 2,915,569,400.00
18. Department of Revenue		

1.	Administration Division	\$	13,948,900.00
2.	Collection Services		3,369,900.00
3.	Taxpayer Services Division		1,671,200.00
4.	Processing Division		3,294,700.00
5.	Audit Division.....		12,026,700.00
6.	Vehicle Services Division.....		6,145,400.00

Total Title III-18\$ 40,456,800.00

19. Tennessee Bureau of Investigation\$ 39,066,000.00

Total Title III-19\$ 39,066,000.00

20. Department of Safety

1.	Administration	\$	3,732,300.00
2.	Driver License Issuance		30,286,800.00
3.	Highway Patrol		17,807,300.00
4.	Auto Theft Investigations		349,800.00
5.	Office of Homeland Security		565,600.00
6.	Communications.....		925,800.00
7.	Tennessee Highway Safety Office.....		28,422,200.00

Total Title III-20\$ 82,089,800.00

21. Department of Finance and Administration,
Strategic Health-Care Programs

1.	CoverKids.....	\$	139,207,100.00
2.	CoverRx		3,000,000.00
3.	Health-Care Planning and Innovation		240,900.00

Total Title III-21\$ 142,448,000.00

22. Department of Children's Services

1.	Administration	\$	48,581,200.00
2.	Family Support Services.....		26,951,600.00
3.	Custody Services		408,782,500.00
4.	Adoption Services		86,676,100.00
5.	Child and Family Management		186,308,800.00
6.	John S. Wilder Youth Development Center		400,800.00
7.	Major Maintenance		15,000.00
8.	Social Security Income		13,737,200.00
9.	Statewide Child and Family Services.....		65,658,600.00

Total Title III-22\$ 837,111,800.00

23.	Board of Parole	\$	1,000.00
	Total Title III-23	\$	1,000.00
24.	Department of Disability and Aging		
1.	Intellectual Disabilities Services Administration	\$	44,843,700.00
2.	Community Intellectual Disabilities Services		3,678,000.00
3.	Protection from Harm		8,349,600.00
4.	Harold Jordan Center		1,000.00
5.	West Tennessee Regional Office		11,722,100.00
6.	Middle Tennessee Regional Office		12,270,100.00
7.	East Tennessee Regional Office		11,535,400.00
8.	Seating and Positioning Clinics		772,600.00
9.	West Tennessee Community Homes.....		24,522,500.00
10.	Middle Tennessee Community Homes		20,177,500.00
11.	East Tennessee Community Homes		27,679,600.00
12.	Tennessee Early Intervention System.		45,714,200.00
13.	Katie Beckett Waiver		58,594,100.00
14.	Commission on Aging and Disability.....		34,588,400.00
	Total Title III-24	\$	304,448,800.00
25.	Department of Finance and Administration, Bureau of TennCare		
1.	TennCare Administration.....	\$	848,532,100.00
2.	TennCare Medical Services.....		9,834,168,300.00
3.	Supplemental Payments.....		697,796,300.00
4.	Intellectual Disabilities Services.....		754,977,800.00
5.	Medicare Services		449,756,800.00
	Total Title III-25	\$	12,585,231,300.00
26.	Department of Transportation		
1.	Bureau of Administration	\$	609,000.00
2.	Bureau of Operations		1,040,118,700.00
3.	Bureau of Engineering		288,802,800.00
4.	Bureau of Planning		245,062,700.00
	Total Title III-26	\$	1,574,593,200.00
27.	Facilities Revolving Fund		
1.	Facilities Operations	\$	64,272,700.00
2.	Facilities Maintenance		5,132,200.00
3.	Leases and Space Planning		62,064,700.00
4.	FRF Debt Service		33,416,800.00

	Total Title III-27	\$ 164,886,400.00
28.	State Building Commission	
1.	Major Maintenance and Equipment	\$ 150,000.00
	Total Title III-28	\$ 150,000.00
	Grand Total.....	\$ 24,005,834,500.00

SECTION 5. Refund of Receipts; Cancellation of Unredeemed Warrants; Recovery of Returned Checks.

Item 1. There is hereby appropriated the necessary and sufficient sums to refund any collection or part thereof made erroneously or illegally for the use or benefit of the state or any of its departments, institutions, offices or agencies. Such refunds shall be made in accordance with existing law as applicable in any particular case.

Item 2. With respect to any revenues or receipts collected by any department or agency with the exception of those collected by the Department of Revenue, such amounts as are determined to have been erroneously paid may be refunded by the procedure established pursuant to Tennessee Code Annotated, Section 9-4-607.

Item 3. The cancellation and write-off of unredeemed warrants, drafts, and checks drawn on the State Treasury and subsequent claims by the payee of said instruments shall be subject to the procedures specified in Tennessee Code Annotated, Section 9-4-601(a)(2).

Item 4. The Commissioner of Finance and Administration shall maintain a policy to recover state funds and the state's costs associated with checks, warrants, drafts, and electronic funds transfers deposited to a state account that are subsequently returned unpaid by the drawer's bank.

SECTION 6. Certain Debt Service and Related Matters. In addition to the appropriations made to the State Funding Board in Section 1, Title III-30, of this act, there is appropriated the following items:

Item 1. From the funds appropriated in Section 1, Title III-30, Item 6, Amortization of Authorized and Unissued Highway Bonds, the sum of \$127,000,000.00 is appropriated in lieu of issuing highway bonds under the provisions of Chapter 1062, Public Acts of 2018. The State Funding Board shall take the necessary action to cancel the unissued bonds.

Item 2. From the appropriation made in Section 1, Title III-30, of this act to the State Funding Board, a sum not to exceed \$3,261,800 is earmarked to pay debt service on general obligation bonds issued under the authority of Chapter 582, Public Acts of 1996, for the purpose of making a grant to the Metropolitan Government of Nashville and Davidson County for the construction of a sports stadium. It is the legislative intent that said appropriations shall be funded first from the sales tax revenues allocated under the

provisions of Tennessee Code Annotated, Section 67-6-103(d)(1), as amended by Chapter 401, Public Acts of 2021.

Item 3. To provide the debt service on the general obligation bonds authorized under Chapter 313, Public Acts of 2003, relative to State Veterans' Homes, there is hereby appropriated a sum sufficient from the funds available to the State Funding Board pursuant to agreements entered into thereunder.

Item 4. From the funds appropriated in Section 1 and Section 4 of this act to the Tennessee Board of Regents and the boards of Middle Tennessee State University and the University of Memphis for defraying operating expenses in this act and other acts of legislature, with the approval of the State Building Commission a sum sufficient is appropriated to be used for payments to the State Funding Board as required for any debt issued in an amount not to exceed \$10,700,000 under the authorization of Chapter 591, Public Acts of 2007.

Item 5. In addition to the appropriations made in Section 1, Title III-30, of this act to the State Funding Board, and to the extent that the board issues any tax revenue anticipation notes pursuant to the provisions of Tennessee Code Annotated, Section 9-9-301, there is hereby appropriated a sum sufficient from subsequently available funds of the state to pay debt service on such notes within the fiscal year of issuance.

Item 6. There is hereby appropriated to the Tennessee State School Bond Authority a sum sufficient in the amount of payments allowable to the Authority from the federal government pursuant to the qualified school construction bond program or similar programs, for purposes of debt service on such bonds.

Item 7. The funding of the appropriations for interest on state debt and retirement of bonds made in Section 1, Title III-30 of this act includes an allocation of motor vehicle title fees to the debt service fund in the amount of \$2,700,000. The allocation is made from the sum generated by the \$1.50 motor vehicle title fee imposed under the provisions of Tennessee Code Annotated, Section 55-6-101(a)(1).

It is the legislative intent to recognize that the revenue generated from the \$1.50 fee is earmarked for the purpose of paying the principal and interest on bonds authorized in the amount of \$5,000,000.00 and issued pursuant to the provisions of Chapter 1028, Public Acts of 1992. Any funds in excess of the amount so required are earmarked for the purpose of paying the principal and interest on general obligation bonds authorized to fund capital projects at state parks.

Item 8. There is hereby appropriated a sum sufficient from general fund interest earnings for the purpose of funding the State of Tennessee's liability under IRS regulations for arbitrage interest earnings on proceeds from general obligation debt.

Item 9. There is hereby appropriated a sum sufficient from the construction funds trust agreement reserve authorized pursuant to Tennessee Code Annotated, Section 9-9-103, for purposes of the construction funds trust agreement related to financing for the construction of a domed sports stadium in Davidson County. The provisions of this item take effect upon becoming a law, the public welfare requiring it.

SECTION 7. Earmarked Appropriations. The appropriations made by this act under Sections 1 and 4 shall be subject to the following provisions, limitations, or restrictions. From the funds appropriated to the:

Item 1. State Election Commission in Section 1, Title III-1, Item 3.2, there is hereby appropriated funds for expenses of the State Election Commission, including the printing of election laws, the office of the Coordinator of Elections, and other expenses of administering election laws. The salary of each member of the State Election Commission shall be six thousand nine hundred ninety-four dollars and thirty-two cents (\$6,994.32) annually. The Secretary of State is hereby authorized to make all necessary purchases of election supplies from funds appropriated for such purpose in accordance with state purchasing procedures.

Item 2. Comptroller of the Treasury and the Department of Finance and Administration, there is hereby authorized to be allocated an amount not to exceed \$45,000 for the purpose of meeting the State of Tennessee's participation in the cost of supporting the National Council on Governmental Accounting or a governmental accounting standards board in the establishment of governmental accounting standards and principles.

Item 3. Criminal Injuries Compensation in Section 1, Title III-1, Item 8.1, there is appropriated a sum not to exceed \$302,200 for grants to the District Attorneys General for domestic violence prevention and drug enforcement activities authorized under Tennessee Code Annotated, Section 29-13-116.

Item 4. Criminal Injuries Compensation, in Section 1, Title III-1, Item 8.1, pursuant to Tennessee Code Annotated, Section 40-38-405 there is earmarked the sum of \$100,000 for the sole purpose of making a grant in such amount to the Tennessee Coalition Against Domestic and Sexual Violence to support the activities of the Tommy Burks Victim Assistance Academy.

Item 5. Treasury Department in Section 4, Title III-1, Item 6.1, there are hereby appropriated funds sufficient to defray the cost of administering, on behalf of state employees compensated on the centralized state payroll system, Tennessee Code Annotated, Title 8, Chapter 25, Part 1, the same being the "Government Employees' Deferred Compensation Plan Act"; and Tennessee Code Annotated, Title 8, Chapter 25, Part 3, the same being the "Profit Sharing or Salary Reduction Plans".

Item 6. Governor's Office in Section 1, Title III-2, Item 1.1, an amount of sixty thousand dollars (\$60,000) per year for Maintenance of the Tennessee Residence (Executive Residence) and travel expenses as certified by the Governor shall be paid by the Commissioner of Finance and Administration, it being the legislative intent that the residence should be maintained and operated as the official residence and office of the Chief Executive of Tennessee in a manner required of the Office of Governor.

Item 7. Commission on Children and Youth in Section 1, Title III-2, Item 2.1, the sum of \$2,880,000 for making grants in equal amounts of \$48,000 to each of the 60 county Court Appointed Special Advocates (CASA) programs, to be used for purposes related to the operation or development of the programs.

Item 8. Arts Commission in Section 1, Title III-2, Item 2.8, the sum of \$80,000 is hereby appropriated for the purpose of making a grant to Fisk University for the necessary staff, services and other costs associated with maintaining and showing the Stieglitz Collection at Fisk University. It is the legislative intent that this appropriation is a direct appropriation grant and that it be processed accordingly by the Commissioner of Finance and Administration. This appropriation is made under the provisions of Tennessee Code Annotated, Section 4-20-202.

Item 9. Arts Commission in Section 1, Title III-2, Item 2.8, an amount of \$100,000 is for the purpose of a grant to the Tennessee Performing Arts Center Management Corporation for educational activities.

Item 10. Arts Commission in Section 1, Title III-2, Item 2.8, an amount of \$45,000 is for the purpose of a grant to Africa in April Cultural Awareness Festival, Inc., to support the Africa in April Cultural Awareness Festival.

Item 11. To the State Museum in Section 1, Title III-2, Item 2.9, an amount of \$100,000 is for the purpose of maintenance, restoration, and operational expenses of the Green McAdoo Cultural Center.

Item 12. Department of Finance and Administration, Criminal Justice Programs, in Section 1, Title III-2, Item 3.4, there is hereby earmarked a sum sufficient from the proceeds of the \$15.00 privilege tax on marriage licenses for purposes of funding family violence shelters and shelter services. This appropriation is made under the provisions of Tennessee Code Annotated, Section 67-4-411.

Item 13. Department of Finance and Administration, Division of Accounts, in Section 1, Title III-2, Item 3.2, an amount of \$4,922,400 is for the purpose of funding a centralized accounting unit providing services to small agencies of state government. The Commissioner of Finance and Administration is authorized to transfer this appropriation to the appropriate organizational units of state government, to adjust rates to reflect this purpose, to reduce the appropriation to an amount required by the adjusted rate, and to adjust departmental revenue estimates accordingly. The commissioner is further authorized to transfer accounting positions from the organizational units of the agencies to the Division of Accounts.

Item 14. Department of Finance and Administration in Section 4, Title III-2, Item 2.3, pursuant to Tennessee Code Annotated, Section 8-25-401, for administering the "Cafeteria Benefits Plan" for state employees.

Item 15. Department of Finance and Administration, in Section 1, Title III-2, Item 3, appropriations for the electronic monitoring indigency fund grant program shall be subject to the provisions of Section 21 of this act.

Item 16. Department of Finance and Administration, in Section 1, Title III-2, Item 3, appropriations for VINE courts shall be disbursed to the Tennessee Sheriff's Association as subject to the provisions of Section 21 of this act.

Item 17. Department of General Services in Section 1, Title III-2, Item 4.3, shall be paid as a direct appropriation to the Governor's Early Literacy Foundation.

Item 18. Department of Agriculture, Forestry Operations, in Section 1, Title III-3, Item 5, the sum of \$2,000,000 is intended to fund the depreciation cost to replace bulldozers and wildland firefighting equipment. Unexpended funds for this purpose may be carried forward and held in reserve until such a time as replacement is deemed necessary.

Item 19. Department of Tourist Development, in Section 1, Title III-4, there is hereby appropriated a sum not to exceed twelve thousand five hundred dollars (\$12,500), sufficient to defray the cost of advertising and other expenses in connection with special events in which Tennessee is represented and/or events within the state for which Tennessee will act as official host. Any allotment of funds made under the authority of this section shall be made only on the approval of the Commissioner of Finance and Administration.

Item 20. Department of Tourist Development, in Section 1, Title III-4, and Department of Economic and Community Development, in Section 1, Title III-8, there shall be paid expenses incurred by the two departments in representing the state in its official capacity; provided, however, that nothing herein shall authorize the expenditure by each agency for such purposes in excess of five thousand dollars (\$5,000) per annum. The amount and purposes of such expenses are subject to approval by the Commissioner of Finance and Administration.

Item 21. Department of Tourist Development, in Section 1, Title III-4, the sum of \$500,000 to establish a program to make grants to entities, including marinas, to improve and maintain access to Tennessee's waterways.

Item 22. Department of Environment and Conservation, Environmental Protection Fund, in Section 1, Title III-5, the sum of \$5,280,000 is from revenues available to the Environmental Protection Fund pursuant to Tennessee Code Annotated, Title 68, Chapter 203, from funds paid by the Tennessee Valley Authority (TVA) pursuant to a Consent Decree regarding air emissions in Tennessee. Departmental revenues shall be adjusted accordingly. These funds shall be exempt from and shall not be considered in the calculations required by Tennessee Code Annotated, Section 68-203-104(b), (c), or (d). These funds shall be available for the purpose of funding energy conservation, alternative energy and/or pollution prevention projects and any other projects authorized by the Consent Decree.

Item 23. Department of Environment and Conservation, Maintenance of Historic Sites, in Section 1, Title III-5, Item 9, an amount of \$30,000 is for the sole purpose of supplementing funding available for historic sites acquisition, improvements, maintenance, equipment purchases, and interpretation at the Parker's Crossroads Battlefield. This item is to be allotted as a direct appropriation grant to the City of Parker's Crossroads. Further, any unexpended funds shall not revert to the general fund and shall be carried forward in a reserve to be expended for purposes of this item.

Item 24. Department of Environment and Conservation, in Section 1, Title III-5, the sum of \$50,000 for a grant to Good Samaritans Camp Tanase.

Item 25. The Historical Commission, in Section 1, Title III-5, Item 8, an amount of \$100,000 (recurring) for the sole purpose of making a grant in such amount to the Stax Museum of American Soul Music, to be used for defrayal of operational costs.

Item 26. Historical Commission, in Section 1, Title III-5, Item 8, the sum of \$100,000 for the sole purpose of making a grant in such amount to the Tennessee Historical Society to be used for operational expenses.

Item 27. Historical Commission, in Section 1, Title III-5, Item 8, the sum of \$19,000 for the sole purpose of making a grant to the Frank Clement Museum Foundation.

Item 28. Historical Commission, in Section 1, Title III-5, Item 8, the sum of \$40,000 for a grant to the Rocky Mount Historical Association, to be used for providing educational and community outreach programs focused upon the history of the Rocky Mount State Historic site.

Item 29. Department of Correction, Community Corrections, in Section 4, Title III-7, Item 19, the department is authorized to make a grant of up to \$832,000 to "Project Return."

Item 30. Department of Correction, Community Corrections, in Section 4, Title III-7, Item 19, the sum of \$136,500 is for the sole purpose of making a grant in such amount to DISMAS, Inc., to be used for assisting with their programs in the State of Tennessee, and for no other purpose. From the funds appropriated to DISMAS, Inc., there is earmarked the sum of \$25,000 to Chattanooga Endeavors (formerly DISMAS House of Chattanooga) and \$8,000 to Better Decisions (formerly DECISIONS, a program of the DISMAS, Inc., home office) for the sole purpose of maintaining operations at their former level.

Item 31. Department of Correction, in Section 1, Title III-7, the sum of \$250,000 for the sole purpose of making a grant in such amount to the Tennessee Higher Education Initiative, to be used for programs and services that provide access to on-site degree-bearing higher education for individuals in Tennessee prisons. Any unexpended funds shall not revert to the general fund and shall be carried forward in a reserve to be expended for purposes of this item.

Item 32. Department of Correction, in Section 1, Title III-7, the sum of \$250,000 for the sole purpose of making a grant in such amount to Big Brothers Big Sisters Amachi mentoring initiative.

Item 33. Department of Education, Grants-in-Aid, in Section 1, Title III-9, Item 2.1f, the sum of \$100,000 is to be paid to Tennessee History for Kids, Inc., to be used for programs, services, and operational expenses.

Item 34. Department of Education, in Section 1, Title III-9, the sum of \$200,000 is to be paid to the Arts Academy to be used for teacher professional development.

Item 35. Department of Education, in Section 1, Title III-9, the sum of \$200,000 is to be paid to the Arts Academy Foundation.

Item 36. Department of Education, in Section 1, Title III-9, Item 3, College, Career and Technical Education, the sum of \$3,000,000 for Governor's Schools.

Item 37. Department of Education, in Section 1, Title III-9, Item 2.1f, Grants-in-Aid, the sum of \$2,786,800 to be granted to public television stations.

Item 38. Department of Education, in Section 1, Title III-9, Item 2.1i, Early Childhood Education, the sum of \$3,050,000 for family resource centers.

Item 39. Department of Education, in Section 1, Title III-9, the sum of \$900,000 for the sole purpose of making grants to the Science Alliance museums.

Item 40. Department of Education, in Section 1, Title III-9, the sum of \$1,650,000 for the sole purpose of making a grant in such amount to the Tennessee Science, Technology, Engineering, and Mathematics (STEM) Innovation Network (TSIN), to support STEM education programs and outreach.

Item 41. Department of Education, in Section 1, Title III-9, the sum of \$410,000 (recurring) to the State Museum for the sole purpose of providing a grant in such amount to the Holocaust Commission.

Item 42. Department of Education, in Section 1, Title III-9, the grant to the Tennessee Alliance of Boys and Girls Clubs shall be disbursed pursuant to Tennessee Code Annotated, Section 36-6-413(b)(2)(F) and Section 21 of this act.

Item 43. Department of Education, in Section 1, Title III-9, the sum of \$1,200,000 for making a grant to Save the Children Federation, Incorporated.

Item 44. Department of Education, in Section 1, Title III-9, the sum of \$3,588,300 for a grant to the Niswonger Foundation.

Item 45. Higher Education, in Section 1, Title III-10, Item 1.2, Contract Education, the amount of \$613,000 for a grant to the Southern College of Optometry.

Item 46. Higher Education, in Section 1, Title III-10, Item 1.6, THEC Grants, the appropriation for increased graduate medical education shall be allotted by the Tennessee Higher Education Commission after consultation with the Department of Health.

Item 47. From funds appropriated in Chapter 418, Public Acts of 2023, Section 60, Item 4, for the Tennessee Future Teacher Scholarship Act of 2023, there is earmarked the sum of \$236,300 (recurring through FY27-28) for the sole purpose of implementing 2024 Public Chapter 982, relative to allowing students enrolled in an

approved educator program at Western Governor University to be eligible recipients of the Tennessee Future Teacher Scholarship, if such bill becomes a law.

Item 48. Department of Commerce and Insurance, Fire Fighting Personnel Standards and Education, in Section 1, Title III-11, Item 5, funds are earmarked for payment to eligible units of local government to pay bonus supplements to firefighters who successfully complete during calendar year 2026 an in-service training program appropriate to such firefighter's rank and responsibility and the size and location of the department of at least forty (40) hours duration at a school established or certified by such commission. The funds appropriated by this item shall be disbursed in accordance with the provisions of Tennessee Code Annotated, Title 4, Chapter 24 and Section 56-4-205(c), and no supplement to any person shall exceed eight hundred dollars (\$800).

Item 49. Department of Commerce and Insurance, Peace Officer Standards and Training (POST) Commission in Section 1, Title III-11, Item 6, funds are earmarked for payment to eligible units of local government which have required all police officers to complete during calendar year 2026 an in-service training course appropriate to each officer's rank and responsibility commensurate with the size and location of the department of at least forty (40) hours duration at a school certified or recognized by the POST Commission. The funds appropriated by this item shall be disbursed in accordance with the provisions of Tennessee Code Annotated, Title 38, Chapter 8, Part 1, and no recipient shall be eligible to receive a supplement of more than eight hundred dollars (\$800).

Item 50. Department of Commerce and Insurance, Regulatory Boards, in Section 1, Title III-11, Item 9, an amount of \$400,000 is earmarked from the Board of Architectural and Engineering Examiners revenues or reserve funds for disbursement to accredited interior design programs, accredited architectural programs, accredited engineering programs and accredited landscape architectural programs of any college or university in the state of Tennessee, after application to and subject to approval by the Board of Architectural and Engineering Examiners. The Board will develop guidelines for application, award and disbursement of the funds appropriated herein.

Item 51. Commerce and Insurance, Fire Prevention, Tennessee Association of Rescue Squads, in Section 1, Title III-11, Item 10, the appropriation of \$100,000 is for the sole purpose of maintaining a state headquarters of the association and to pay the salary of an executive director of the association and other expenses appurtenant thereto.

Item 52. Commerce and Insurance, in Section 1, Title III-11, the appropriation of \$10,500 for making a grant to Tennessee Fallen Firefighter's Memorial Inc.

Item 53. Mental Health and Substance Abuse Services, Community Mental Health Services, in Section 1, Title III-14, Item 2.5, the department is authorized to expend up to one hundred fifty thousand dollars (\$150,000) for reimbursement of licensed supportive living facilities for the mentally ill, pursuant to Tennessee Code Annotated, Section 12-4-308, and such funds are specifically appropriated for that purpose.

Item 54. Department of Mental Health and Substance Abuse Services, Community Mental Health Services, in Section 1, Title III-14, Item 2.5, an amount of \$700,000 is to be paid to Centerstone Military Services, in three regions of Tennessee for the purpose of providing professional counseling services to veterans and their families who suffer from post-traumatic stress disorder (PTSD).

Item 55. Department of Mental Health and Substance Abuse Services, in Section 1, Title III-14, an amount of \$200,000 for the sole purpose of making a grant in such amount to the Prevention Alliance of Tennessee (PAT), to be used for establishing, training, and supporting substance use prevention coalitions in Tennessee.

Item 56. Department of Health, Community and Medical Services, in Section 1, Title III-16, Item 3.4, an amount of \$263,700 is to be paid to St. Jude Hospital in Memphis to defray, in whole or in part, the expenses of patients and their families who are citizens and residents of Tennessee in traveling to and from St. Jude Hospital. Such payments shall be administered by the hospital and shall be made on the basis of need. Such patients, or their families, requesting assistance from these funds shall supply such documents supporting need and travel expenses as the hospital may require.

Item 57. Department of Health, Health Services, in Section 1, Title III-16, Item 4, the sum of three million dollars (\$3,000,000) for the Health Access Incentive Fund. The commissioner of health shall direct these funds, subject to the approval of the Commissioner of Finance and Administration, to programs designed to enhance health access. The programs may include, but not be limited to, funding for services provided by federally qualified health centers, recruitment incentives, community initiatives, service-linked training opportunities, support for high technology/telecommunications efforts, prevention initiatives, efforts to improve the built environment, strategies to improve the health of the population, and other strategies to expand primary, obstetric and dental health care services in underserved areas. Pursuant to a finding of need by the commissioner, the health access program may also address the lack of adequate access in underserved areas to other health care providers and health care services such as emergency medicine, mental health care, and prevention treatment services for low income, pregnant substance abusers.

Item 58. Department of Health, Community and Medical Services, in Section 1, Title III-16, Item 3.4, there is appropriated the sum of \$190,000 for the sole purpose of contracting with a nonprofit organization for promotion of health awareness among Tennessee males. Such nonprofit organization must have been established prior to January 1, 2004; must have received a contract administered through the Tennessee Department of Health; must have received funding through the vitamin supplement settlement of June 2003, administered by the Tennessee attorney general's office; and must possess substantial experience with general health outreach and education activities for males in Tennessee, including activities for the general population and the underserved living in Tennessee.

Item 59. Department of Health, Community and Medical Services, in Section 1, Title III-16, Item 3.4, the amount of \$100,000 is to be paid to Crumley House, located in Washington County, to provide programs and services on behalf of persons suffering from traumatic brain injuries.

Item 60. Department of Health, in Section 1, Title III-16, the sum of \$500,000 for the sole purpose of making grants in the amount of \$100,000 each to the five (5) Regional Perinatal Centers: Erlanger Health System/Children's Hospital at Erlanger; Johnson City Medical Center; the University of Tennessee Medical Center at Knoxville; Vanderbilt University Medical Center/Monroe Carrell, Jr. Children's Hospital at Vanderbilt; and, the Regional Medical Center at Memphis; to be used to provide additional nurse educators and associated services.

Item 61. Department of Health in Section 1, Title III-16, an amount of \$500,000 for a grant to the Meharry Wellness Program.

Item 62. Department of Health, Emergency Medical Services, in Section 1, Title III-16, Item 2.2, funds are earmarked for payment to eligible units of local government to pay bonus supplements to emergency medical services personnel who successfully complete during calendar year 2026 an in-service training program appropriate to such personnel's rank and responsibility and the size and location of the department of at least forty (40) hours duration at a school established or certified by the emergency medical services board. The funds appropriated by this item shall be disbursed in accordance with the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 18 and Section 68-140-335, and no supplement to any person shall exceed eight hundred dollars (\$800).

Item 63. Department of Health, in Section 1, Title III-16, appropriations for the State HIV Surveillance and Prevention Program shall be subject to the provisions of Section 21 of this act.

Item 64. Department of Disability and Aging, in Section 1, Title III-25, an amount of \$355,000 for a grant to Vanderbilt University Medical Center, to be used for the Providing Access to the Visual Environment (PAVE) Program.

Item 65. Department of Human Services in Section 1, Title III-17, and from revenues receivable by the department pursuant to the appropriation of federal revenue in Section 4, Title III-17, an amount not to exceed three million dollars (\$3,000,000) hereby is appropriated to the department for the purpose of making advance payments to certain social services contractors, pursuant to Tennessee Code Annotated, Title 71, Chapter 1, Part 2.

Item 66. Department of Human Services in Section 1, Title III-17, Item 3, the amount of \$1,613,600 is to be paid to Human Resource Agencies and Community Action Agencies subject to the provisions of Section 21 of this act.

Item 67. Department of Human Services in Section 1, Title III-17, the amount of \$1,000,000 for the sole purpose of making a grant in such amount to the Second Harvest Food Bank of Middle Tennessee, to be used for the purpose of purchasing, handling, and transporting food for hunger relief. The Second Harvest Food Bank of Middle Tennessee shall distribute the funds to the five (5) food banks across the state, as follows:

- (a) 35% to Second Harvest Food Bank of Middle Tennessee;

- (b) 25% to Memphis Food Bank;
- (c) 20% to Second Harvest Food Bank of East Tennessee;
- (d) 10% to Chattanooga Area Food Bank;
- (e) 10% to Second Harvest Food Bank of Northeast Tennessee.

Item 68. Department of Human Services in Section 1, Title III-17, the sum of \$100,000 (recurring) for the sole purpose of making a grant in such amount to Society of St. Andrew - Tennessee, to be used for food bank supplies and operational expenses related to hunger relief.

Item 69. Department of Human Services in Section 1, Title III-17, the sum of \$187,500 for a grant to the Tennessee state alliance of YMCAs rural communities.

Item 70. Department of Human Services in Section 1, Title III-17, the sum of \$150,000 for a grant to the Tennessee state alliance of YMCAs.

Item 71. Miscellaneous Appropriations in Section 1, Title III-22, Item 7, for Intergovernmental Conference Dues, it is the legislative intent that annual dues assessed by the Council of State Governments (CSG), the National Conference of State Legislatures (NCSL), and the National Conference of Insurance Legislators be paid timely in the following amounts: (a) CSG, \$263,483; (b) NCSL, \$273,505; and (c) National Conference of Insurance Legislators, \$20,000.

Item 72. Miscellaneous Appropriations, UT-CBER – Research Assistance, and UT-CBER – State Census Data Center, in Section 1, Title III-22, Items 9.11 and 9.12, are for research assistance to the Department of Finance and Administration and for services delivered under the state data contract with the U.S. Census Bureau.

Item 73. Miscellaneous Appropriations, in Section 1, Title III-22, Item 9.26, shall be paid as a direct appropriation to the Governor's Rural Education Foundation.

Item 74. Miscellaneous Appropriations, PC 512 – Transportation of Mental Health Patients, in Section 1, Title III-22, Item 10.4, shall be paid subject to the provisions of Section 21 of this Act.

Item 75. Department of Children's Services, Family Support Services, in Section 1, Title III-23, Item 2, the amount of \$49,000 is to be paid to A Secret Safe Place for Newborns of Tennessee, Inc., to be used for operational expenses.

Item 76. Department of Children's Services, in Section 1, Title III-23, the amount of \$700,000 for a grant to Carroll Academy.

Item 77. Emergency and Contingency Fund in Section 1, Title III-27, there is hereby appropriated an amount not to exceed one million dollars (\$1,000,000) for the following purposes: (1) assistance related to natural disasters, including but not limited to, forest fires, floods, and tornadoes, (2) payment of indemnities for destruction of livestock, including poultry, and extraordinary veterinary payrolls for cattle market fluctuations by the Department of Agriculture, (3) payment of extraordinary expenditures for insect and pest control efforts and for extraordinary livestock, including poultry,

disease control efforts by the Department of Agriculture, and (4) the cost of personnel and equipment needed to restore law and order in instances arising out of civil disorders.

SECTION 8. Sum-Sufficient Appropriations from State Revenues and Reserves. In addition to the appropriations made in Section 1 of this act and subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51, there is hereby appropriated a sum sufficient:

Item 1. To pay all lawful claims due from the state to any of the several counties thereof on account of unpaid court costs, unpaid allotments of taxes distributable by the state to the counties and such other sums as may be due from the state to the counties, but none of such funds shall be distributed to the counties of the state until after the validity of the claims has been investigated and approved by the State Comptroller and the Governor. Provided, however, that such funds shall not include funds due to counties and cities for the state share of costs to cities and counties as required by Section 24, Article II, of the Constitution of Tennessee.

Item 2. From the appropriations in Sections 1 and 4 of this act, for state agencies to pay the professional privilege tax levied in Tennessee Code Annotated, Title 67, Chapter 4, Part 17, on behalf of certain full-time state employees. Such payments shall be limited to the circumstances and made under the procedure established in Section 67-4-1709.

Item 3. For the purpose of implementing an employee maintenance policy by the Department of Finance and Administration. It is the legislative intent to hold harmless, employees affected by the maintenance policy who were employed as of June 30, 1998. The Commissioner of Finance and Administration is authorized to allocate the appropriation to the appropriate organizational units and programs of state government and to adjust federal aid and departmental revenue allotments accordingly.

Item 4. Settlement and Judgment Awards and Similar Awards. To affected state agencies, such sums as are received by the Attorney General and Reporter or other state officials and agencies in settlements and judgments and similar awards for the purposes received, as determined by the Attorney General and Reporter in accordance with such settlements and judgments. The Commissioner of Finance and Administration shall classify such funds as are received in accordance with generally accepted accounting principles and, as advised by the Attorney General and Reporter, is authorized to allot such funds for expenditure by the appropriate departments and organizational units of state government. This appropriation shall not include any amounts of a settlement, judgment, or award not required to be set-aside or expended for a specific purpose, nor any amounts intended to reimburse or benefit the general fund, and such revenue hereby expressly is not appropriated. The Attorney General and Reporter shall file a written quarterly report with the Speaker of the Senate, the Speaker of the House of Representatives and the Office of Legislative Budget Analysis upon receipt of any settlement or judgment in excess of \$1,000,000; such report shall specify the nature of the settlement or judgment, the amount of the settlement or judgment and the purposes for which any such settlement or judgment funds are received. In addition to the report required on the receipt by the state of settlement and judgment awards in excess of \$1,000,000, the Attorney General and Reporter shall also file a written

quarterly report with the Speaker of the Senate, the Speaker of the House of Representatives and the Office of Legislative Budget Analysis upon the payment by any state officials and agencies of any settlement or judgment award against the state in excess of \$1,000,000. Such report shall specify the nature of the settlement or judgment, the amount of the settlement or judgment, and any other information deemed by the Attorney General and Reporter to be informative and not subject to any provision of law prohibiting its disclosure.

Item 5.

(a) In the fiscal year ending June 30, 2026, there is hereby appropriated a sum sufficient from the unexpended balances of grants made to state agencies under the provisions of Section 23 of Chapter 530, Public Acts of 2025, and previous appropriation acts, and previously classified in state accounts as deferred revenue, to be transferred to dedicated reserves in the general fund at June 30, 2025. The reappropriation and carry-forward of these funds is subject to approval by the Commissioner of Finance and Administration.

(b) In the fiscal year ending June 30, 2027, there is hereby appropriated a sum sufficient from the dedicated reserves in the general fund created at June 30, 2025, from the unexpended balances of grants made to state agencies under the provisions of Section 23 of Chapter 530, Public Acts of 2025, and previous appropriation acts, and previously classified in state accounts as deferred revenue. The reappropriation and carry-forward of these funds is subject to approval by the Commissioner of Finance and Administration.

Item 6. From general fund interest earnings for the purpose of funding the state's liability for the exchange of interest with the federal government as provided for in the Cash Management Act of 1990.

Item 7. From earmarked and/or dedicated agency revenues and reserves to provide for the costs of implementing the state's Underground Storage Tanks Program. The Commissioner of Finance and Administration shall allocate the costs to the individual agencies and establish the appropriations required from revenues and reserves available to the individual agencies.

Item 8. From the revenues and reserves of the Electronic Monitoring Indigency Fund created pursuant to Tennessee Code Annotated, Section 55-10-419, in the amounts allocated to the departments of Mental Health and Substance Abuse Services, and Safety, as follows:

(a) To the Department of Safety, Tennessee Highway Safety Office, for grants to local law enforcement agencies for obtaining and maintaining equipment and personnel for alcohol-related offenses;

(b) To the Department of Mental Health and Substance Abuse Services, Community Substance Abuse Services, for the alcohol and drug addiction treatment fund; and

(c) To the Department of Safety from its revenues pursuant to the cited law, to defray its expense of administering the program.

Item 9. From the revenues and reserves of the Electronic Monitoring Indigency Fund created pursuant to Tennessee Code Annotated, Section 55-10-419, to the Treasury Department for the ignition interlock grant fund.

Item 10. To the Tennessee Code Commission for the following purposes: (1) to purchase pocket supplements for the state-owned sets of Tennessee Code Annotated; (2) to purchase replacement volumes for state-owned sets of Tennessee Code Annotated; (3) to purchase replacement sets of Tennessee Code Annotated; (4) to purchase sets of Tennessee Code Annotated for judges of new courts created during the 2025 Session of the General Assembly; (5) to purchase pocket supplements for the state-owned sets of the Index to the Private Acts of Tennessee; and (6) to pay for proofreading and other expenses involved in preparing supplements and replacement volumes for Tennessee Code Annotated.

Item 11. To pay the salaries and travel expenses of all persons appointed to sit as Special Judges, Special District Attorneys General and/or District Attorneys General Pro Tem, and Special Prosecutors under statutes relating to the state judicial system.

Item 12. To provide for indigent defendants counsel in capital cases.

Item 13. To pay fees of special counsel who may be employed by the Governor on recommendation of the Attorney General, in accordance with Tennessee Code Annotated, Section 8-6-106, and to pay other expenses in special cases of litigation involving the state. In matters involving the Tennessee Public Utility Commission, Housing Development Agency, Wildlife Resources Agency, Department of Financial Institutions, regulatory boards and other programs and agencies funded by earmarked or dedicated revenues, the sum sufficient appropriation shall be provided from said earmarked or dedicated revenues. In matters involving departments, agencies and/or programs funded in whole or in part with federal aid and/or departmental revenues and reserves, the sum sufficient appropriation may be provided in whole or in part from said revenues and reserves.

Item 14. From the Tennessee general fund opioid abatement fund revenues and reserves for opioid abatement and remediation activities.

Item 15. To the Administrative Office of the Courts from revenues and reserves available to the following programs:

(a) Divorcing Parent Education and Mediation Fund and the Marriage License Tax pursuant to Tennessee Code Annotated, Section 36-6-413(b)(2).

(b) Tennessee Judicial Information System Fund pursuant to Tennessee Code Annotated, Section 16-3-807.

(c) Board of Professional Responsibility, Tennessee Lawyers Assistance Programs, Continuing Legal Education and Client Protection Fund. Additional positions as required are authorized to be established.

(d) Municipal Court Judges and Municipal Court Clerks Training and Continuing Legal Education pursuant to Tennessee Code Annotated, Section 16-18-304.

(e) General Sessions Judges' Conference pursuant to Tennessee Code Annotated, Section 16-15-5007 and Section 67-4-606(a)(9), to defray expenses of serving the general sessions courts.

(f) Judicial Commissioner Continuing Education Account pursuant to Tennessee Code Annotated, Section 67-4-602(k)(5).

(g) Civil Legal Representation from the earmarked litigation taxes levied pursuant to Tennessee Code Annotated, Section 67-4-602(g) and the earmarked bail bond tax levied pursuant to Section 67-4-806, for the purpose of providing legal representation to low-income Tennesseans, pursuant to Section 16-3-808. The Commissioner of Finance and Administration is authorized to adjust the appropriation in Section 1, Title II, Item 6, as realized receipts of the program justify.

(h) Professional Bail Bonding Agents Continuing Education from the earmarked bail bond tax levied pursuant to Tennessee Code Annotated, Section 67-4-806, for the purpose of developing and providing the education program, pursuant to Tennessee Code Annotated, Title 40, Chapter 11, Part 4. The Commissioner of Finance and Administration is authorized to adjust the appropriation in Section 1, Title II, Item 6, as realized receipts of this education program justify.

Item 16. To the Attorney General and Reporter from the revenues and reserves available to the following programs:

(a) False Claims Act Fund established pursuant to Tennessee Code Annotated, Section 4-18-104(j). The Commissioner of Finance and Administration is authorized to adjust the appropriation made under Section 1, Title III-1, Item 1.1, of this act to recognize any reimbursement for expenses already provided.

(b) Reserve for Attorney General Litigation Settlement. The Commissioner of Finance and Administration is authorized to establish positions as may be required.

Item 17. To the District Attorneys General Conference from the revenues and reserves of the district attorneys expunction fund created by Tennessee Code Annotated, Section 40-32-108(g), for the purposes therein specified.

Item 18. To provide for payment of administrative law judge services. The Commissioner of Finance and Administration is authorized to allocate the funds to the

appropriate organizational units, adjust departmental revenues accordingly, and establish authorized positions.

Item 19. To the Tennessee Local Development Authority, a sum sufficient from the Underground Storage Tank Fund for the purpose of paying debt service and expenses in connection with any debt issued pursuant to the provisions of Chapter 444, Public Acts of 1997, relative to underground storage tanks.

Item 20. To the Office of the District Public Defenders Conference pursuant to Tennessee Code Annotated, Section 40-14-210. Additional positions as required are authorized to be established.

Item 21. To the District Public Defenders Conference from the revenues and reserves of the public defenders expunction fund created by Tennessee Code Annotated, Section 40-32-108(h), for the purposes therein specified.

Item 22. To the Comptroller of the Treasury, from the revenues and reserves, including interest earnings, of the Utility Revitalization Fund, pursuant to Tennessee Code Annotated, Section 7-82-708.

Item 23. To the Treasury Department, Claims and Compensation, from the reserves of the Educator Liability Trust Fund authorized by Tennessee Code Annotated, Section 9-8-204, for the purposes therein specified.

Item 24. To the Treasury Department, from bond forfeitures as a result of federal antitrust litigation settlements.

Item 25. To the Treasury Department, from the tuition guaranty fund established in Tennessee Code Annotated, Section 49-7-2018(b).

Item 26. To the State Treasurer, Unclaimed Property, for payment of claims and claims administrative expense. The provisions of this item take effect upon becoming a law, the public welfare requiring it.

Item 27. To the State Treasurer, from a portion of the privilege tax collected pursuant to Tennessee Code Annotated, Section 4-49-104(e).

Item 28. To the Alcoholic Beverage Commission a sum sufficient from the licensing fees established pursuant to Tennessee Code Annotated, Section 57-7-106.

Item 29. To the Health Facilities Commission a sum sufficient from the revenues and reserves of the agency.

Item 30. To the Health Facilities Commission from the fees charged pursuant to Tennessee Code Annotated, Section 68-11-1620.

Item 31. To the Health Facilities Commission from the fees charged pursuant to Tennessee Code Annotated, Section 68-11-2304(c).

Item 32. To the Health Facilities Commission from the revenues and reserves available to the following programs:

(a) Nursing Home Resident Protection Trust Fund pursuant to Tennessee Code Annotated, Section 68-11-827.

(b) Medicaid Nursing Home Trust Fund pursuant to Federal Regulations, Chapter 42, Section 488.442.

(c) Trauma System Fund created by Tennessee Code Annotated, Section 68-59-105. Subject to approval of the Commissioner of Finance and Administration, the appropriation may be increased or decreased as collections from the tax established pursuant to Tennessee Code Annotated, Section 67-4-1025(e), justify.

Item 33. To the Corrections Institute, from revenues and reserves available to the Local Correctional Officer Training Fund pursuant to Tennessee Code Annotated, Section 41-7-104.

Item 34. To the Tennessee Advisory Commission on Intergovernmental Relations (TACIR) from the TACIR reserves authorized by Tennessee Code Annotated, Section 4-10-107. The Commissioner of Finance and Administration is authorized to adjust departmental revenues accordingly.

Item 35. To the Tennessee Public Utility Commission, a sum sufficient from the revenues and reserves of the commission.

Item 36. To the Sports Wagering Advisory Council a sum sufficient from the revenues and reserves of the council.

Item 37. From revenues collected from accounts receivable, to provide for a consultant's services in review of accounts receivable management for the State of Tennessee and for the implementation of those recommendations to the extent the recommendations are approved by the Commissioner of Finance and Administration. The Commissioner of Finance and Administration may establish such positions as may be required to cost-effectively implement such recommendation. The Commissioner also is authorized to allocate a portion of the revenues collected to the appropriate organizational units and programs of state government and to adjust federal aid and other departmental revenue accordingly. Each allocation shall be a one-time incentive to maximize accounts receivable collections and shall be used to fund non-recurring items only.

Item 38. To the Department of Finance and Administration to reimburse the federal government for arbitrage on the state's general obligation debt.

Item 39. To the Department of Finance and Administration from revenues and reserves available to the following programs:

(a) To provide funding for the additional sexual assault program services pursuant to Tennessee Code Annotated, Title 71, Chapter 6, Part 3, and 40-24-108. Any unexpended funds shall not revert to the general fund balance at June 30 and are hereby reappropriated in the subsequent fiscal year.

(b) To provide funding for family violence shelters and shelter services pursuant to Tennessee Code Annotated, Sections 39-13-101 and 67-4-411. Any unexpended funds shall not revert to the general fund at June 30 and are hereby reappropriated in the subsequent fiscal year.

(c) To provide funding from the revenues apportioned to the Domestic Violence Community Education Fund pursuant to Tennessee Code Annotated, Section 36-3-616.

(d) To provide funding from the litigation tax apportioned to fund grants to local governments to purchase and maintain electronic fingerprint imaging systems pursuant to Tennessee Code Annotated, Sections 67-4-602 and 67-4-606.

(e) To provide funding for grant awards to halfway houses whose primary focus is to assist drug and alcohol offenders pursuant to Tennessee Code Annotated, Section 55-10-419(d)(6). Any unexpended funds shall not revert to the general fund at June 30 and are hereby reappropriated in the subsequent fiscal year.

(f) To provide funding for grant awards to child abuse prevention services from the Child Abuse Fund pursuant to Tennessee Code Annotated, Section 39-13-530.

(g) To provide funding for family mediation, education, and any related services, pursuant to Tennessee Code Annotated, Section 36-6-413.

(h) To provide funding for disbursements from the sale of specialty license plates pursuant to Tennessee Code Annotated, Section 55-4-301 and 55-4-296.

Item 40. To the Department of General Services, Real Estate Asset Management division, to replace any real estate transaction fees waived under the provisions of Tennessee Code Annotated, Section 4-3-1105(22). This appropriation is subject to approval of the State Building Commission.

Item 41. To the Department of Agriculture from revenues and reserves available to the following programs:

(a) Agricultural Resources Conservation Fund pursuant to Tennessee Code Annotated, Section 67-4-409(l).

(b) Agricultural Regulatory Fund pursuant to Tennessee Code Annotated, Title 43, Chapter 1, Part 7.

(c) Certified Cotton Growers' Organization Fund pursuant to Tennessee Code Annotated, Title 43, Chapter 6, Part 4.

(d) Tennessee Grain Indemnity Fund pursuant to Tennessee Code Annotated, Title 43, Chapter 32, Part 2.

(e) Agricultural Development, Agricultural Development Fund pursuant to Tennessee Code Annotated, Section 55-4-298.

(f) Division of Forestry, from the proceeds of revenue allocated pursuant to Tennessee Code Annotated, Section 11-14-305(b)(3), pertaining to the sale and replacement of real property.

(g) Consumer and Industry Services a sum sufficient pursuant to Tennessee Code Annotated, Section 47-18-1311, pertaining to kerosene and motor fuels quality inspection.

Item 42. To the Department of Environment and Conservation from revenues and reserves available to the following programs:

(a) Local Park Land Acquisition Fund, State Lands Acquisition Fund, and State Lands Compensation Fund pursuant to Tennessee Code Annotated, Sections 67-4-409(i) and (j).

(b) Heritage Conservation Trust Fund pursuant to Tennessee Code Annotated, Section 11-7-103.

(c) State parks program from revenues derived from nonprofit support groups pursuant to Tennessee Code Annotated, Title 11, Chapter 3, Part 2.

(d) State Park Fund pursuant to Tennessee Code Annotated, Title 11, Chapter 3, Part 3.

(e) State Parks Hospitality Maintenance and Improvement Fund pursuant to Tennessee Code Annotated, Section 11-3-306.

(f) State Parks Maintenance from revenue received pursuant to Tennessee Code Annotated, Section 12-2-112(a)(10), from the lease of surplus state real property for communications relay apparatus or antennae sites.

(g) From revenues derived from the sale of Tennessee Elk River Development Agency lands. This appropriation is subject to approval by the Commissioner of Finance and Administration.

(h) Environmental Protection Fund pursuant to Tennessee Code Annotated, Title 68, Chapter 203, Part 1. Departmental revenues shall be adjusted accordingly.

(i) Radiation Reclamation Trust Fund and the Perpetual Care Trust Fund pursuant to Tennessee Code Annotated, Section 68-202-405.

(j) Solid Waste Assistance program from revenues received pursuant to Tennessee Code Annotated, Title 67, Chapter 4, Part 16 and Title 68, Chapter 211, Part 8.

(k) Used Oil Collection Fund pursuant to Tennessee Code Annotated, Section 68-211-1004.

(l) Hazardous Waste Remedial Action Fund pursuant to Tennessee Code Annotated, Title 68, Chapter 212, Part 2.

(m) Petroleum Underground Storage Tank Fund pursuant to Tennessee Code Annotated, Title 68, Chapter 215, Part 1.

(n) Drycleaner Environmental Response Fund pursuant to Tennessee Code Annotated, Title 68, Chapter 217, Part 1.

(o) Solid Waste Disposal Site Restoration Fund pursuant to Tennessee Code Annotated, Section 68-211-116.

(p) Hazardous Waste Trust Fund pursuant to Tennessee Code Annotated, Section 68-212-108.

(q) Tire Environmental Fund pursuant to Tennessee Code Annotated, Section 68-211-304.

(r) Ocoee River Recreation and Economic Development Fund pursuant to Tennessee Code Annotated, Section 11-8-103. The provisions of this item take effect upon becoming a law, the public welfare requiring it.

(s) Natural Areas, from donations to the program.

(t) The reserve for state IIJA matching funds.

Item 43. To the Historical Commission from the Tennessee Civil War or War Between the States site preservation fund for the purposes provided in Tennessee Code Annotated, Section 4-11-112.

Item 44. To the Historical Commission from the historic property land acquisition fund for the purposes provided in Tennessee Code Annotated, Section 4-11-113.

Item 45. To the Wildlife Resources Agency from revenues available to the Wetlands Acquisition Fund and the Wetlands Compensation Fund pursuant to Tennessee Code Annotated, Section 67-4-409(g).

Item 46. To the Wildlife Resources Agency from the general fund for any difference between the actual charges to the agency under the indirect cost allocation plan and the amount the TWRA can justify and continue to receive federal funds.

Item 47. To the Wildlife Resources Agency from its own revenues to implement the programs, activities and projects approved by the Wildlife Resources Agency

Commission. The Commissioner of Finance and Administration is authorized to adjust departmental revenue accordingly and to establish positions as may be required.

Item 48. To the Department of Correction from revenues and reserves available for the following programs:

(a) Sex Offender Treatment Program pursuant to Tennessee Code Annotated, Section 39-13-708.

(b) Probation and parole supervision and rehabilitation fees pursuant to Tennessee Code Annotated, Section 40-28-203.

Item 49. To the Department of Education in amounts equal to the unexpended balances of prior year accrued liabilities in the following education programs: (a) Safe Schools Act of 1998, (b) State testing programs, (c) Governor's Schools, and (d) Special Schools.

Item 50. To the Department of Education, Charter School Commission, from the revenues and reserves of the commission relative to the charter authorizer fee, pursuant to Tennessee Code Annotated, Title 49, Chapter 13, Part 1.

Item 51. To the Department of Commerce and Insurance, Regulatory Boards, from revenues and reserves available for the following purposes:

(a) To purchase examinations for regulatory boards. This appropriation is contingent upon the fees collected for giving examinations being in excess of the budgeted estimates.

(b) To fund data processing systems development and implementation. Said appropriations are made pursuant to Tennessee Code Annotated, Section 9-4-5117.

(c) To the Real Estate Education and Recovery Fund, to provide for court-ordered payments and to print and distribute to all licensees a manual of laws and rules and regulations.

(d) To the Auctioneer Education and Recovery Fund, to provide for court-ordered payments.

(e) To the Cemetery Consumer Protection Fund pursuant to Tennessee Code Annotated, Section 46-1-105.

(f) To the Pre-Need Funeral Consumer Protection Fund pursuant to Tennessee Code Annotated, Section 62-5-414. The Commissioner of Finance and Administration is authorized to make transfers from the Pre-Need Funeral Consumer Protection Fund to the Burial Services program in the Division of Regulatory Boards.

(g) To the Board of Court Reporting pursuant to Tennessee Code Annotated, Section 20-9-616.

(h) To fund payments through the Board for Licensing Contractors pursuant to the Go Build Tennessee Act, Tennessee Code Annotated, Section 4-41-105.

Item 52. To the Department of Commerce and Insurance, 911 Emergency Communications Fund, from the revenues collected pursuant to Tennessee Code Annotated, Title 7, Chapter 86, Part 3.

Item 53. To the Department of Financial Institutions from the following revenues:

(a) Annual banking fee assessed pursuant to Tennessee Code Annotated, Section 45-1-118. The appropriation from said source may be increased or decreased as realized receipts from the annual banking fee justify, subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51.

(b) Credit union annual supervision fee assessed pursuant to Tennessee Code Annotated, Section 45-4-1002, and credit union merger fees assessed pursuant to Tennessee Code Annotated, Section 45-4-903, and the appropriation from said fees and reserves may be increased or decreased as realized receipts from credit union regulation activities justify, subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51.

(c) Compliance division annual supervision fee assessed pursuant to Tennessee Code Annotated, Section 45-1-118(i), and the appropriation from said source may be increased or decreased as realized receipts from the compliance division justify, subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51.

Item 54. To the Department of Labor and Workforce Development from revenues and reserves available to the following programs:

(a) Uninsured Employers Fund program pursuant to Tennessee Code Annotated, Section 50-6-801.

(b) Tennessee Occupational Safety and Health Administration (TOSHA) program pursuant to Tennessee Code Annotated, Title 50, Chapter 3, Part 4.

(c) Boilers, Elevators, and Amusement Devices pursuant to Tennessee Code Annotated, Sections 68-121-108, 68-121-110, 68-121-115, 68-121-117, 68-122-113, and 68-122-205.

(d) Lawful Employment Enforcement Fund pursuant to Tennessee Code Annotated, Section 50-1-708.

(e) Workers' Compensation Employee Misclassification Education and Enforcement Fund pursuant to Tennessee Code Annotated, Section 50-6-913.

(f) Unemployment Compensation Special Administration Fund pursuant to Tennessee Code Annotated, Section 50-7-503.

Item 55. To the Department of Mental Health and Substance Abuse Services from the revenues and reserves available to the following programs:

(a) Alcohol and Drug Addiction Treatment Fund pursuant to Tennessee Code Annotated, Section 40-33-211(c)(2).

(b) Drug Court Treatment Program Resources Fund to provide funding to establish drug courts pursuant to Tennessee Code Annotated, Title 16, Chapter 22, Part 1.

Item 56. To the Department of Military to provide for the cost of personnel and equipment needed to maintain law and order in instances arising out of civil disorders.

Item 57. To the Department of Military, Disaster Relief Grants, for the purpose of matching federal funds and to the Department of Military to pay the administrative costs of the Disaster Relief Program. Said appropriations shall be made first from the Reserve for Disaster Relief, and they are in addition to the appropriation made in Section 1, Title III-15, Item 5, of this act. Federal aid and other departmental revenue may be adjusted accordingly. Any unexpended funds remaining in the Reserve for Disaster Relief or from the appropriation made in Section 1, Title III-15, Item 5, of this act, other acts of this General Assembly or acts by previous General Assemblies shall not revert to the general fund balance at June 30.

Provided, further, the Governor, pursuant to Tennessee Code Annotated, Section 58-2-109, is authorized to make funds available by transferring and expending moneys appropriated for other purposes or out of any unappropriated surplus funds.

Item 58. To the Department of Military from the revenues and reserves of the following programs:

(a) Hurricane Helene Interest Payment Fund, pursuant to Tennessee Code Annotated, Section 9-4-215; and

(b) Governor's Response and Recovery Fund, pursuant to Tennessee Code Annotated, Section 9-4-216.

Provided, further, pursuant to Tennessee Code Annotated, Section 9-4-216, the Commissioner of Finance and Administration is authorized to transfer all or a portion of the interest earnings of the Governor's Response and Recovery Fund to the Hurricane Helene Interest Payment Fund.

Item 59. To the Department of Health from revenues and reserves available to the following programs:

(a) Child Safety Fund pursuant to Tennessee Code Annotated, Section 55-9-602(f).

(b) Traumatic Brain Injury Fund to allow for the provision of enhanced and/or new services which benefit traumatic brain injury persons and their families as authorized in Tennessee Code Annotated, Title 68, Chapter 55, Part 4. Any additional appropriations provided under this item are non-recurring from carry-forward funds which exist in the Traumatic Brain Injury Fund and are subject to approval of the Commissioner of Finance and Administration.

(c) Health Related Boards, for data processing systems development and implementation costs and for the cost of investigations and subsequent prosecution of licensees in violation of their practice acts. Said appropriations are made pursuant to Tennessee Code Annotated, Section 9-4-5117.

Item 60. To the Department of Revenue to pay interest, attorney fees and other costs which are due with certain taxpayer refund payments.

Item 61. To the Department of Revenue from the C.I.D. Anti-Theft reserve fund pursuant to Tennessee Code Annotated, Section 55-3-206.

Item 62. To the Department of Revenue, Administration Division, from proceeds resulting from investigation and enforcement of state tobacco laws.

Item 63. To the Department of Revenue for sales tax disaster relief payments made pursuant to Tennessee Code Annotated, Section 67-6-396. Said appropriations shall be made first from the Department of Revenue unencumbered balance reserve for sales tax disaster relief, and they are in addition to the appropriation made in Section 1, Title III-18, Item 8, of this act.

Item 64. To the Department of Revenue, in addition to the appropriation in Section 1, Title III-18, Item 9, Tax Refund Interest Expense, for interest due to taxpayers on tax refunds pursuant to Tennessee Code Annotated, Section 67-1-801(b)(1).

Item 65. To the Department of Revenue from the revenues and reserves of the Insurance Verification program, pursuant to Tennessee Code Annotated, Section 55-12-213, for the uninsured motorist identification restricted fund.

Item 66. To the Department of Safety from revenues and reserves available to the following programs:

(a) Motorcycle Rider Safety reserve fund pursuant to Tennessee Code Annotated, Section 55-51-104.

(b) Driver Education reserve fund pursuant to Tennessee Code Annotated, Section 67-4-606(a)(2)(B).

Item 67. To the Department of Safety from the revenues and reserves of the Immigration Enforcement Local Grant Fund, pursuant to Tennessee Code Annotated, Section 7-68-106.

Item 68. To the Department of Transportation for payments to the Risk Management Fund. Said appropriation shall be made from the highway fund balance.

Item 69. To the Department of Transportation, for the Air, Water, and Rail Transportation program, from the Transportation Equity Fund. This appropriation is subject to the availability of revenue in the fund.

Item 70. To the Department of Transportation, in addition to the appropriations made in Section 1, Title III-29, for highway maintenance and state highway construction such amount as the Commissioner of Finance and Administration shall determine is available from tax revenues allocated to the highway fund and from the highway fund balance.

SECTION 9. Sum-Sufficient Appropriations from Departmental Revenues and Reserves. In addition to the appropriations made in Section 4 of this act and subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51, there is hereby appropriated a sum sufficient:

Item 1. To the Attorney General and Reporter, if the appropriation made in Section 4, Title III-1, Item 1.1, shall prove inadequate to allow the Attorney General and Reporter to represent the state agencies and officials before the Claims Commission, or state agencies and officials in other cases of litigation or other legal matters. The Commissioner of Finance and Administration, upon the request of the Attorney General and Reporter, is hereby authorized to increase the departmental revenue estimate by an amount sufficient to provide for such representation and to establish positions as may be required.

Item 2. To the Attorney General and Reporter, a sum sufficient from the Risk Management Fund for the purposes of implementing the provisions of Tennessee Code Annotated, Title 8, Chapter 42, relative to legal representation for state employees. The Commissioner of Finance and Administration, upon the request of the Attorney General and Reporter, is authorized to establish positions as may be required to implement the provisions of Tennessee Code Annotated, Title 8, Chapter 42, Part 1.

Item 3. To the Attorney General and Reporter for the Consumer Affairs program from departmental revenues and reserves of the program.

Item 4. To the District Attorneys General Conference, from funds confiscated pursuant to Tennessee Code Annotated, Section 40-3-207.

Item 5. To the Bureau of Ethics and Campaign Finance from fees collected by the bureau.

Item 6. To the Secretary of State, Help America Vote Act program, in Section 4, Title III-1, Item 3.6, from the state reserve for the Help America Vote Act for the purpose of matching federal funds.

Item 7. To the Comptroller of the Treasury, Division of Property Assessments, from revenues and reserves derived from the annual assessor's training session.

Item 8. To the State Treasurer, with the concurrence of the Speaker of the Senate and the Speaker of the House of Representatives, for the purpose of developing and implementing programs designed to enhance investment and pensions administration performance, including programs designed to recruit, hire, and retain qualified investment and administrative staff. The State Treasurer, with approval from the Commissioner of Finance and Administration, is further authorized to establish additional positions and funding for such positions needed to effectuate the purposes of this section.

Item 9. To the State Treasurer from the revolving account created pursuant to Tennessee Code Annotated, Section 9-4-603(g).

Item 10. To the State Treasurer from revenues and reserves available to the Financial Literacy Program pursuant to Tennessee Code Annotated, Section 49-6-1706.

Item 11. From the fund created in Tennessee Code Annotated, Section 65-5-113, to the State Treasurer for purposes of conducting a purchasing disparity study. It is the legislative intent that such study include the University of Tennessee system and the state university and community college system; provided, however, the costs of such study shall not exceed amounts previously set aside therefor. Should available funds be insufficient to conduct a valid purchasing disparity study, funds appropriated by this item may be used to conduct a review to determine best practices related to increasing purchasing opportunities with small and minority-owned businesses and to implement recommendations arising from the study.

Item 12. To the State Treasurer, Small and Minority-Owned Business Assistance Program, from funds allocated to the program pursuant to Tennessee Code Annotated, Section 65-5-113.

Item 13. To the State Treasurer, TN Stars College Savings 529 Program, from funds transferred into the program from the college savings trust fund program pursuant to Tennessee Code Annotated, Section 49-7-824(c).

Item 14. To the State Treasurer, TN Stars College Savings 529 Program, from funds transferred into the program from the Small and Minority-Owned Business Assistance Program pursuant to Tennessee Code Annotated, Section 65-5-113(c).

Item 15. To the State Treasurer, TN Stars College Savings 529 Program, from financial management fees in the program.

Item 16. To the State Treasurer from the earnings of the funds of the Tennessee Retiree Group Trust to the Tennessee Department of Treasury a sum sufficient for implementation of Chapter 780, Public Acts of 2022; provided, however, that said sum sufficient shall be subject to the approval of the Commissioner of Finance and Administration. The State Treasurer shall file a request to establish such sum sufficient with the Commissioner of Finance and Administration and the Chair and Vice Chair of the Council on Pensions and Insurance. The Commissioner of Finance and Administration shall not act upon such request until in receipt of a letter from the Chair and Vice Chair of the Council on Pensions and Insurance acknowledging receipt of the

State Treasurer's request. Within the appropriation approved pursuant to this item the State Treasurer, with the approval of the Speaker of the Senate and the Speaker of the House of Representatives, is authorized to establish positions and funding needed to effectuate the provisions of Chapter 780, Public Acts of 2022.

Item 17. To the Alcoholic Beverage Commission from departmental revenues available to defray the expenses of outstanding litigation.

Item 18. To the Alcoholic Beverage Commission from the revenues and reserves of the Responsible Vendor Certification Fund, pursuant to Tennessee Code Annotated, Section 57-5-609.

Item 19. To the Health Facilities Commission from the revenues and reserves of the Temporary Health Care Staffing Registry.

Item 20. To the Health Facilities Commission from the revenues and reserves authorized by Tennessee Code Annotated, Section 68-11-278 for plans review.

Item 21. From federal funds available to the Tennessee Housing Development Agency, there is hereby appropriated a sum sufficient to meet obligations incurred by the agency, pursuant to the federal Section 8 program and the Hardest Hit Fund (HHF) Program.

Item 22. To the Tennessee Housing Development Agency from the sale or rental of housing and other property rehabilitated by the Neighborhood Stabilization Program.

Item 23. To Tennessee Rehabilitative Initiative in Correction Board (TRICOR), in an amount equal to the balance in the revolving fund, for benefit of the program.

Item 24. To the Tennessee State Museum from (a) deferred revenue and departmental revenues available to the museum to be used for the purchase of artifacts, and (b) donations made to the State Museum. Any unexpended revenues shall not revert to the general fund balance at June 30 and such revenues shall be carried forward in a reserve at June 30 and are hereby reappropriated in the subsequent fiscal year.

Item 25. To the Tennessee State Museum from departmental revenues from gift shop sales and rentals of museum space. Any unexpended revenues shall not revert to the general fund balance at June 30 and are hereby reappropriated in the subsequent fiscal year.

Item 26. To the Department of General Services for equipment and supplies ordered but not delivered at June 30, 2026.

Item 27. To the Department of General Services, Warehousing and Distribution program, from available revenues and reserves.

Item 28. To the Department of General Service, Megasite Authority of West Tennessee, from the revenues and reserves of the authority.

Item 29. To the Department of General Services, Megasite Water and Wastewater Authority from the revenues and reserves derived from the megasite water and wastewater fund.

Item 30. To the Department of Veterans Services, Tennessee State Veterans Cemeteries, from the revenues and reserves of donations made to the cemeteries pursuant to Tennessee Code Annotated, Section 46-6-102.

Item 31. To the Department of Agriculture from monies received for reimbursement for expenses incurred while providing firefighting personnel and services to other states.

Item 32. To the Department of Agriculture, Carbon Sequestration Program, from available revenues and reserves.

Item 33. To the Department of Agriculture, Forestry Operations, from federal aid and other departmental revenues for natural disasters, including wildfire emergencies. Subject to this appropriation, authorized positions may be increased as required for wildfire emergencies. This item is subject to approval by the Commissioner of Finance and Administration.

Item 34. To the Department of Agriculture from departmental revenues from merchandise sales and rentals of agriculture space. Any unexpended revenues shall not revert to the general fund balance at June 30 and are hereby reappropriated in the subsequent fiscal year.

Item 35. To the Department of Agriculture from the reserves of the Riparian Buffer Incentive Program.

Item 36. To the Department of Tourist Development from revenues received from communities, businesses, non-state organizations, federal funds, and other sources of departmental revenue to be used for marketing programs of the department. Any unexpended balances at June 30 shall be carried forward in a reserve and are hereby reappropriated in the subsequent fiscal year.

Item 37. To the Department of Environment and Conservation, West Tennessee River Basin Authority, from funds provided by the counties within the authority area.

Item 38. To the Department of Environment and Conservation, Tennessee State Parks, from revenues collected by the parks system.

Item 39. To the Department of Environment and Conservation, Office of Energy Programs and Energy Loan Programs, from the revenues and reserves of the Petroleum Violation Escrow Fund.

Item 40. To the Department of Environment and Conservation, Natural Areas, from revenues generated from the disposal of invasive and/or non-native species from

lands under department management undergoing ecological restoration and donations received for such purpose.

Item 41. To the Department of Environment and Conservation, Office of Energy Programs, from the revenues and reserves of the Volkswagen Environmental Mitigation Trust Fund.

Item 42. To the Department of Environment and Conservation, Clean Water and Drinking Water State Revolving Fund, for administrative expense reimbursement from the Comptroller of the Treasury.

Item 43. To the Department of Environment and Conservation, Office of Energy Program, from available revenues from settlements entered into by the Department.

Item 44. To the Department of Environment and Conservation from the Oak Ridge Monitoring fund reserve.

Item 45. To the Department of Correction all monies collected as contraband from the inmate population at any of the facilities operated by or under authority of the department. Any unexpended revenue shall not revert to the state general fund balance pursuant to Tennessee Code Annotated, Section 4-6-147.

Item 46. To the Department of Correction for the federal State Criminal Alien Assistance Program.

Item 47. To the Department of Correction for revenues and reserves from the fees collected by inmate telephone calls.

Item 48. To the Department of Economic and Community Development from revenues received from communities, businesses, non-state organizations, federal funds, and other sources of departmental revenue to be used for marketing programs of the department. Any unexpended balances at June 30 shall be carried forward in a reserve and are hereby reappropriated in the subsequent fiscal year.

Item 49. To the Department of Economic and Community Development:

(a) To meet community development block grant expenditure requirements. This appropriation shall be from federal aid funds.

(b) From monies received from conferences, trade missions, trade shows and other activities which reimburse the state for expenses.

(c) From interest earnings allocated to the FastTrack Program; Job Skills Fund; Broadband Fund, and Small Cities Community Development Block Grant (CDBG).

Item 50. To the Department of Economic and Community Development, for TNInvestco liquidation events, pursuant to Tennessee Code Annotated, Title 4, Chapter 28.

Item 51. To the Tennessee Film, Entertainment and Music Commission from departmental revenues received by and interest earnings allocated to the commission. This appropriation is subject to approval by the Commissioner of Finance and Administration.

Item 52. To the Department of Education from student fees collected by the department and Special Schools.

Item 53. To the Department of Education from donations to the Commission on Education Recovery and Innovation.

Item 54. To the Department of Education, Charter School Commission, from the revenues and reserves collected by the commission from the Tennessee Investment in Student Achievement program, pursuant to Tennessee Code Annotated, Title 49, Chapter 13, Part 1.

Item 55. To the Department of Education, from the revenues, including local revenues, and reserves of the following programs in the Department of Education: (a) Education Savings Accounts (ESA); and (b) Individualized Education Accounts (IEA).

Item 56. To the Department of Education, from the revenues, including local revenues, and reserves of the following programs in the Department of Education: (a) Tennessee Investment in Student Achievement program.

Item 57. To the Department of Education from reserves created for unexpended balances of donations from non-governmental entities. Any new grants or donations from such entities shall be subject to the provisions of Section 23, Item 3 of this act.

Item 58. To the Department of Commerce and Insurance:

(a) Insurance, from revenues and reserves of the Insurance Education Fund.

(b) Securities, from the revenues and reserves of the Securities Enforcement and Legal Training reserve and the Securities Education Fund.

(c) Fire Prevention, for administration and payment of electrical inspections. This appropriation is contingent upon the fees collected for making electrical inspections being in excess of the budgeted estimate.

(d) Fire Service and Codes Enforcement Academy, from departmental revenues for administration and training purposes.

(e) Tennessee Law Enforcement Training Academy, from departmental revenues and reserves for administration and training purposes.

Item 59. To the Department of Labor and Workforce Development from federal aid funds and other departmental revenues. Subject to this appropriation, authorized positions may be increased up to one hundred (100) positions.

Item 60. To the Department of Labor and Workforce Development from federal National Emergency Grant funds.

Item 61. To the Department of Mental Health and Substance Abuse Services from revenue received from managed care organizations and other non-state organizations for inpatient mental health services provided for publicly funded or potentially publicly funded persons.

Item 62. To the Department of Mental Health and Substance Abuse Services from the revenues and reserves of the Tennessee Opioid Abatement Council, pursuant to Tennessee Code Annotated, Title 9, Chapter 4, Part 13. The council is further authorized to establish additional positions, pursuant to Tennessee Code Annotated, Section 33-11-104.

Item 63. To the Department of Mental Health and Substance Abuse Services from the revenues and reserves of the Tennessee Opioid Abatement Fund, pursuant to Tennessee Code Annotated, Title 9, Chapter 4, Part 13.

Item 64. To the Department of Mental Health and Substance Abuse Services from the revenues and reserves of the K-12 mental health special reserve account, pursuant to Tennessee Code Annotated, Section 49-3-502.

Item 65. To the Department of Mental Health and Substance Abuse Services from revenues collected from TennCare managed care organizations.

Item 66. To the Department of Military, TEMA and Disaster Relief Grants, from federal aid disaster relief funds.

Item 67. To the Department of Military, Station Commanders Upkeep and Maintenance Fund and Armories Maintenance, from the station commanders upkeep and maintenance fund created pursuant to Tennessee Code Annotated, Section 58-1-512, to be used for purposes specified therein.

Item 68. To the Department of Health from departmental revenues related to premiums and drug rebates for the purpose of carrying out the provisions of the Ryan White program.

Item 69. To the Department of Health from departmental revenues received pursuant to Tennessee Code Annotated, Section 68-11-1307, to provide for contracts with qualified experts relative to hospital cooperative agreements.

Item 70. To the Department of Human Services, subject to the financial reporting requirement that the value of federal supplemental nutrition assistance be recognized in the state's accounting system, there is hereby appropriated a sum sufficient from federal funds to recognize the value of supplemental nutrition assistance.

Item 71. To the Department of Human Services from the revenues and reserves of the Tennessee Blind Enterprises program.

Item 72. To the Department of Human Services, Disability Determination Services, from federal aid provided by the federal Social Security Administration. Subject to this appropriation, the number of authorized positions may be increased to respond to changes in caseload. This item is subject to approval of the Commissioner of Finance and Administration.

Item 73. To the Tennessee Bureau of Investigation from revenues and reserves available to the following programs:

(a) To conduct records and background checks for handgun carry permits pursuant to Tennessee Code Annotated, Section 39-17-1351.

(b) To conduct criminal history records checks on purchasers of firearms (Tennessee Instant Check System – TICS) pursuant to Tennessee Code Annotated, Section 39-17-1316.

(c) To conduct criminal history checks for employment requirements pursuant to Tennessee Code Annotated, Sections 33-2-1201, 37-5-502, 49-5-406, 68-11-233, 68-11-234, and 71-2-403.

(d) To certify endorsement of transporting hazardous material on commercial driver licenses pursuant to 49 CFR Part 1572.

(e) To provide criminal history information through the Tennessee Online Records Information System (TORIS) pursuant to Tennessee Code Annotated, Section 38-6-120.

Item 74. To the Department of Safety, Driver License Issuance, from revenues and reserves available to defray expenses of handgun carry permit program pursuant to Tennessee Code Annotated, Section 39-17-1351.

Item 75. To the Department of Safety from any donations received from any non-profit organization created pursuant to Tennessee Code Annotated, Section 4-3-2017.

Item 76. To the Department of Safety, the Department of Revenue, the Tennessee Bureau of Investigation, the Tennessee National Guard, the Alcoholic Beverage Commission, and the Office of Inspector General in the Department of Finance and Administration from the proceeds of property seized and forfeited under federal procedures which are shared with the departments or the commission.

Item 77. To the Department of Safety, the Department of Military - Tennessee Emergency Management Agency, and the Department of Environment and Conservation from the revenues and reserves of the nuclear safety fund, pursuant to Tennessee Code Annotated, Section 65-15-114.

Item 78. To the Department of Children's Services, for departmental revenues from the federal Social Security Administration for the benefit of children in the department's care.

Item 79. To the Department of Children's Services from revenues collected from TennCare managed care organizations.

Item 80. To the Department of Transportation from local government funds, federal aid and other departmental revenues.

SECTION 10. Provisions, Limitations, and Restrictions on Appropriations. The appropriations made by this act shall be subject to the following provisions, limitations, or restrictions:

Item 1. Pursuant to Tennessee Code Annotated, Section 8-4-109 and Section 8-4-116, any entity which receives state funds appropriated by the provisions of this act shall be subject to audit by the Comptroller of the Treasury as to the expenditure and obligation of such funds.

Item 2. In case revenues are not adequate to meet in full all appropriations made by this act, the appropriations made for Sinking Fund Debt Service and the amounts necessary to cover the salary and wage obligations of the state shall have preferential payment.

Item 3. No expenditure of public funds pursuant to this act shall be made in violation of the provisions of Title VI of the Civil Rights Act of 1964, as codified in 42 United States Code, 2000(d).

Item 4. No funds appropriated by this act shall be obligated and/or expended for any newsletter, periodical, or other material which is to be distributed to all, or substantially all, state employees (excluding higher education) until the agency head proposing to make such distribution contacts the two Speakers and makes available equal space for legislative information in such newsletter, periodical, or other material. This item shall not apply to policy and/or procedural directives.

Item 5. It is the legislative intent to encourage that all conferences, workshops, meetings, seminars, programs, and similar endeavors conducted for officials and/or employees of the legislative, executive, or judicial branch of state government be conducted in state facilities whenever practicable.

Item 6. From the appropriations made by this act, claims for official travel expenses of state employees and members of boards and commissions shall be paid in accordance with Tennessee Code Annotated, Section 8-26-116.

Item 7. From the appropriations in Sections 1 and 4 for the Appellate and Trial Courts and other relevant programs of the Judiciary, travel expenses of the state justices, judges, and chancellors shall be paid in accordance with Tennessee Code Annotated, Section 8-26-101(1) and other applicable law.

Item 8. The Supreme Court shall fix the salaries of the marshals for the Eastern, Middle, and Western Divisions, which salary shall be payable out of the appropriations for Appellate Court Clerks.

Item 9. The commission in charge of the Supreme Court Building in Nashville, established by Tennessee Code Annotated, Section 16-3-701, is authorized to employ an experienced Engineer-Superintendent to supervise the air-conditioning and heating of the Supreme Court Building at Nashville and to employ the necessary assistants to keep and maintain the building. Payment for said services shall be paid out of the appropriations made by this act.

Light, heat, and water for the Supreme Court Building in Nashville and for the Supreme Court Building in Knoxville is to be provided by the Department of General Services out of the appropriation herein made for it.

Item 10. Employees of the office of the Executive Director to the District Public Defenders Conference, District Public Defenders and employees of a District Public Defenders Office, as created pursuant to Tennessee Code Annotated, Title 8, Chapter 14, shall only travel and shall be reimbursed for travel expenses in accordance with the provisions of the comprehensive travel regulations promulgated by the Department of Finance and Administration and approved by the Attorney General.

Item 11. The appropriation made in Section 1, Title III-1, Item 5.8, for the Tax Relief Program, is made for the purpose of providing tax relief for elderly low-income homeowners, disabled homeowners, and disabled veteran homeowners, as provided by law. The income eligibility limit for elderly low-income homeowners and for homeowners totally and permanently disabled shall be adjusted for the fiscal year 2026-2027 under the provisions of Tennessee Code Annotated, Section 67-5-702 and Section 67-5-703.

Item 12. From the funds appropriated to the TennCare program, the state shall comply with applicable federal law.

Item 13. Subject to the concurrence of the Commissioner of Finance and Administration, the Commissioner of Human Resources is authorized to develop and implement a system whereby the cost of the Board of Appeals created by Tennessee Code Annotated, Section 8-30-108, and of services rendered to the Department of Human Resources by the Administrative Procedures Division of the Department of State is recovered from those departments, boards and commissions to whom services are rendered.

Item 14. The funds appropriated in Section 4, Title III-3, Item 4, to Forestry Operations, shall include the proceeds from timber, communication access, and carbon credit sales conducted by the Department of Agriculture. It is the legislative intent that said proceeds shall be accounted for as departmental revenue.

Item 15. The appropriation to the Department of Correction, Sex Offender Treatment Program in Section 1, Title III-7, Item 5, is made pursuant to Tennessee Code Annotated, Section 39-13-708.

Item 16. From the appropriation made to State Prosecutions in Section 1, Title III-7, Item 6, payments to reimburse counties for housing convicted felons shall not exceed \$41.00 per inmate per day. Provided, however, the \$41.00 per inmate per day limitation on reimbursement payments shall be inapplicable to the extent the state is obligated by the specific terms of a written contract to provide reimbursement at a rate in excess of \$41.00 per inmate per day, but only to the extent of that contractual obligation.

Item 17. The General Assembly recognizes that demands on available state revenue are such that it may be necessary to establish priorities among state services and programs and to revise the methods of allocating state resources. Therefore, it is the legislative intent that local governments should consider in undertaking long-term obligations based on state payments, specifically state per diem payments for housing state inmates in local jails, that existing payments may be reduced or eliminated in the future and such not be regarded as the principal source of funding for debt repayment obligations.

Item 18. From the appropriation to the Department of Correction, State Prosecutions, in Section 1, Title III-7, Item 6, payments for boarding jurors shall be made in accordance with Tennessee Code Annotated, Section 40-18-107.

Item 19. Within the amount appropriated in Section 1, Title III-17, and in Section 4, Title III-17, for Temporary Assistance to Needy Families, the Commissioner of Human Services shall establish by rule or regulation, pursuant to the provisions of Tennessee Code Annotated, Section 71-3-105, to be effective July 1, 2026, the standard of need for each family size in the Families First program; and, provided further, that the Commissioner of Human Services, in consultation with the Commissioner of Finance and Administration, may by rule to be effective on July 1, 2026, establish certain categories of Families First recipients to whom an additional grant differential may be paid.

Item 20. The appropriations to the Department of Revenue under Section 1, Title III-18, provide for all the activities of the department and include amounts in lieu of percentages allowed by law on collection of certain taxes and revenues; such percentage shall be covered into and made a part of the general fund. Appropriations also include amounts for motor vehicle registration and any other activities which may be administered by the Department of Revenue.

Item 21. No funds appropriated by the provisions of this act for any cultural, specialty earmarked, new specialty earmarked, and collegiate license plate shall be allocated by the Department of Finance and Administration to the Department of Revenue until such plate has met all statutory requirements for issuance, as provided in Tennessee Code Annotated, Title 55, Chapter 4.

Item 22. It is the legislative intent that the appropriation in Section 1, Title III-20, for the Statewide School Resource Officer (SRO) Program, provides a pool of funding for grants to local law enforcement entities through local governments for the purpose of placing one full-time, POST-certified school resource officer position in each public school. The funding amount per SRO shall not exceed \$75,000 per year. The Department of Safety shall make grant funds available to a local law enforcement entity

after that local law enforcement entity presents to the department an executed memorandum of understanding (MOU) between the entity and the LEA, public charter school, or alternative school, pursuant to which the local law enforcement entity shall provide full-time SROs to schools in the LEA, public charter school, or alternative school. The MOU shall be in a form prescribed by the department. Further, this pool of funding shall not be awarded for more than one SRO per public school and is subject to periodic audit and reporting as deemed necessary by the department. The Department shall submit a report to the Chairs of the Finance, Ways and Means Committees of the Senate and the House of Representatives and the Office of Legislative Budget Analysis at least quarterly, beginning October 1, 2025, detailing the following information concerning the School Resource Officer Program: the number of LEAs, public charter schools, and alternative schools that have executed an MOU with a law enforcement entity as part of the program; the number of LEAs, public charter schools, and alternative schools that have executed an MOU with a law enforcement entity as part of the program and have been provided a full-time SRO; the percentage of public elementary schools that have an executed MOU and the percentage of those that have been provided a full-time SRO; the percentage of public secondary schools that have an executed MOU and the percentage of those that have been provided a full-time SRO; and a breakdown by county of the percentage of public schools in the county that have an executed MOU and the percentage of those that have been provided a full-time SRO.

Item 23. From the funds appropriated to the State Treasurer in Section 4, Title III-1, Item 6.1 and 7.2, for the Treasury Department and Risk Management Fund, the Commissioner of Finance and Administration, upon the request of the State Treasurer, is authorized to transfer amounts budgeted for contract services to payroll, and to increase the number of authorized positions to replace contractors with state employees.

SECTION 11. Department of Education. The appropriations made by this act under Sections 1 and 4 to the Department of Education shall be subject to the following provisions, limitations, or restrictions:

Item 1. The appropriation made in Section 1, Title III-9, Item 2.1c, for the Tennessee Investment in Student Achievement (TISA) funding formula, shall be administered pursuant to the provisions of Title 49, Chapter 3, Part 1 and any rules promulgated for the implementation of the funding formula. The TISA formula shall be calculated for the fiscal year using the following criteria:

(a) The state shall provide seventy percent (70%) of the statewide funds generated for the base funding amount and weighted allocations. The state shall provide one hundred percent (100%) of the statewide funds generated for the direct funding amounts and outcomes bonuses. For the weighted allocations for economically disadvantaged provided for the 2026-2027 school year, allocations shall ensure no district experiences a reduction of economically disadvantaged ADM as compared to those funded in the 2025-2026 school year.

(b) The dollar value of the base funding amount shall be seven thousand five hundred thirty dollars (\$7,530) per member student, inclusive of state and required local funds.

(1) Of the total funds generated in the base by all students, one hundred and twenty-five million dollars (\$125,000,000) of these funds, inclusive of state and required local funds, shall be restricted pursuant to 49-3-105(e) for purpose of providing salary increases to existing educators.

(c) The dollar values of the direct funding amounts, to be fully state funded, shall be as follows:

(1) Pursuant to 49-3-105(c)(1), a rising fourth grade student who is determined to not be proficient in English language arts (ELA) based on the student achieving a performance level rating of "below" or "approaching" on the ELA portion of the student's most recent TCAP test shall generate five hundred dollars (\$500) to be allocated through the formula.

(2) Pursuant to 49-3-105(c)(2) – student members in career and technical programs shall generate funding aligned with following levels and year progressions:

(A) A student member assigned to the first year of a level one (1) career and technical program shall generate five thousand dollars (\$5,000) to be allocated through the formula.

(B) A student member assigned to the second year of a level one (1) career and technical program shall generate five thousand fifty dollars (\$5,050) to be allocated through the formula.

(C) A student member assigned to the third year of a level one (1) career and technical program shall generate five thousand one hundred fifty dollars (\$5,150) to be allocated through the formula.

(D) A student member assigned to the fourth year of a level one (1) career and technical program shall generate five thousand three hundred dollars (\$5,300) to be allocated through the formula.

(E) A student member assigned to the first year of a level two (2) career and technical program shall generate five thousand two hundred dollars (\$5,200) to be allocated through the formula.

(F) A student member assigned to the second year of a level two (2) career and technical program shall generate five thousand two hundred fifty dollars (\$5,250) to be allocated through the formula.

(G) A student member assigned to the third year of a level two (2) career and technical program shall generate five thousand three hundred fifty dollars (\$5,350) to be allocated through the formula.

(H) A student member assigned to the fourth year of a level two (2) career and technical program shall generate five thousand five hundred dollars (\$5,500) to be allocated through the formula.

(I) A student member assigned to the first year of a level three (3) career and technical program shall generate five thousand four hundred dollars (\$5,400) to be allocated through the formula.

(J) A student member assigned to the second year of a level three (3) career and technical program shall generate five thousand four hundred fifty dollars (\$5,450) to be allocated through the formula.

(K) A student member assigned to the third year of a level three (3) career and technical program shall generate five thousand five hundred fifty dollars (\$5,550) to be allocated through the formula.

(L) A student member assigned to the fourth year of a level three (3) career and technical program shall generate five thousand seven hundred dollars (\$5,700) to be allocated through the formula.

(M) A student member assigned to a level two (2) or a level three (3) career and technical program that is also identified as a high-cost program shall generate funding equal to the student member's proportional share of two million dollars (\$2,000,000) to support additional resources needed in such programs.

(3) Pursuant to 49-3-105(c)(3), a junior or senior in high school who has not previously taken a postsecondary readiness assessment or a junior or senior in high school who has previously taken a postsecondary readiness assessment, but only once, shall generate forty-three dollars (\$43) to fund an opportunity for each the original test attempt and the retake attempt (eighty-six dollars per student in total) to be allocated through the formula;

(4) Pursuant to 49-3-105(c)(4), a student in any of the grades kindergarten through three (K-3) shall generate five hundred dollars (\$500) to be allocated through the formula;

(5) Pursuant to 49-3-105(c)(5), a student who attends a public charter school shall generate funding equal to the student's ADM proportional share of twenty-two million dollars (\$22,000,000) representing the total of the charter school facilities funding shifted into the TISA formula to be allocated through the formula to all students identified pursuant to 49-3-105(c)(5);

(d) The dollar value of the outcomes bonuses shall be eighty million dollars (\$80,000,000) to be disbursed pursuant to 49-3-106 and any rules promulgated for this purpose.

(e) Pursuant to 49-3-104(13), the fiscal capacity calculation shall be determined as the average of the fiscal capacity estimates generated by the formula established by the Boyd Center for Business and Economic Research at the University of Tennessee and the formula established by the Tennessee advisory commission on intergovernmental relations.

Item 2. From the appropriation made in Section 1, Title III-9, Item 2.1c, for the Tennessee Investment in Student Achievement (TISA), additional funding for local education agencies shall be administered pursuant to the provisions of Title 49, Chapter 3, Part 1 and any rules promulgated for the implementation of these purposes:

(a) From the appropriation made in Section 1, Title III-9, Item 2.1c, TISA, an amount not to exceed forty million dollars (\$40,000,000) is appropriated for the purpose of providing fast growth and infrastructure stipends to eligible local education agencies pursuant to 49-3-107 and rules promulgated for the implementation of this purpose. From this amount, a maximum of five million dollars (\$5,000,000) may be used for the purposes of issuing infrastructure stipends.

(b) From the appropriation made in Section 1, Title III-9, Item 2.1c, TISA, an amount not to exceed thirteen million dollars (\$13,000,000) is appropriated for the purpose of:

(1) providing additional funding for local education agencies identified pursuant to 49-3-108(b) related to transitioning from the Basic Education Program to TISA; and,

(2) providing additional funding for local education agencies identified pursuant to 49-3-108(c) related to ensuring no local education agency experiences a decrease more than five percent (5%) in funding between two fiscal years.

(c) From the appropriation made in Section 1, Title III-9, Item 2.1c, TISA, an amount not to exceed \$10,000,000 is appropriated for the purpose of providing additional funding for local education agencies identified pursuant to 49-3-108(d)(1)(A)(i) related to distressed or at-risk counties for which local education agencies experience an increase in maintenance of effort requirements.

(d) From the appropriation made in Section 1, Title III-9, Item 2.1c, TISA, an amount not to exceed \$8,000,000 is hereby appropriated for the purpose of making distributions to local education agencies as identified pursuant to 49-3-108(d)(1)(A)(ii) related to active tourism development zones.

(e) From the appropriation made in Section 1, Title III-9, Item 2.1c, TISA, an amount not to exceed \$0 is appropriated for the purpose of providing

additional funding for local education agencies identified pursuant to 49-3-108(d)(2) related to cost differential factor grants.

(f) From the appropriation made in Section 1, Title III-9, Item 2.1c, TISA, an amount not to exceed \$14,500,000 is appropriated for the purpose of addressing teacher compensation disparity, and such funds shall be distributed pursuant to 49-1-302, to the extent available.

(g) From the appropriation made in Section 1, Title III-9, Item 2.1c, TISA, an amount not to exceed seventeen million dollars (\$17,000,000) is appropriated for the purpose of proving direct payments as financial incentives for high-performing local education agencies, where fifty percent (50%) or more of the eligible schools in the LEA received an "A" letter grade, pursuant to 49-1-228.

(h) For any funds appropriated within Item 2, should the formula generated funds exceed the appropriated funds for the state's K-12 education funding formula, the department, with approval from the Commissioner of Finance and Administration, may utilize unused or pro-rated amounts of funds from these appropriations to avoid pro-rating overall formula funds.

Item 3. Pursuant to 49-3-106(e), funds appropriated that remain unexpended at the end of a fiscal year shall not revert to the general funds but must be used to supplement future allocations of outcome incentive dollars.

Item 4. Under the provisions of Tennessee Code Annotated, Section 49-3-357 and Section 49-3-358, pertaining to interest accruing on investments and deposits to the Education Trust Fund and the TISA, it is the legislative intent that only interest earnings be recognized and that no interest expense be charged to the fund and the program.

Item 5. From the appropriations made to the Department of Education under Section 1, Title III-9, of this act or through other funds received by local education agencies, local education agencies are required to contribute a portion of the premium of participation in the basic health plans as authorized by Tennessee Code Annotated 8-27-302 at the following levels:

(a) Pursuant to Tennessee Code Annotated, Section 8-27-303(a)(1)(B), each local education agency shall pay on behalf of each instructional employee participating in the health insurance coverage authorized by Tennessee Code Annotated, Sections 8-27-302 and 303 a minimum of forty-five percent (45%) of the monthly premium for the coverage elected by the instructional employee.

(b) Pursuant to Tennessee Code Annotated, Section 8-27-303(a)(1)(D), each local education agency shall pay on behalf of each support staff employee participating in the health insurance coverage authorized by Tennessee Code Annotated, Section 8-27-302 and 303 a minimum of ten percent (10%) of the monthly premium for the coverage elected by the support staff employee.

The Local Education Insurance Committee shall determine a calendar year 2027 plan of benefits, related services, and monthly premiums for each of the health care options offered through the "basic plan" it authorizes pursuant to Section 8-27-302,

Tennessee Code Annotated, which results, with reasonable certainty, in the provision of sufficient revenues to pay plan expenses and to provide for the funding of reserves, as approved by the Local Education Insurance Committee, for estimated incurred but unreported claims. The monthly premiums shall be subject to the approval of the Commissioner of Finance and Administration pursuant to Tennessee Code Annotated, Section 4-3-1006.

SECTION 12. Certain Legislation – Appropriations and Provisions for Funding.

Item 1. It is the legislative intent to recognize a revenue loss from bills that result in no expenditure increase but forgo revenue which has not been collected previously.

Item 2. In addition to any other funds appropriated by the provisions of this act, there is hereby appropriated to the Department of Finance and Administration for distribution to the appropriate entities a sum sufficient to fund any bill on which the fiscal note indicates that the cost of implementation of the bill as enacted is not significant. It is the legislative intent that if funding is earmarked for implementation in such bills that the funds appropriated in this item be reduced accordingly.

Item 3. In addition to any other funds appropriated by the provisions of this act, if the fiscal note on any bill states that state revenues would be increased in an amount equal to or greater than state expenditures as a result of the enactment of such bill, then there is appropriated a sum sufficient from such increased revenue to the appropriate entity, as determined by the Commissioner of Finance and Administration, to implement such bill.

Item 4. The provisions of this item take effect upon becoming a law, the public welfare requiring it. From the appropriations made in this act, there hereby is appropriated a sum sufficient for implementation of any legislation cited or otherwise described by category in this act or in the Budget Document transmitted by the Governor that has an effective date prior to July 1 of the current calendar year, provided that such legislation is funded in the Budget Document as submitted by the Governor or in the final legislative balancing schedules summarizing enacted amendments incorporated into this act or other appropriations acts of this legislative session and that the fiscal impact of implementing the legislation, as indicated in the final cumulative fiscal note of the Fiscal Review Committee on enacted legislation, is less than or equal to the amounts indicated in the Budget Document or the amendment balancing schedules. The final legislative balancing schedules may incorporate in summary form the amounts included in the amendment(s) submitted by the Governor, to the extent adopted, as indicated on the balancing schedule accompanying the Governor's recommended amendment(s).

Item 5. From funds available to any department, commission, board, agency, or other entity of state government, there is earmarked a sum sufficient to fund any bill or resolution, that becomes law or is adopted, respectively, for which the Commissioner of Finance and Administration certifies in writing that the cost of implementation of the bill or resolution will be funded within existing appropriations of the entity, within the availability of revenues received by the entity, or within other existing budgetary resources. The certification shall include the source of obtaining the funds to provide for such appropriations. It is the legislative intent that such funding be earmarked for

implementation of any such bills or resolutions in the fiscal years ending June 30, 2026 and June 30, 2027. This item takes effect upon becoming a law, the public welfare requiring it.

Item 6. From the funds appropriated to the Department of Transportation, there is earmarked a sum sufficient for the sole purpose of funding any general bill or resolution that is not otherwise funded in this act and becomes a law designating an interstate, United States highway or state highway as a memorial highway or as a memorial bridge for certain individuals killed in the line of duty, pursuant to Tennessee Code Annotated, Section 54-1-133.

SECTION 13. Board of Claims, Property Insurance, and Risk Management.

Item 1. The Commissioner of Finance and Administration is authorized to reallocate appropriations for Board of Claims premiums and property insurance premiums among state agencies and programs, based on the actuarial study provided by the State Treasurer, and to adjust federal and other departmental revenues accordingly. There is further appropriated for this purpose sums sufficient from dedicated and earmarked revenues to provide for the allocation of appropriations to those agencies and programs funded by dedicated and earmarked revenues. The Commissioner of Finance and Administration also shall reduce appropriations from the general fund and from dedicated and earmarked revenues where necessary, to reflect the allocations of the actuarial study.

Item 2. From the appropriation made in Section 4, Title III-1, Item 7.2, Risk Management Fund, funds may be expended for purposes outlined in Tennessee Code Annotated, Section 9-8-109(d), including, but not limited to, contracting with a third party for claims management services.

SECTION 14. Provisions, Limitations, and Restrictions on Obligation and Expenditure of Appropriations.

Item 1. The appropriations made by this act and all other appropriations, including appropriations of departmental revenues as set forth in Section 4 of this act, shall be obligated and expended under the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10, and Title 9, Chapter 4, Part 51, which shall remain in full force and effect; and in case of conflict with any other law, the provisions of such laws shall prevail. All appropriations, except those made by acts authorizing bond issues and expenditures thereof, though made by other statutes, shall likewise be obligated and expended under the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10, and Title 9, Chapter 4, Part 51. Pursuant to Tennessee Code Annotated, Section 9-4-5113(b), obligation and expenditure of appropriations made to the following agencies are exempt from the requirement that agencies first obtain certification of availability of funds by the Commissioner of Finance and Administration: the General Assembly, Court System, Attorney General and Reporter, District Attorneys General, Public Defenders, Office of the Post-Conviction Defender, Secretary of State, Comptroller of the Treasury, and the State Treasurer.

Item 2. Contracts, agreements, and obligations involving the expenditure of money by the General Assembly, Court System, Attorney General and Reporter, District

Attorneys General, District Public Defenders, Office of the Post-Conviction Defender, Secretary of State, Comptroller of the Treasury, and the State Treasurer shall be made under the provisions of Tennessee Code Annotated, Section 9-4-5113(b).

Item 3. The Department of Finance and Administration may examine and approve or refuse to approve requisitions for purchases made from the appropriations in this and other acts, in accordance with Tennessee Code Annotated, Section 4-3-1006(8). Pursuant to such law, requisitions from the following are excluded from this examination: The General Assembly, Court System, Attorney General and Reporter, Secretary of State, Comptroller of the Treasury, and the State Treasurer.

SECTION 15. Provisions, Limitations, and Restrictions on Appropriations.

Item 1. No part of the funds appropriated to any department, office, instrumentality, or agency of the state government shall be expended in any other such entity, but if the head of any department, office, commission or instrumentality of the state government finds that there is a surplus in any classification, division, or unit under such entity, and a deficiency in any other division, unit or classification, then in that event the head of such department, office, commission or instrumentality of the state government may transfer such portion of such funds as may be necessary for the one division, unit or classification where the surplus exists to the other, except as otherwise provided herein, provided such transfer is approved by the Commissioner of Finance and Administration. Such transfer of funds pursuant to this item shall be subject to the approval of a majority of a committee comprised of the Speaker of the Senate, the Speaker of the House and the Comptroller of the Treasury.

Item 2. The Commissioner of Finance and Administration may establish in any department, office, commission or instrumentality of the state government a clearing account through which all salaries and wages, including the state's portion of retirement, insurance, Social Security, etc., may be disbursed. In the event such accounts are established, department records shall be maintained showing the distribution of such amounts among the various appropriation codes, and any financial reports shall present expenditures as if such expenditures had been made through the individual appropriation accounts.

Item 3. In case any division or function of government for which an appropriation is provided in this act or otherwise, shall be transferred from an existing department, to any other department, such transfer shall automatically result in the appropriation for such transferred division or function becoming available to the department to which such transfer is made for the purposes of such transferred division or function.

Item 4. From the appropriations made to the various state departments and agencies under this act, and other general acts appropriating money, there may be paid any expenses incurred by said departments and agencies for the purpose of conducting and serving as host for regional or national conferences of which such departments or agencies may be members. Before any funds shall be expended under this authorization, the amount and purpose of the proposed expenditure shall be approved by the Commissioner of Finance and Administration.

Item 5. No department or agency in the executive branch of state government shall make organizational changes within such department or agency except with the prior approval of the Commissioner of Finance and Administration pursuant to Tennessee Code Annotated, Section 4-4-101(b). Where an organizational change requires a transfer of funds between organizational accounts and would constitute a change in the purpose of the appropriation, the Commissioner of Finance and Administration shall not approve the organizational change until the transfer of funds has been approved by the committee established by Section 4-4-101(b).

Item 6. The Commissioner of Finance and Administration is authorized to draw down disputed federal funds and to reserve the funds to prevent their expenditure until the dispute is settled; and the Commissioner of Finance and Administration in consultation with the State Treasurer is authorized to allocate interest earnings on the draw-down of disputed federal funds and to pay interest earnings to the federal government in those instances when expenditures are ultimately disallowed.

Item 7. From the appropriation made in Section 4, Title III-2, Item 4.4, to General Services, Real Estate Asset Management, the Commissioner of Finance and Administration is authorized to establish new positions for property management for new buildings the state maintains.

Item 8. Financial Systems Billings. From the funds appropriated in this act, the Commissioner of Finance and Administration is authorized to approve adjustments in rates charged by the Department of Finance and Administration for enterprise resource planning (ERP, or Edison) and the Division of Accounts, the Department of Human Resources, and the Department of General Services; to reserve any funds needed to rebate savings to the federal government; and to reallocate state appropriations between departments and reduce appropriations, and adjust federal aid and other departmental revenue accordingly.

Item 9. From the appropriations made for accounting functions and other fiscal activities in this act and other acts of the legislature, the Commissioner of Finance and Administration is authorized to establish and charge the costs of accounting positions and other fiscal positions to said appropriations. The Commissioner of Finance and Administration is further authorized to transfer between departments and agencies existing accounting positions, other fiscal positions and the funding provided in this act for transferred positions.

Item 10. From the appropriations made in Section 1, Titles III-2 through III-29 and in Section 4, Titles III-2 through III-28, to the Executive Branch departments and agencies, the Commissioner of Finance and Administration is authorized to transfer amounts budgeted for contract services to payroll and to increase the number of authorized positions to replace contractors with state employees.

Item 11. The Commissioner of Finance and Administration is authorized to maintain an indirect cost recovery plan to recognize overhead costs associated with the operations of the Tennessee Public Utility Commission, Wildlife Resources Agency, Department of Financial Institutions, Housing Development Agency and the regulatory boards and commissions not under the administration of the Department of Commerce

and Insurance or the Department of Health. The Commissioner is further authorized to charge the departments and agencies covered by the indirect cost recovery plan for their individual overhead costs.

Item 12. The state regulatory fee shall be assessed at the rate of five dollars (\$5.00) for one (1) year and ten dollars (\$10.00) for two (2) years. The fee shall be in lieu of any allocation of indirect costs which would otherwise be allocated to the regulatory boards covered by the provisions of Tennessee Code Annotated, Section 9-4-5117.

Item 13. If any appropriation in this act fails to designate a department or agency of state government to be responsible for the administration of the appropriation, then the Commissioner of Finance and Administration is hereby directed to designate the state department or agency to administer the appropriation.

Unless otherwise directed by language in this act, appropriation grants to agencies outside of state government shall be administered in such manner as the Commissioner of Finance and Administration shall determine. Direct appropriation grants for the benefit of agencies outside of state government may be administered by the Department of Finance and Administration.

Item 14. The Commissioner of Finance and Administration is hereby authorized to adjust departmental revenue and reserve estimates and related expenditures: (a) for internal service funds and enterprise funds to record fees received for services provided to departments, agencies, boards, and commissions, and (b) to record payment for services provided to state agencies by another state agency.

Item 15. The Commissioner of Finance and Administration is hereby authorized to adjust departmental revenue and related expenditures to recognize (a) the carry-over of federal funds and other departmental revenues that were budgeted and allotted but unexpended or unobligated at June 30; (b) an increase in the federal rate of reimbursement or match in federal programs so that there is less state expense or the additional federal funds are available to meet increasing costs without improving programs; and (c) an unexpected increase in federal grant funds so that there is less state expense or the additional federal funds are available to meet increasing costs without improving programs.

Item 16. The Commissioner of Finance and Administration is hereby authorized to adjust the estimates of federal block grant funds and other federal grant-in-aid funds estimated in Section 4 and Section 31 of this act to reflect the actual allocations of federal revenues made available to the State of Tennessee by the federal government.

Item 17. The Commissioner of Finance and Administration is authorized to transfer procurement positions from departments and agencies funded by this act to the central procurement office attached to the Department of General Services, upon the request of the chief procurement officer, and to adjust departmental revenue estimates and authorized positions accordingly. The plan for centralization of such procurement functions is subject to approval of the Commissioner of Finance and Administration.

Item 18. From the appropriations made for human resources functions and other personnel activities in this act and other acts of the legislature, the Commissioner of Finance and Administration is authorized to charge the costs of human resources positions and other personnel positions to said appropriations. The Commissioner of Finance and Administration is further authorized to transfer between departments and agencies existing human resources positions, other personnel positions and the funding provided in this act for transferred positions.

Item 19. From the appropriations made for radio communications functions in this act and other acts of the legislature, the Commissioner of Finance and Administration is authorized to transfer between departments and agencies existing radio communications positions and the funding provided in this act for transferred positions. The Commissioner of Finance and Administration is further authorized to adjust departmental revenues as may be required.

SECTION 16. Payments to Consolidated Retirement System.

Item 1. Each department, division or agency for the benefit of which an appropriation is made herein and which participates in the Consolidated Retirement System, shall pay from such appropriation monthly such sums as may be due such Consolidated Retirement System as the state's contribution from such department, division or agency.

Item 2. From the funds appropriated in this act for the purpose of funding the state's liability for employee participation in the state retirement system, the Commissioner of Finance and Administration is authorized to adjust departmental allotments to reflect active participation in the various programs of the retirement system, to reallocate appropriations between departments and reduce appropriations, and to adjust federal aid and other departmental revenue accordingly.

SECTION 17. Group Health Insurance, Long Term Disability Insurance, Dental Insurance, and Life Insurance Program for State Employees.

Item 1. From the appropriations made herein, the various departments, agencies, boards and commissions of state government shall pay on behalf of each participating covered individual within the respective departments, agencies, boards and commissions, not less than eighty percent (80%) of the cost of the coverage option for employees and employees' dependents, determined by the state insurance committee to be the basic health plan for funding purposes in the basic group medical insurance program, one hundred percent (100%) of the cost of the state-funded long term disability coverage as approved by the state insurance committee for employees, fifty percent (50%) of the cost of all dental insurance coverage options for employees and employees' dependents, one hundred percent (100%) of the cost of basic term life insurance coverage, and of basic accident insurance coverage for each participating covered individual; such coverages to be established pursuant to Tennessee Code Annotated, Title 8, Chapter 27, Part 2. In addition to this basic health plan for funding purposes, the state insurance committee may offer other plan options. Such appropriations made herein shall not prohibit the state insurance committee from offering other benefit options as permitted by Tennessee Code Annotated, Title 8, Chapter 27, Part 2.

The employer contribution amounts established by the State Insurance Committee for eligible participating employees shall not exceed, in the aggregate, the amounts appropriated in this act. The State Insurance Committee shall determine a calendar year 2026 plan of benefits, related services, and monthly premiums for each of the health care options it authorizes pursuant to Tennessee Code Annotated, Section 8-27-202, which result, with reasonable certainty, in the provision of sufficient revenues to pay plan expenses and to provide for the funding of reserves for estimated incurred but unreported claims. The monthly premiums and the employer contribution amounts shall be subject to the approval of the Commissioner of Finance and Administration pursuant to Tennessee Code Annotated, Section 4-3-1006.

The State Insurance Committee shall recognize the annualized rate and benefits adjustments intended to be effective on January 1, 2026, which are required so that the plan of benefits, on an annualized basis, shall not exceed the recurring revenues and any reserves deemed necessary to pay plan expenses.

Item 2. From the appropriations made herein the Department of Military is hereby authorized to pay, on behalf of each participating national guardsman called up to state active duty, the cost of each individual's participation in the state-approved Group Life Insurance Plan for national guardsmen called up to state active duty. The provisions of Tennessee Code Annotated, Title 8, Chapter 27, Part 2, shall apply.

Item 3. The State Insurance Committee shall establish and maintain, within the appropriations made in this act for supplemental medical insurance for retired state employees and retired teachers and in accordance with Tennessee Code Annotated, Section 8-27-209 and Title 8, Chapter 27, Part 3, the respective contribution levels to be made by the state on behalf of the eligible participating retirees. The annualized contribution rate established by the Committee for the eligible participating employees shall not exceed the amount appropriated in this act, and the rate established is subject to approval by the Commissioner of Finance and Administration.

Item 4. It is the legislative intent that the State Insurance Committee establish a schedule of premium payments for retirees participating in the group insurance plan under the provisions of Tennessee Code Annotated, Section 8-27-205(b).

Item 5. The Commissioner of Finance and Administration is hereby authorized to establish positions and make appropriate adjustments to the Benefits Administration budget to reflect changes in the contractual arrangements for medical and other insurance coverage provided to state insurance plan participants. The establishment of additional positions and the allotment of additional departmental revenue are subject to approval by the State Insurance Committee.

Item 6. From the funds appropriated in this act for the purpose of funding the state's liability for employee participation in the state group health insurance program, the Commissioner of Finance and Administration is authorized to adjust allotments to the various departments, agencies, boards and commissions of state government and to the institutions of higher education in order to recognize non-recurring savings which may be generated by actions of the state insurance committee. The Commissioner is further authorized to adjust federal aid and other departmental revenues, to adjust

appropriations to dedicated and earmarked sources, and to reallocate general fund appropriations.

SECTION 18. Appropriation of Tax Revenue Allocated by Statute. There are appropriated all tax revenues which are allocated by statute in accordance with the provisions of such statutes. The provisions of this section shall apply to all statutes becoming a law prior to July 1, 2027.

SECTION 19. Duplicate and Similar Appropriations. Whenever similar or duplicate appropriations are made in this act to those carried in any other act, such appropriation herein shall not be deemed as a supplemental appropriation, it being the legislative intent that there shall be no overlapping appropriations for equivalent amounts; but if this act simply supplements the appropriations made by the other act, then such supplemental appropriation shall be valid. The same shall apply to similar or duplicate appropriations made solely within this act.

SECTION 20. Proceeds of Surplus Real Property Sales. Whenever the State of Tennessee has any surplus lands or other surplus real properties which are sold or conveyed during the fiscal year ending June 30, 2027, the proceeds from the sale of such lands or other real property shall be subject to the provisions of Tennessee Code Annotated, Section 12-2-112, relative to disposal of interests in real property, and Title 11, Chapter 14, Part 3, relative to the natural resources trust fund, and other applicable law.

SECTION 21. Direct Appropriations to Non-Governmental Entities – Provisions. Notwithstanding any provision of this act to the contrary, a direct appropriation to a non-governmental agency or entity shall not be disbursed until the recipient has filed with the head of the agency through which such disbursement is being made a plan specifying the proposed use of such funds and the benefits anticipated to be derived therefrom, and has agreed to file an interim status report to be delivered by February 1 of the use of such funds. As a prerequisite to the receipt of such direct appropriation, the recipient shall agree to provide to the agency head, within ninety (90) days of the close of the fiscal year within which such direct appropriation was received, an accounting of the actual expenditure of such funds, and benefits derived, including a notarized statement that the report is true and correct in all material respects; provided, however, that the head of the agency through which such disbursement is being made may require, in lieu of the accounting as provided above, an audited financial statement of the non-governmental agency or entity. A copy of such accounting or audit, as the case may be, shall be filed with the Office of the Comptroller of the Treasury.

SECTION 22. Division of Insurance Revenues and Base Funding Level. From the appropriation made in Section 4 of this act, to the Department of Commerce and Insurance, Division of Insurance, it is the legislative intent to recognize a base level funding of \$7,479,700. It is further the legislative intent that expenditures in excess of the \$7,479,700 base level shall be funded from the increase in revenues generated by Chapter 333, Public Acts of 2001, which established funding appropriated to the Division of Insurance in the fiscal year ending June 30, 2001, as the base level.

SECTION 23. Budget and Positions Reconciliation, Allotment, and Reporting.

Item 1. Budget and Authorized Positions Reconciliation and Reporting; Allotments. It is hereby declared to be the legislative intent that the Commissioner of Finance and Administration revise the funding recommendations and personnel

summaries contained in the Budget Document to conform with this act, other general acts of this Session and any other actions which affect the level of departmental or other such revenue. The commissioner is directed to make all necessary adjustments to revenues, appropriations, authorized positions, and totals to effectuate the provisions of this act as amended by the General Assembly. Said revised summaries shall be provided to the Office of Legislative Budget Analysis, Finance, Ways and Means Committees of the Senate and House of Representatives and to the Office of the Comptroller of the Treasury and Fiscal Review Committee.

In establishing allotments from the appropriations herein made, the Commissioner of Finance and Administration may establish total spending authorizations in the amount of the specific appropriation from state revenues herein made, plus the federal and departmental revenues estimated to be available as presented in the revised funding summaries cited above. In the event federal and departmental revenues for any particular program, appropriation code, or other classification are less than the amount estimated to be available under the allotments then and to that extent the spending authorizations are hereby reduced; to the extent that federal or departmental revenues in excess of the amounts allotted are realized, such excess shall not constitute increased spending authorizations, except under the conditions herein specified.

In establishing the allotments herein authorized, the Commissioner of Finance and Administration shall divide the total spending authorizations by allotment code, into two subdivisions, as follows: (1) Personal Services and Benefits and (2) Other Operating Expenses.

Item 2. Appropriation Adjustments Required for Proper Revenue Accounting. The Commissioner of Finance and Administration is authorized to establish state appropriations and reduce appropriations of departmental revenue made in Section 4 and other sections of this act to the extent required to reflect proper accounting of state revenues under generally accepted accounting principles. To the extent that state appropriations are established, departmental revenue estimates shall be reduced.

The Commissioner of Finance and Administration also is authorized to establish departmental revenue estimates and reduce state appropriations made in Section 1 and other sections of this act to the extent required to reflect proper accounting of departmental revenues under generally accepted accounting principles. To the extent that departmental revenue estimates are established, state appropriations shall be reduced.

In no instance shall the adjustments made under the provisions of this item result in a greater allotment of funds than is otherwise provided by this act.

Item 3. Program Expansion Reports (Federal and Other Departmental Revenue). No state revenues shall be expended by any state agency unless such revenues are appropriated by the General Assembly, as reflected in the provisions of this act and the revised summaries cited above. No state agency shall establish any new programs or expand any existing programs, beyond the scope of those already established, recognized and approved by the General Assembly, as reflected in this act and the revised summaries cited above, unless each such new or expanded program is

funded entirely from unanticipated or excess departmental revenues or federal revenues. However, no such expenditure of unanticipated or excess departmental revenues or federal revenues shall occur until written notice of the program and the availability of unanticipated or excess departmental revenues or federal revenues is submitted by the Commissioner of Finance and Administration to the Chairs of the Finance, Ways and Means Committees of the Senate and House of Representatives and until said committee chairs have acknowledged in writing receipt of such written notice; provided, however, that capital outlay program projects, whether capital improvements or capital maintenance, shall be submitted to the State Building Commission to be acknowledged. When submitted, a copy of operational budget expansion reports shall be provided to the Fiscal Review Committee executive director and the Office of Legislative Budget Analysis directors for information purposes. For the purposes of this paragraph, the term "departmental revenues" means earnings or charges for goods or services; or donations, contributions or participation by political subdivisions, foundations, corporations, firms or persons; and the term "state revenues" means the proceeds of taxes, licenses, fees, fines, forfeiture or other imposts laid specifically by state law.

An expansion report shall not be acknowledged by the Chairs of the Finance, Ways and Means committees during a time that the General Assembly is in regular, annual session until each Finance, Ways and Means Committee has held a hearing on the proposed program expansion, or the committees have held a joint hearing.

Item 4. Reporting on Certain Federal Grant Applications. Each state agency shall report to the Chairs of the Finance, Ways and Means Committees of the Senate and the House of Representatives and to the Office of Legislative Budget Analysis when the agency applies for a new federal grant of more than \$100,000.

Item 5. Time-Limited Federal Criminal Justice Grant-Funded Positions. The Commissioner of Finance and Administration shall report to the Chairs of the Senate and House Finance, Ways and Means Committees on positions funded by federal criminal justice grants that are time-limited. The report shall include the number of positions and costs by federal program and by state agency and program, the period of the grant, the outlook for federal continuation of the grant beyond the expiration date, and any conditions of the grant indicating a state obligation upon expiration of the grant. A copy of the report also shall be provided to the Office of Legislative Budget Analysis directors and the Fiscal Review Committee executive director.

Item 6. Capital Outlay Projects Change Reporting. The Commissioner of Finance and Administration shall provide a written quarterly report to the directors of the Office of Legislative Budget Analysis and to the executive director of the Fiscal Review Committee identifying additions, deletions or other modifications of capital improvement and capital maintenance projects occurring subsequent to enactment of the annual budget through the appropriations and bond authorization acts.

Item 7. Overlapped Positions Reports. The Commissioner of Human Resources shall submit a monthly report to the Office of Legislative Budget Analysis regarding positions that have been overlapped for ninety (90) days or more. In addition, the

budget as introduced shall indicate the number of positions overlapped for ninety (90) days or more at a time no more than thirty (30) days before transmittal of the budget.

Item 8. On or before February 1, 2026, the Commissioner of General Services shall submit to the Office of Legislative Budget Analysis the Annual Facilities Revolving Fund Report.

Item 9. On or before February 1, 2026, the Departments of General Services and Finance and Administration shall each submit a report to the Chairs of the Finance, Ways and Means Committees of the Senate and the House of Representatives and the Office of Legislative Budget Analysis regarding the balance in each department's capital reserve fund, including information on the dates on which such funds have or will be expended and the purposes of those expenditures, or alternatively, if such funds have not and will not be expended, then such report shall include the dates on which such funds will be returned to the general fund.

Item 10. On or before January 15, 2026, the Department of Finance and Administration shall submit to the Office of Legislative Budget Analysis a report detailing each state agency's salary equity balance.

SECTION 24. Certain Non-Executive Agencies – Approval of Work Program, Personnel Authorization, and Revisions, and Administration of Certain Appropriations.

Item 1. The work program and personnel authorization of the General Assembly, Court System, Attorney General and Reporter, Secretary of State, Comptroller of the Treasury, and the State Treasurer shall be approved in accordance with Tennessee Code Annotated, Section 9-4-5110(b).

Item 2. Revisions to the work program of the Secretary of State, Comptroller of the Treasury, and the State Treasurer shall be approved in accordance with Tennessee Code Annotated, Section 9-4-5112(b).

Item 3. Appropriations to the Secretary of State, Comptroller of the Treasury, and the State Treasurer shall be administered in a ministerial capacity by the Commissioner of Finance and Administration, pursuant to Tennessee Code Annotated, Section 9-4-5113(c).

SECTION 25. Sovereign Immunity. All appropriations of state revenues and departmental revenues made in this act and in prior acts shall be protected by the state's sovereign immunity, as provided in Tennessee Code Annotated, Section 9-1-103(a).

SECTION 26. General Assembly Provisions. From the appropriation made for the General Assembly under Section 1, Title I, payment shall be made for, but not limited to, the following items:

Item 1. Any lawful expenses of the One Hundred Fourteenth General Assembly, for which funds have not been obligated on June 30, 2026, such funds herein appropriated as are required may be made available during the fiscal year ending June 30, 2026.

Item 2. The lawful expenses of the One Hundred Fourteenth General Assembly.

Item 3. The cost of staffing, maintaining and operating the offices of the Speaker of the Senate and the Speaker of the House of Representatives, including necessary travel and other expenses incident to said offices, not covered by Section 1, Title I, Items 1.2 and 1.3, of this act.

Item 4. Such expenses as may be incurred for maintaining legislative facilities including the maintenance and staffing and such other expenses as may be necessary to provide offices and other services to members of the General Assembly and their staff in state facilities in Nashville.

Item 5. Expenses and travel pay to legislators for each day when attending conferences, workshops, and other official meetings, both within and without the State of Tennessee, when said travel is approved by the Speaker of the Senate and/or the Speaker of the House of Representatives. Payments shall be at the same rate provided for members of the standing committees of the General Assembly when meeting between sessions. Provided, further, that reimbursement may be made to legislators for registration fees incurred while attending conferences and meetings as may be approved by the Speaker of the Senate and/or the Speaker of the House of Representatives.

Item 6. Expenses and travel pay allowed to members of the Joint Legislative Services Committee at the same rates and in the same manner provided by Tennessee Code Annotated, Section 3-1-106, and to members of the Fiscal Review Committee, as authorized under Tennessee Code Annotated, Section 3-7-102.

Item 7. The Speakers may transfer to the Office of Legal Services for the General Assembly and to the Fiscal Review Committee sufficient funds to enable them to complete all studies assigned to them by the One Hundred Fourteenth General Assembly, and to furnish such help as may be required by standing, select and joint committees of the General Assembly.

Item 8. Membership dues to the National Conference of State Legislatures, similar service organizations, and such other conferences as may be approved by the Speaker of the Senate and the Speaker of the House of Representatives.

Item 9. Any expenditures for legislative purposes called for by resolutions or joint resolutions properly adopted by either or both Houses of the General Assembly.

Item 10. Payment of expenses to any member, as provided by law, for attendance at any meeting of any standing, special, or select committee of the General Assembly, whether such meeting occurs during or between sessions of the General Assembly. Such expenses for meetings held between sessions shall be paid at the same rate as provided in the general law for meetings held while the General Assembly is in session.

Item 11. In addition to appropriations made under Section 1, Title I, there is hereby appropriated a sum sufficient to cover any increase automatically occurring

under mandate of law in any compensation, benefits, or expenses funded under Section 1, Title I.

Item 12. From funds available to the General Assembly, there is earmarked a sum sufficient for the sole purpose of funding expenses of members of the General Assembly for meetings of study committees of the General Assembly on which they serve; provided, that such expense payment is subject to approval by the Speaker of the House of Representatives and the Speaker of the Senate in accordance with Tennessee Code Annotated, Section 3-1-106.

All items listed above, together with any other expenses for the General Assembly, upon the approval of the Speaker of the Senate and/or the Speaker of the House of Representatives, shall be paid through the Office of Legislative Administration, who shall also be authorized to make arrangements for, and incur obligations incident to, any convening of the One Hundred Fourteenth General Assembly.

Provided, further, that during any period when the Offices of the Speaker of the Senate or the Speaker of the House of Representatives are vacant, or otherwise upon authority of the Speakers, the Director of the Office of Legislative Administration is hereby authorized to do any act which the Speaker might do under the provisions of this section.

The provisions of the section shall not be construed to countermand any general act passed by the One Hundred Fourteenth General Assembly.

SECTION 27. General Assembly Provisions – Speakers. The Speaker of each House of the General Assembly shall be paid from funds appropriated to the General Assembly the following sums:

Seven hundred fifty dollars (\$750) for their ex officio services during any session of the General Assembly; plus the sum of five thousand seven hundred dollars (\$5,700) annually for local office expenses in their county of residence which will be in addition to the cost of maintaining and operating offices in the State Capitol. In addition, each Speaker shall be allowed the same amount for expenses and travel pay as that provided for members of the standing committees of the General Assembly when meeting between sessions, for attending meetings of standing, select, or joint committees of the General Assembly or when absent from their county of residence on official duty as Speaker.

The allowance for ex officio duties authorized by this section shall be paid at the request of each Speaker at any time after adjournment of a session. The amount authorized hereby for local office expenses shall be paid annually on or after November 1st of each year at the request of each Speaker. Requests for payments shall be addressed to the Director of the Office of Legislative Administration and need not be accompanied by a list of expenditures for which allowances the reimbursements are claimed. Payments for attending meetings between sessions or when absent from county of residence shall be paid from time to time on request of each Speaker.

SECTION 28. Internal Audit Coordination and Standards. In order to prevent duplication of effort and to establish professional standards, audits to be performed by internal audit staffs or grantees of departmental activities funded from appropriations made in this act

shall be coordinated with the Office of the Comptroller of the Treasury, and such reports as may be issued shall be prepared in accordance with standards established as required by law by the Comptroller of the Treasury. No department, agency, institution, board, or commission shall cause internal auditing to be performed by persons who do not meet the job specifications for internal auditors established by the Commissioner of Human Resources and approved by the Commissioner of Finance and Administration and the Comptroller of the Treasury, pursuant to Tennessee Code Annotated, Section 4-3-304.

SECTION 29. Higher Education. The appropriations to public institutions of higher education set forth in Section 1 of this act shall be subject to the conditions and limitations set forth in this section, and shall not be subject to other provisions of this act except as otherwise expressly stated.

Item 1. Salaries to be paid from the appropriations made to educational institutions shall be fixed as follows:

The President and the staff of the University of Tennessee, by the Board of Trustees; the Presidents and staffs of the institutions within, and the Chancellor and staff of, the State University and Community College System of Tennessee, by the Board of Regents and the boards of the locally governed institutions; and the Presidents and staffs of the colleges of applied technology by the Board of Regents; all of which shall be within the appropriations provided and available for said purposes.

Item 2. Each higher education institution, including colleges of applied technology, shall report to the Commissioner of Finance and Administration, the Tennessee Higher Education Commission, and the Office of Legislative Budget Analysis, the actual amount of expenditures for maintenance and operation of the physical plant, exclusive of utilities, for the fiscal year, and any deviation in these expenditures from the amounts recommended in the funding formula for these purposes, prorated to reflect actual funding levels appropriated in this act.

Item 3. All institutional revenues of any kind collected by the institutions in the course of their operations are hereby appropriated, in addition to the specific appropriations made by this act, for use as deemed necessary or appropriate by the governing board of the institution and shall be subject to the conditions and limitations set forth in this Section 29, and shall not be subject to other provisions of this act except as otherwise expressly stated.

Item 4. It is the intent of the General Assembly that the fee charges among the public institutions of higher education of the state, be subject to the nature and scope of the institutions, and that the State Board of Regents, the boards of the locally governed institutions, and the Board of Trustees of the University of Tennessee shall adjust fee schedules for universities, community colleges, and colleges of applied technology within or lower than ranges set by the Higher Education Commission.

Item 5. The appropriations herein for higher education and appropriations of all higher education departmental and institutional revenue are subject to the provisions of Tennessee Code Annotated, Title 9, Chapter 4, and Section 4-3-1006(4) and (5). Within

the general requirements of these provisions, the Commissioner of Finance and Administration, in consultation with the Comptroller of the Treasury and the Higher Education Commission, shall specify the content and procedures for submitting operating budgets and revisions thereto. The operating budgets shall be submitted to the Higher Education Commission by the respective governing boards. The Higher Education Commission shall then submit such operating budgets with their comments to the Department of Finance and Administration for approval. In addition, the appropriations in this act to institutions of higher education shall be subject to the requirements, restrictions and controls of the State Board of Claims and the State Building Commission in the same manner as other agencies of the state. The governing boards shall submit to the Office of Legislative Budget Analysis both the original and revised operating budgets proposed. The Tennessee Higher Education Commission shall submit to the Office of Legislative Budget Analysis the revised higher education funding formula for the ensuing fiscal year no later than December 1 of each year.

Item 6. From the appropriations made herein, institutions of higher education are hereby authorized to pay, on behalf of each participating employee, a percentage amount equal to the amount paid by other agencies of the state of the cost of each employee's participation in the state-approved Group Insurance Plan for state employees.

Item 7. All appropriations of state revenues and institutional and program revenues made in this act and in prior acts to institutions and programs of higher education shall be protected by the state's sovereign immunity, as provided in Tennessee Code Annotated, Section 9-1-103(b).

Item 8. From the appropriations made in this act and other appropriations acts, the budgetary units in higher education shall pay to the Tennessee Consolidated Retirement System the employer's share of retirement and shall pay to the Social Security Administration the Social Security costs including the additional benefit costs associated with pay, pay raises funded from fees, revenues, payroll savings or any other funding source.

Item 9. The appropriations in this act for Centers of Excellence and Campus Centers of Emphasis are subject to allocation by the Higher Education Commission and the Commissioner of Finance and Administration. In allocating the appropriation for Centers of Excellence, a consideration shall be planned reductions to existing expenditures to supplement funding for the centers.

Item 10. In addition to any other funds appropriated by the provisions of this act, there is appropriated to the Student Assistance Corporation all reserve balances now held by the Corporation for the Student Assistance Program authorized by Tennessee Code Annotated, Title 49, Chapter 4, Part 3. It being the legislative intent that these reserves may be used to cover any expenditures resulting from over-awards of assistance to students enrolled during the 2026-2027 academic year under the Student Assistance Program. The allotment of funds appropriated by this item shall be subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 3, Part 10 and Title 9, Chapter 4, Part 51.

Item 11. In the Tennessee Student Assistance Awards Program any prior year appropriations recovered from prior recipients by June 30, 2026, shall not revert to the fund balance but shall be added to the reserve balances now held by the Student Assistance Corporation for the Student Assistance Program authorized by Tennessee Code Annotated, Title 49, Chapter 4, Part 3.

Item 12. There is hereby appropriated a sum sufficient to the Tennessee Student Assistance Corporation from accumulated interest earnings in the Academic Scholars Program (Tennessee Code Annotated, Section 49-4-203).

Item 13. From the appropriations in Section 1, Title III-10, Item 1.3, there is hereby appropriated a sum sufficient to fund scholarships for the Dependent Children program authorized pursuant to Tennessee Code Annotated, Section 49-4-704.

Item 14. In the fiscal year ending June 30, 2027, there is appropriated a sum sufficient to the Tennessee Student Assistance Corporation from revenues received pursuant to Tennessee Code Annotated, Section 49-4-702(c) for the loan-scholarship program for graduate students in professional nursing. Said funds shall not revert to the general fund, but shall be carried forward for future student awards.

Item 15. There is hereby appropriated a sum sufficient from the departmental revenues and reserves of the Tennessee Higher Education Commission for the Post-Secondary Authorization Program.

Item 16. It is hereby declared to be the legislative intent that the Tennessee Higher Education Commission shall, as part of the budget recommendation to the Governor each year, provide estimates of likely increases in student fees at various levels of state appropriations varying from zero increase in state appropriations to full funding of the Commission's recommendations. It is further the intent of the General Assembly that the Commission include within its recommendations the total revenues expected to be available to each higher education institution for educational and general purposes (including state appropriations, student fees and any other available funds), compared to total educational and general revenues recommended for each institution under the Commission's formula at full funding.

Item 17. State appropriations to higher education institutions will be budgeted and expended in a manner that advances the priorities and goals of the approved higher education master plan.

Item 18. From the appropriation to UT Martin in Section 1, Title III-10, the following sums are for the purpose of supporting the operations of higher education centers: \$200,000 recurring at Parsons; \$250,000 recurring at Selmer; \$250,000 recurring at Somerville; and \$250,000 recurring at Ripley. It is the legislative intent that such funds shall not be distributed by means of the higher education formula.

Item 19.

(a) From funds previously appropriated for such purpose, it is the intent of the General Assembly that there is established the Jimmy Naifeh Center for

Effective Leadership at the University of Tennessee to prepare elected and appointed officials for the challenges of serving the public; to provide leadership and management programming for government officials from across the state and the nation; and to provide studies and research in public service on any and all matters relating to the development of professional skills to enhance effectiveness as representatives of the people.

(b) It is the intent of the General Assembly that in addition to or as part of the services provided pursuant to subsection (a), the Center shall administer the Tennessee Government Executive Institute, the Tennessee Government Management Institute, and the Local Government Leadership Program as well as other such programs or initiatives that promote leadership development and public service.

Item 20. From the appropriation to the University of Tennessee, Institute for Public Service, in Section 1, Title III-10, the sum of \$500,000 is earmarked for the Law Enforcement Innovation Center for the purpose of technology transfer, management best practices, and training for law enforcement agencies.

Item 21. In addition to any other funds appropriated by the provisions of this act, there is appropriated the sum of \$2,500,000 (recurring) to East Tennessee State University for state operating support of the Gatton College of Pharmacy.

Item 22. In addition to any other funds appropriated by the provisions of this act, there is appropriated the sum of \$2,000,000 (recurring) to Tennessee Tech University for the sole purpose of operating and maintaining the university's wind tunnel system.

Item 23. In addition to any other funds appropriated by the provisions of this act, there is appropriated the sum of \$200,000 (recurring) to the University of Tennessee for the sole purpose of providing assessor education and technical assistance through the County Technical Assistance Service (CTAS).

Item 24. In addition to any other funds appropriated by the provisions of this act, there is appropriated the sum of \$6,739,500 (recurring) to the University of Tennessee for the sole purpose of funding operations and core instructional programs at the University of Tennessee Health Science Center.

Item 25. In addition to any other funds appropriated by the provisions of this act, there is appropriated the sum of \$1,400,000 (recurring) to Middle Tennessee State University (MTSU) for the sole purpose of providing scholarships for the joint public-private partnership in the Medical School Early Acceptance Program (MSEAP) with Meharry Medical College.

Item 26. From the funds appropriated to Tennessee Technological University in Section 1, Title III-10, there is earmarked the sum of \$1,000,000 (recurring) for Rural Reimagined.

Item 27. In addition to any other funds appropriated by the provisions of this act, there is hereby appropriated to the Tennessee Student Assistance Corporation in the fiscal year ending June 30, 2027, all reserve balances now held by the Corporation from

the TSAC operating fund of the Federal Family Education Loan Program referenced in U.S. Code Annotated, Title 20, Section 1072b. It is the legislative intent that such reserve funds be used for agency operating and program expenditures permitted under Section 1072b.

Item 28. In the fiscal year ending June 30, 2027, the Commissioner of Finance and Administration is authorized to transfer, upon the joint recommendation of the Treasurer and Commissioner of Finance and Administration, from the Lottery for Education Account established in Tennessee Code Annotated, Section 4-51-111(b), an amount exceeding the required balance in the general shortfall reserve subaccount established in Tennessee Code Annotated, Section 4-51-111(b)(3) to the Tennessee Promise special reserve account for the purpose of funding the Tennessee Promise scholarships. Such transfer shall occur after all other required expenses for the lottery scholarship program are made.

It is the legislative intent that the unexpended earnings of the Tennessee Promise endowment account and special reserve account shall not revert to the general fund at June 30, 2026 but be carried forward each June 30 and added to the funds appropriated in the succeeding year for expenditure as awards in the Tennessee Promise scholarship program.

Item 29. There is hereby appropriated a sum sufficient to the Tennessee Higher Education Commission and Tennessee Student Assistance Corporation from existing (a) departmental revenues available to the commission or corporation granted from non-profit entities, and (b) donations made to the commission or corporation. Any unexpended revenues shall not revert to the general fund balance at June 30 and such revenues shall be carried forward in a reserve at June 30 and are hereby reappropriated in the subsequent fiscal year. Any new grants or donations from such entities shall be subject to the provisions of Section 23, Item 3 of this act.

Item 30. From the appropriation made in Chapter 758, Public Acts of 2016, Section 1, Title III-10, Item 4.1a, an amount of \$28,742,600 was appropriated for a Community Colleges Shared Services Initiative. An amount up to, but not more than, one half of said appropriation shall be reimbursed by the Tennessee Board of Regents to the general fund according to the provisions of a memorandum of understanding between the Board of Regents and the department of Finance and Administration. Said reimbursement to the general fund shall not occur until two fiscal years after the Community Colleges Shared Services Initiative is fully operational; provided further, that said reimbursement shall occur over ten fiscal years.

Item 31. From the funds appropriated in Section 1, Title III-31, for capital outlay, the Commissioner of Finance and Administration is authorized, subject to approval of the Tennessee Board of Regents, the presidents of the locally governed institutions, and the Tennessee Higher Education Commission, to transfer appropriations from the locally governed institutions to the Tennessee Board of Regents.

Item 32. From the funds appropriated to the Tennessee Higher Education Commission in Chapter 405 of the Public Acts of 2019, Section 61, Item 17, there is appropriated the unexpended balance of such recurring appropriation to the Tennessee

Higher Education Commission to be used for the purposes of this item. The previously appropriated funds shall be for the sole purpose of making grants to The Washington Center for Internships and Academic Seminars, in Washington, D.C., for the University of Tennessee system and the six (6) locally governed state universities, to be used for scholarships for students from the University of Tennessee, Knoxville; the University of Tennessee at Martin; and the University of Tennessee at Chattanooga; and such state universities to participate in the internship program provided by The Washington Center for Internships and Academic Seminars. The Washington Center shall decide on the scholarship level and a plan for distributing the scholarships. The Washington Center shall invoice THEC three times a year for scholarship dollars based on the number of students who are participating in the internship program in each of its three terms. The Washington Center shall submit a written report by August 1, 2026, and by August 1 of each year thereafter, that shows where the state money was used to provide the educational opportunities for the students.

Item 33. From the appropriation made in Chapter 418, Public Acts of 2023, Section 60, Item 4, there is hereby appropriated a sum sufficient for scholarships in the Tennessee Future Teacher Scholarship Program (Tennessee Code Annotated, Section 49-4-701).

Item 34. From the unexpended balance of funds appropriated in Chapter 418, Public Acts of 2023, Section 60, Item 4, for the Tennessee Future Teacher Scholarship Act of 2023, there is earmarked the sum of \$1,101,900 non-recurring for the sole purpose of implementing Chapter 488, Public Acts of 2025, relative to allowing eligible students enrolled in an approved educator preparation program as a post-baccalaureate student to be eligible recipients of the Tennessee Future Teacher Scholarship, if such bill becomes a law. It is the legislative intent that the sum of \$1,442,400 non-recurring be earmarked from such unexpended balance in fiscal years 2026-2027 and 2027-2028 for the sole purpose of implementing such act.

Item 35. The capital outlay projects listed in the 2026-2027 Budget Document and which are identified with the heading "Proposed Capital Projects from School Bonds and Other Sources, Fiscal Year 2026-2027," are presented for informational purposes only. The projects are subject to recommendation and approval procedures involving the higher education institutions and their governing boards, the Tennessee Higher Education Commission, Finance and Administration, the Tennessee State School Bond Authority, the State Funding Board, and the State Building Commission.

The following proposed capital outlay projects, to be funded from school bonds, institutional/auxiliary and other funds, are in addition to those projects listed on page A-141 in the 2026-2027 Budget Document:

SECTION 30. Salary Administration.

Item 1. Salaries provided under the appropriations made in Sections 1 and 4 of this act to the respective departments, institutions, offices and agencies shall be fixed as under the provisions of Tennessee Code Annotated, Title 8, Chapter 23.

Item 2. Within the appropriations made for the Office of the Attorney General and Reporter under this act, the salaries of the attorneys, legal and clerical staff and

other employees shall be fixed by the Attorney General. The expenditures provided for herein shall not exceed the amount of the appropriation to the Office of the Attorney General and Reporter.

Item 3. The salaries of all employees of the Judicial Branch, except those whose salaries are set by law, shall be fixed by the Director of the Administrative Office of the Courts with the approval of the Chief Justice of the Supreme Court. The compensation of the judges, chancellors, and justices of the state's trial and appellate courts shall be set in accordance with Tennessee Code Annotated, Section 8-23-103.

Item 4. Within the appropriations herein made, the salaries of the subordinates and employees of the Treasurer, Comptroller, and Secretary of State shall be fixed by the heads thereof, respectively, and the salaries of the employees and subordinates of the Fiscal Review Committee and the Joint Legislative Services Committee shall be fixed in accordance with Tennessee Code Annotated, Title 3.

Item 5. All other salaries and wages in departments, institutions, offices, and agencies, other than the Legislative Branch and agencies enumerated in Items 2, 3, and 4 of this section and in Section 29, Item 1, shall be approved by the Commissioner of Human Resources, provided, however, that the establishment of salary ranges within such departments, institutions, offices and agencies shall be subject to the approval of the Commissioner of Finance and Administration. To the extent that additional funds are appropriated or are generated within a department or agency by abolishing vacant and funded positions, subject to review and approval of the Commissioner of Finance and Administration and the Commissioner of Human Resources, salary increases may be granted from such funds.

Item 6. Salaries of state employees shall be paid in accordance with the direct-deposit policy established in accordance with Tennessee Code Annotated, Section 8-23-202(c).

SECTION 31. Federal Block Grant Programs. The provisions of this section take effect upon becoming a law, the public welfare requiring it. Under the provisions of Section 4 and Section 23 of this act, it is the legislative intent to appropriate the proceeds of federal block grant programs, as assumed by the State of Tennessee, in the following manner:

Item 1. Social Services block grant in the amount of \$36,135,100 to the Department of Human Services.

Item 2. Mental Health Services block grant in the amount of \$23,053,300 to the Department of Mental Health and Substance Abuse Services.

Item 3. Child Care Development Funds block grant in the amount of \$232,786,400 to the Department of Human Services.

Item 4. Maternal and Child Health block grant in the amount of \$2,621,700 to the Department of Health.

Item 5. Preventive Health block grant in the amount of \$950,000 to the Department of Health.

Item 6. Community Services block grant in the amount of \$13,918,200 to the Department of Human Services.

Item 7. Low-Income Energy Assistance block grant in the amount of \$62,850,300 to the Tennessee Housing Development Agency.

Item 8. Substance Abuse Prevention and Treatment block grant in the amount of \$35,437,100 to the Department of Mental Health and Substance Abuse Services.

Item 9. Temporary Assistance to Needy Families (TANF) block grant in the amount of \$228,705,700 to the Department of Human Services.

Item 10. Small Cities Community Development block grant in the amount of \$55,563,200 to the Department of Economic and Community Development. Said sum being the estimated allocation of funds for the fiscal years 2025-2026 and 2026-2027 combined.

Provided, however, that all expenditures of any community development block grant funds in addition to those appropriated and enumerated in this section shall be subject to the following limitations and restrictions:

The Housing and Community Development Act of 1981 made it possible for states to assume administration of the Small Cities Community Development Block Grant (CDBG) previously administered by the U.S. Department of Housing and Urban Development (HUD). In Tennessee, the CDBG Program shall be administered by the Department of Economic and Community Development (ECD).

There shall be appropriated by the General Assembly to ECD such funds as may be allocated to Tennessee by the federal government for the CDBG Program. The state-administered CDBG Program shall be developed within the parameters of the CDBG legislation, applicable federal regulations, and consultation with citizens and elected officials in Tennessee.

The CDBG goals shall be three-fold: (1) target on areas of economic distress; (2) stimulate the growth of jobs and income in these areas; and (3) maximize the number of grantees. Additionally, all CDBG projects must meet one of the three national objectives of (1) principally benefiting persons of low and moderate income; (2) elimination or prevention of slums and blight; or (3) elimination of conditions detrimental to health, safety or public welfare. ECD shall be authorized to make grants and/or loans of CDBG monies to eligible city and county governments in Tennessee to achieve these goals. Loan payments and interest shall be reserved for reappropriation and shall not revert to the general fund balance at year end.

Eligible applicants shall be all city and county governments in Tennessee except those cities and counties designated by HUD as CDBG entitlement areas. Cities and counties excluded from the state-administered CDBG Program include Nashville

(Davidson County), Shelby County, Knox County, Memphis, Chattanooga, Knoxville, Clarksville, Bristol, Johnson City, Oak Ridge, Murfreesboro, Kingsport, Morristown, Cleveland, Franklin, Jackson, Smyrna, and Spring Hill. These cities and counties will receive their CDBG funds directly from HUD.

Based upon anticipated CDBG allocations of \$28,091,200 in fiscal year 2025-2026 and of \$27,472,000 in fiscal year 2026-2027, the following target funding levels shall be established:

	<u>2025-2026</u>	<u>2026-2027</u>
Administrative Costs..... \$	869,600	\$ 924,800
Public Health and Safety	8,692,500	8,733,500
Community Infrastructure	6,274,800	4,875,000
Community Revitalization	2,937,000	6,021,700
Water/Sewer.....	8,109,300	5,917,000
Set-Aside	1,000,000	1,000,000
Miscellaneous.....	208,000	0

A fifty percent (50%) reduction in any category will be permitted to facilitate proper program management and allow administrative flexibility. The funds so reduced shall be allocated to other categories.

Selection criteria for project approvals shall be uniform within categories, objective and quantitative, and shall be based on project need, project impact, community need, the percent of project beneficiaries that have family incomes below the low and moderate income (LMI) levels. Additionally, public health and safety projects, community infrastructure projects, and community revitalization projects are also scored for project feasibility and project essentialness.

Project application materials will be supplemented, as appropriate, by site visits and by informed opinions of state agencies knowledgeable about particular projects.

The level of CDBG assistance for individual projects shall be determined by the following factors: (1) a maximum grant of \$1,000,000 for individual projects involving construction or \$420,000 for individual projects for equipment only; and (2) the grantee's ability to pay.

If modifications in the expenditure plan for the CDBG Program are required, said modifications shall be accomplished in the following manner: (1) If the General Assembly is in session, such modifications shall be approved by the General Assembly; or (2) if the General Assembly is not in session, the Governor may either (a) submit such modifications to the State Funding Board for approval or (b) call a special session of the General Assembly for approval.

SECTION 32. FastTrack Infrastructure Development and Job Training Assistance. The provisions of this section are relative to appropriations made in Section 1 of this act and previous appropriations acts to the FastTrack Infrastructure and Job Training Assistance program.

Item 1. The appropriation made in Section 1, Title III-8, Item 6, to the Department of Economic and Community Development for the FastTrack Infrastructure and Job Training Assistance program shall be expended pursuant to Tennessee Code Annotated, Section 4-3-716 and Section 4-3-717.

Item 2. There hereby are reappropriated sums sufficient from any amounts carried forward in the FastTrack fund at the end of each fiscal year pursuant to Tennessee Code Annotated, Section 4-3-716(d).

Item 3. The Commissioner of Finance and Administration is authorized to transfer sums sufficient from the appropriation for FastTrack Infrastructure and Job Training Assistance to Community and Rural Development, Business Development, and Innovation Programs for economic development projects, and the unexpended balances of the amounts transferred also may be transferred back to the FastTrack program.

Item 4. The Commissioner of Economic and Community Development is authorized to reallocate sums sufficient from the appropriations for FastTrack Infrastructure and Job Training Assistance and Tennessee Jobs Skills Program, subject to the approval of the Commissioner of Finance and Administration, and the unexpended balances of the amounts transferred also may be transferred back to the FastTrack program.

Item 5. The Commissioner of Finance and Administration is authorized to transfer from the general fund to the capital projects fund available appropriations made in this act and previous appropriations acts to the Department of Economic and Community Development for economic development projects, including amounts allotted to the FastTrack Infrastructure and Job Training Assistance program and Business Development program. A transfer may not be made if it would result in a deficiency in available funds for any FastTrack or Business Development project for which a contractual agreement has been made, unless such agreement has been amended to reduce the amount required to be expended in the amount to be transferred or unless appropriations are available otherwise.

Transfers also may be made from the capital projects fund to the two operating budget programs from available funds appropriated to the Department of Economic and Community Development for economic development capital outlay projects. Transfers are authorized only from available current funds in the capital projects fund and may not include any amounts from bond authorizations. Before transfers from the capital projects fund may occur, the Commissioner of Finance and Administration shall determine that the current funds are available, that any associated grant agreement for the capital outlay project has been amended to reduce the capital outlay grant in the amount to be transferred or that an agreement has not been made for the capital outlay grant, and that the State Building Commission has approved the capital outlay project current-funds reduction. Such transfers may not be made if they would result in a deficiency in available funds for any capital outlay project previously funded, except under the conditions of this item.

Transfers authorized in this item are subject to the approval of the Commissioner of Finance and Administration.

Item 6. At the close of each fiscal year, the Commissioner of Economic and Community Development shall report to the directors of the Office of Legislative Budget Analysis any transfers or reallocations made in Items 3 and 4 of this Section.

SECTION 33. On or before January 31 of each calendar year, the Boyd Center for Business and Economic Research of the University of Tennessee shall cause to be published a comprehensive report on the state's economy. Said report shall be based on projections from the Tennessee Econometric Model and such other information as the Center may deem appropriate. The report shall contain projections for ten years (beginning with the calendar year preceding the year in which the report is due) of the annual economic activity (level and percent change over prior year) for each of the state's major economic sectors; shall include ten-year projections of selected economic indicators, as specified by the State Funding Board; and shall also include a narrative description of the short-term and long-term prospects for economic and business activity in the state based on these indicators. Quarterly projections shall also be published if available.

Said report shall be distributed to the Governor and the other members of the State Funding Board. The State Funding Board shall report to the General Assembly as provided in Tennessee Code Annotated, Section 9-4-5202.

SECTION 34. Authorization to Transfer Appropriations in 2025-2026. The provisions of this section take effect upon becoming law, the public welfare requiring it. From the appropriations made in Chapter 530, Public Acts of 2025, the Commissioner of Finance and Administration is authorized to make transfers from the appropriations made:

Item 1. To the Attorney General and Reporter in Section 1, Title III-1, Item 1.

Item 2. To the District Attorneys General in Section 1, Title III-1, Item 2.

Item 3. To the Public Defenders Conference in Section 1, Title III-1, Item 4, but excluding the appropriations to Shelby County Public Defender and Davidson County Public Defender.

Item 4. To the Department of Finance and Administration in Section 1, Title III-2, Item 3, and to adjust federal aid and other departmental revenue accordingly.

Item 5. To the Department of Veterans Services in Section 1, Title III-2, Item 5, and to adjust federal aid and departmental revenue accordingly.

Item 6. To the Department of Agriculture in Section 1, Title III-3, and to adjust federal aid and other departmental revenue accordingly.

Item 7. To the Department of Tourist Development in Section 1, Title III-4, and to adjust federal aid and other departmental revenue accordingly.

Item 8. To the Department of Economic and Community Development in Section 1, Title III-8.

Item 9. To the Department of Commerce and Insurance in Section 1, Title III-11, and to adjust federal aid and other departmental revenue accordingly.

Item 10. To the Department of Safety in Section 1, Title III-20, and to adjust federal aid and other departmental revenue accordingly.

Item 11. From the unexpended balance of the Miscellaneous Appropriations in Section 1, Title III-22, a sum sufficient is authorized to be transferred for reimbursement of the Tennessee Consolidated Retirement System, if the appropriation in Item 2.1 of the cited title is insufficient for payment of pensions of former governors and widows of former governors.

Item 12. From the unexpended balance of the Miscellaneous Appropriations in Section 1, Title III-22, a sum sufficient is authorized to be transferred for payment of dues to the National Governor's Association, National Conference of State Legislatures, Council of State Governments, Southern Governors Association, National Association of State Budget Officers, and National Conference of Insurance Legislators, if the appropriation in item 7 of the cited title is insufficient for payment of intergovernmental conference dues to the organizations cited in this item.

SECTION 35. Authorization to Transfer Appropriations in 2026-2027. The Commissioner of Finance and Administration is authorized to make the following transfers from the appropriations made in this act:

Item 1. To the Judicial Branch in Section 1, Title II, but excluding the appropriations for Board of Law Examiners, Board of Professional Responsibility, Tennessee Lawyers Assistance Program, Continuing Legal Education, and Client Protection Fund. Transfer of appropriations to or between Guardian Ad Litem, Indigent Defendants' Counsel, Civil Legal Representation, Court Interpreter Services, and Verbatim Transcripts are sanctioned, but transfers from these programs to other programs are excluded.

Item 2. To the Department of General Services, Division of Motor Vehicle Management Internal Service Fund, from the funds appropriated to state agencies and programs by this act, a sum sufficient for the acquisition of motor vehicles.

Item 3. From the funds appropriated in Section 1, Title III-3, to the Department of Agriculture for the agricultural enhancement program.

Item 4. To the Department of Agriculture in Section 1, Title III-3, to recognize administrative reorganization and to adjust authorized positions, federal aid, and other departmental revenue accordingly.

Item 5. In Section 1, Title III-3, Title III-4, Title III-5, and Title III-8, a reallocation of appropriations between the Departments of Agriculture, Tourist Development, Environment and Conservation, and Economic and Community Development is authorized to implement the Tennessee Outdoor Partnership. The Commissioner of Finance and Administration is authorized to adjust federal aid and other departmental revenue accordingly.

Item 6. Subject to the approval of the Commissioner of Finance and Administration, in Section 1, Title III-4, and Title III-8, a reallocation of appropriations between the Departments of Tourist Development and Economic and Community Development is authorized to economic development and tourism development initiatives, including but not limited to grants to the Nashville raceway, the music scene certified program, and tourism enhancement grants for rural communities. The Commissioner of Finance and Administration is authorized to adjust federal aid and other departmental revenue accordingly.

Item 7. Subject to the approval of the Commissioner of Finance and Administration, in Section 1, Title III-5, and Title III-8, a reallocation of appropriations between the Departments of Environment and Conservation and Economic and Community Development is authorized to environment and conservation and economic and community development initiatives, including, but not limited to, Transportation Network Growth Opportunity grants, rural development grants, and other economic development grants. The Commissioner of Finance and Administration is authorized to adjust federal and other departmental revenue accordingly.

Item 8. To the Department of Environment and Conservation in Section 1, Title III-5, to recognize administrative reorganizations and to adjust authorized positions, federal aid, and other departmental revenue accordingly.

Item 9. To the Department of Correction in Section 1, Title III-7, and to adjust the number of authorized positions within the department's authorized level.

Item 10. To the Department of Economic and Community Development, in Section 1, Title III-8, from Community and Rural Development and Policy and Federal Programs to Economic Development District Grants to comply with the requirements of Chapter 521, Public Acts of 2007.

Item 11. To the Department of Economic and Community Development in Section 1, Title III-8, to recognize administrative reorganizations. The Commissioner of Finance and Administration is authorized to adjust authorized positions, federal aid, and other departmental revenue accordingly.

Item 12. Subject to the approval of the Commissioner of Finance and Administration, in Section 1, Title III-8, and Title III-13, a reallocation of appropriations between the Departments of Economic and Community Development and Labor and Workforce Development is authorized for workforce development initiatives. The Commissioner of Finance and Administration is authorized to adjust federal aid and other departmental revenue accordingly.

Item 13. To the Department of Education in Section 1, Title III-9, to recognize administrative reorganizations and to adjust the authorized positions, federal aid, and other departmental revenue accordingly.

Item 14. To the administration and support services programs in Section 1, Title III-10, Item 1, which are administered by the Tennessee Higher Education Commission

or the Tennessee Student Assistance Corporation, to implement administrative reorganizations upon recommendation of the Executive Director of the Tennessee Higher Education Commission.

Item 15. In Section 1 for Financial Literacy, a reallocation of funds between the Department of Financial Institutions and the Tennessee Financial Literacy Commission is authorized, pursuant to Tennessee Code Annotated, Section 45-12-126. The Commissioner of Finance and Administration is further authorized to adjust departmental revenues as may be required.

Item 16. To the Department of Labor and Workforce Development in Section 1, Title III-13, and to adjust federal aid and other departmental revenue accordingly.

Item 17. To the Department of Mental Health and Substance Abuse Services in Section 1, Title III-14, and to adjust federal aid and other departmental revenue accordingly.

Item 18. To the Department of Military, but excluding Disaster Relief Grants and the Governor's Response and Recovery Fund, in Section 1, Title III-15, and to adjust federal aid and other departmental revenue accordingly.

Item 19. To the Department of Health in Section 1, Title III-16, and to adjust federal aid and other departmental revenue accordingly.

Item 20. In Section 1 for Targeted Case Management Services, a reallocation of funds between the Department of Disability and Aging and the Department of Children's Services is authorized. The Commissioner of Finance and Administration is further authorized to adjust departmental revenues as may be required.

Item 21. To the Department of Human Services in Section 1, Title III-17, and to adjust federal aid and other departmental revenue accordingly.

Item 22. To the Department of Revenue in Section 1, Title III-18, and to adjust departmental revenue accordingly.

Item 23. To the Department of Finance and Administration, Strategic Health-Care Programs, in Section 1, Title III-21, and to adjust federal aid and other departmental revenues accordingly.

Item 24. The appropriations made in Section 1, Title III-22, Miscellaneous Appropriations, are authorized to be allocated and transferred to the appropriate organizational units and programs of state government by the Commissioner of Finance and Administration. For each appropriation so allocated and transferred, there is further appropriated sums sufficient from dedicated and earmarked revenues to provide for the comparable allocation of appropriations to those agencies and programs funded by dedicated and earmarked revenues.

In addition to the appropriations made in Section 4 of this act, there is hereby appropriated to the organizational units and programs of state government all federal aid funds and departmental revenue earnings associated with the allocation and transfer of Miscellaneous Appropriations authorized under the preceding paragraph in this item.

Item 25. To the Department of Children's Services in Section 1, Title III-23, and to adjust federal aid and other departmental revenue accordingly.

Item 26. To the Department of Disability and Aging in Section 1, Title III-25, and to adjust federal aid and other departmental revenue accordingly.

Item 27. To the Department of Finance and Administration, TennCare program, in Section 1, Title III-26, and to adjust federal aid and other departmental revenue accordingly.

Item 28. To the Department of Transportation in Section 1, Title III-29, to provide additional funds for resurfacing as determined by the Commissioner of Transportation.

Item 29. To the Department of Transportation in Section 1, Title III-29, to recognize administrative reorganizations and to adjust authorized positions, federal aid, and other departmental revenue accordingly.

Item 30. To the Department of Transportation in Section 1, Title III-29, to reorganize programs for better accounting and personnel management practices made possible by the enterprise resource planning system and to adjust authorized positions, federal aid, and other departmental revenue accordingly.

SECTION 36. Carry-forward and Appropriation of Certain Unexpended Balances. The provisions of this section take effect upon becoming a law, the public welfare requiring it. Subject to the availability of funding at June 30, 2026, any unexpended balances of appropriations made under Chapter 530, Public Acts of 2025, other acts of this General Assembly or acts by previous General Assemblies, listed in this section are hereby reappropriated to be expended in the 2026-2027 fiscal year and such appropriations shall be carried forward in a reserve into the fiscal year beginning July 1, 2026. The reappropriation and carry-forward of these funds is subject to approval by the Commissioner of Finance and Administration. Unless otherwise noted, the unexpended balances reappropriated are authorized under Chapter 530, Public Acts of 2025, and they are the appropriations made:

Item 1. For data processing services, systems development, data processing equipment purchases and leases and telecommunication systems purchases and leases. The Commissioner of Finance and Administration is authorized to transfer from the amounts carried forward sums sufficient for the Computer Equipment Replacement Fund and to the Systems Development Fund.

Item 2. Settlement and Judgment Awards and Similar Awards. From the appropriations in this act and previous appropriations acts, from funds received by the Attorney General and Reporter or other state officials and agencies in settlements and judgments and similar awards, the unexpended balance of such funds shall be reserved and carried forward until expended for the intended purposes; and such funds as are

carried forward hereby are appropriated for the intended purposes. The provisions of this item shall not require the reserving of such funds in cases in which the settlement or judgment does not require the set-aside or expenditure of funds for a specific purpose or in amounts that are intended to benefit the general fund, provided, however, that funds designated for the Attorney General and Reporter shall be reserved in the Attorney General Litigation Settlement Reserve.

Item 3. All funds appropriated to the Legislative Branch which remain unobligated and unexpended at the end of any fiscal year shall not revert to the general fund but shall be carried forward in a reserve to be expended in accordance with the approval of the Speaker of the House of Representatives and the Speaker of the Senate. This item shall not be subject to the approval of the Commissioner of Finance and Administration.

Item 4. To the Judicial Branch in Section 1, Title II, but excluding the appropriations for Guardian Ad Litem, Indigent Defendants' Counsel, Civil Legal Representation, Court Interpreter Services, Verbatim Transcripts, Council of Juvenile and Family Court Judges, Board of Law Examiners, Board of Professional Responsibility, Tennessee Lawyers Assistance Program, Continuing Legal Education, and Client Protection Fund. The reappropriated funds shall be expended for the integrated computer system for the Tennessee Court System under the provisions of Tennessee Code Annotated, Section 16-3-807. This item shall not be subject to the approval of the Commissioner of Finance and Administration.

Item 5. To the Judicial Branch, Administrative Office of the Courts, in Section 1, Title II, Item 14, to defray expenses of serving the General Sessions Courts and the General Sessions Judges' Conference pursuant to Tennessee Code Annotated, Section 16-15-5007 and Section 67-4-606(a)(9).

Item 6. To the Administrative Office of the Courts from the unexpended balance of revenue from the gift received to benefit the Hillman Taylor Library in Memphis.

Item 7. To the Judicial Branch, Board of Law Examiners in Section 1, Title II, Item 16. The carry-forward amount shall be the difference between expenditures and revenues, including any reserve balance.

Item 8. To the Judicial Branch, Council of Juvenile and Family Court Judges in Section 36, Item 8, and in Section 65, Item 6, of Chapter 554, Public Acts of 2009, the non-recurring appropriation to provide for juvenile mental health evaluations.

Item 9. To the Judicial Branch, Appellate and Trial Courts, in Section 36, Item 9, the unexpended balance of the \$4,000,000 appropriation for courtroom security.

Item 10. To the Judicial Branch, Administrative Office of the Courts, in Section 36, Item 10, the unexpended balance of the \$1,000,000 non-recurring appropriation to provide continuing legal education for attorneys providing representation to individuals before safe baby courts.

Item 11. To the Judicial Branch, Indigent Defendants' Counsel in Section 1, Title II, Item 5.

Item 12. To the Judicial Branch, Guardian ad Litem in Section 1, Title II, Item 4.

Item 13. To the Attorney General and Reporter, in Section 1, Title III-1, Item 1.3, for Special Litigation and ongoing litigation and settlements.

Item 14. To the Secretary of State for publication of the Blue Book pursuant to Section 1, Title III-1, Item 3.3 and Section 36, Item 15.

Item 15. To the Secretary of State in Section 36, Item 16, and in Section 4, Title III-1, Item 3.1. The unexpended balances of departmental revenue are hereby reappropriated to fund a charitable solicitations systems development project.

Item 16. To the Secretary of State, State Library and Archives, the unexpended balances of multi-year library construction grants.

Item 17. To the Comptroller of the Treasury, Division of Property Assessments, in Section 4, Title III-1, Item 5.4, and Section 36, Item 18, the unexpended revenue derived from the annual assessor's training session.

Item 18. To the Comptroller of the Treasury, Property Tax Relief, in Section 36, Item 19, and Section 1, Title III-1, Item 5.8, for property tax relief.

Item 19. To the Comptroller of the Treasury, the unexpended balance of the non-recurring appropriation in Section 36, Item 20 for the Certified County and Municipal Financial Officers training programs.

Item 20. To the Treasury Department, in Section 36, Item 21, the unexpended balance of the \$2,000,000 non-recurring appropriation for the Electronic Monitoring Indigency Fund, including program administrative costs.

Item 21. To the Office of the Post-Conviction Defender, the unexpended balance of the appropriation made in Section 36, Item 23, for the sole purpose of providing expert witness funding.

Item 22. To the Treasury Department for college savings incentive initiatives and a college savings plan in Section 36, Item 24, and Section 1, Title III-1, Item 7.3.

Item 23. To the Treasury Department for the TN Achieving a Better Life Experience (ABLE TN) savings plan for disabled individuals, in Section 36, Item 25.

Item 24. To the Alcoholic Beverage Commission from the unexpended balance of departmental revenues of the Alcohol Server Responsibility and Training Program authorized by Tennessee Code Annotated, Title 57, Chapter 3, Part 7.

Item 25. To the Alcoholic Beverage Commission from the unexpended balance of departmental revenues of the Responsible Vendor Certification fund authorized by Tennessee Code Annotated, Section 57-5-609.

Item 26. To the State Museum in Section 36, Item 30, and Section 1, Title III-2, Item 2.10, the unexpended balance of the non-recurring appropriations for the semi quincennial celebration.

Item 27. To the State Museum in Section 36, Item 31, the unexpended balance of the \$5,000,000 non-recurring appropriation for grants to museums with a 501(c)(3) nonprofit organization or affiliated with a governmental entity for capital maintenance and improvements.

Item 28. To the State Museum in Section 61, Item 20, the unexpended balance of the \$5,000,000 non-recurring appropriation for grants to museums with a 501(c)(3) nonprofit organization or affiliated with a governmental entity for capital maintenance and improvements.

Item 29. To the Department of Finance and Administration, in Section 36, Item 34, for transportation of mental health patients.

Item 30. To the Department of Finance and Administration, Office of Criminal Justice Programs, in Section 36, Item 35, the unexpended balance of the \$25,000,000 non-recurring appropriation for Evidence-Based Programming Seed Grants.

Item 31. To the Department of Finance and Administration, Office of Criminal Justice Programs, in Section 36, Item 36, the unexpended balance of the \$100,000,000 non-recurring appropriation for Violent Crime Intervention Grants.

Item 32. To the Department of Finance and Administration, in Section 36, Item 37, the unexpended balance of the non-recurring appropriation for crisis pregnancy center grants.

Item 33. To the Department of Finance and Administration, in Section 36, Item 38, the unexpended balance of the \$10,000,000 non-recurring appropriation for evidence-based grants for jails – mental health focus.

Item 34. To the Department of Finance and Administration, in Section 36, Item 39, the unexpended balance of the \$13,000,000 non-recurring appropriation for victims of crime act funds.

Item 35. To the Department of Finance and Administration, Office of Criminal Justice Programs, in Section 55, Item 1-55, the unexpended balance of the \$20,000,000 non-recurring appropriation for Victims Services grants.

Item 36. To the Department of General Services any unexpended real estate fees collected by the Real Estate Asset Management Division and the unexpended balance of appropriation in Chapter 453, Public Acts of 2013, Section 38, Item 5.1, and carried forward pursuant to Chapter 919, Public Acts of 2014, Section 36, Item 22.

Item 37. To the Department of General Services, Real Estate Asset Management Division, the proceeds from the sale of surplus personal property assigned to the division.

Item 38. To the Department of General Services, in Section 4, any unexpended revenues received for conducting conferences for the Governor's Office of Diversity and Business Enterprise shall not revert to the general fund.

Item 39. To the Department of General Services, in Section 36, Item 44, for capital projects programming.

Item 40. To the Department of General Services, the unexpended balance of all non-recurring appropriations in Section 1, Title III-2, Item 4, and Section 36, Item 45, for TN Serves.

Item 41. To the Department of General Services, Megasite Authority of West Tennessee, in Section 36, Item 46.

Item 42. To the Department of General Services, in Section 1, Title III-2, Item 4.11, the unexpended balance of the \$542,700 non-recurring appropriation for MALETA staffing and operations increase.

Item 43. To the Department of Veterans Services in Section 36, Item 48, and Section 1, Title III-2, Item 5.2, and Section 4, Title III-2, Item 5.1 for operational expenses, excluding payroll, related to cemetery construction and maintenance.

Item 44. To the Department of Veterans Services, Tennessee State Veterans Cemeteries, the unexpended balance of donations made to the program.

Item 45. To the Department of Veterans Services, in Section 36, Item 51, the unexpended balance of the \$75,000 non-recurring appropriation for the honor guard grant program.

Item 46. To the Department of Veterans Services, in Section 36, Item 52, the unexpended balance of the \$15,000 non-recurring appropriation for the honor guard grant program for the sole purpose of making grants in accordance with Tennessee Code Annotated, Section 4-3-2505.

Item 47. To the Department of Agriculture, the unexpended balance of revenues from timber, communications access, and carbon credit sales at state and federal forests and state parks.

Item 48. To the Department of Agriculture, the unexpended balance of revenues from timber sales at federal forests.

Item 49. To the Department of Agriculture for the agricultural enhancement program in Section 36, Item 55, and in Section 1, Title III-3, Items 1, 2, 3, and 5.

Item 50. To the Department of Agriculture, the unexpended balance of funds from the Agriculture Enterprise Fund for agribusiness grants.

Item 51. To the Department of Agriculture, in Section 36, Item 59, the unexpended balance of non-recurring appropriations for the Wine and Grape Board.

Item 52. To the Department of Agriculture, in Section 36, Item 61, the unexpended balance of the \$2,000,000 non-recurring appropriation for forestry supplies and equipment.

Item 53. To the Department of Agriculture, in Section 1, Title III-3, Item 1, the unexpended balance of the \$25,000,000 non-recurring appropriation for the Farmland Preservation Fund.

Item 54. To the Department of Tourist Development, the unexpended balance of funds from the Tourism Marketing Task Force.

Item 55. To the Department of Tourist Development, the unexpended balance of funds from the Rural Development Fund for tourism enhancement grants.

Item 56. To the Department of Tourist Development in Section 36, Item 64, the unexpended balance of the non-recurring \$25,000,000 appropriation for the special event grant program.

Item 57. To the Department of Tourist Development, in Section 36, Item 65, the unexpended balance of the \$17,000,000 non-recurring appropriation for raceway grants.

Item 58. To the Department of Tourist Development in Section 1, Title III-4, Item 1, the unexpended balance of the \$500,000 non-recurring appropriation for the Tennessee sports hall of fame operational funding.

Item 59. To the Department of Environment and Conservation, Water Resources, for land reclamation, in Section 1, Title III-5, Item 17, and Section 36, Item 67.

Item 60. To the Department of Environment and Conservation, State Parks, in Section 1, Title III-5, Item 5, for operational expenses, and in Section 36, Item 68, for parks modernization.

Item 61. To the Department of Environment and Conservation, the unexpended balance of revenues generated from the disposal of invasive and/or non-invasive species from lands under department jurisdiction undergoing ecological restoration and donations received for such purpose.

Item 62. To the Department of Environment and Conservation, Natural Areas, the unexpended balance of donations made to the program.

Item 63. To the Department of Environment and Conservation in Section 36, Item 72, the unexpended balance of the \$9,348,700 non-recurring appropriation for megasite and area development.

Item 64. To the Department of Environment and Conservation in Section 36, Item 73, the unexpended balance of the \$3,000,000 non-recurring appropriation for solid waste assistance grants.

Item 65. To the Department of Environment and Conservation in Section 36, Item 74, the unexpended balance of the \$9,000,000 non-recurring appropriation for solid waste management site cleanup.

Item 66. To the Department of Environment and Conservation, in Section 36, Item 76, the unexpended balance of the \$1,000,000 non-recurring appropriation for comprehensive planning for solid waste disposal.

Item 67. To the Department of Environment and Conservation in Section 36, Item 77, the unexpended balance of the \$10,000,000 non-recurring appropriation for water regionalization.

Item 68. To the Department of Environment and Conservation in Section 1, Title III-5, Item 16, the unexpended balance of the \$628,000 non-recurring appropriation for a nuclear fusion regulatory framework.

Item 69. To the Department of Environment and Conservation in Section 1, Title III-5, Item 17, the unexpended balance of the \$24,500,000 non-recurring appropriation for Duck River planning.

Item 70. To the Tennessee Historical Commission in Section 1, Title III-5, Items 8 and 9, and Section 36, Item 78, for the Tennessee Wars Commission.

Item 71. To the Tennessee Historical Commission, the unexpended funds from any prior appropriations for publications, historical markers and other historical activities.

Item 72. To the Department of Correction, Community Corrections, in Section 1, Title III-7, Item 5, and Section 36, Item 81, pursuant to Tennessee Code Annotated, Section 40-36-304(c)(1).

Item 73. To the Department of Correction, in Section 36, Item 82, the unexpended balance of the \$5,000,000 non-recurring appropriation for Violent Crime Intensive Intervention Unit Pilot program.

Item 74. To the Department of Correction, in Section 1, Title III-7, the unexpended balance of the \$21,722,900 non-recurring appropriation for Hepatitis C Treatment Standards.

Item 75. To the Department of Economic and Community Development in Section 36, Item 83, and from the appropriations made in Section 1, Title III-8, to support the Three-Star community program, the Main Street program, and other community development programs.

Item 76. To the Department of Economic and Community Development for non-FastTrack economic development project grants made in the Business Development program.

Item 77. To the Department of Economic and Community Development, Tennessee Film and Television Incentive Fund, pursuant to Tennessee Code Annotated, Section 4-3-4903(e), the Commissioner of Finance and Administration is authorized to carry forward unexpended balances of any appropriations made for the incentive fund, and the unexpended grant balances of the Tennessee Entertainment Commission.

Item 78. To the Department of Economic and Community Development for rural development project grants made from the Rural Development Fund.

Item 79. To the Department of Economic and Community Development for the unexpended balance of funds for LiftTN Urban Competitive Grants.

Item 80. To the Department of Economic and Community Development, the unexpended balance of all non-recurring appropriations for historic property development grants, not to exceed \$25,000,000.

Item 81. To the Department of Economic and Community Development, Section 36, Item 90, the unexpended balance not to exceed \$70,000,000 for nuclear energy supply chain investment fund.

Item 82. To the Department of Economic and Community Development, in Section 36, Item 91, the unexpended balance of the \$1,500,000 non-recurring appropriation for workforce development initiative.

Item 83. To the Department of Economic and Community Development, in Section 36, Item 92, the unexpended balance of the \$1,000,000 non-recurring appropriation for marketing funds.

Item 84. To the Department of Economic and Community Development, in Section 36, Item 93, the unexpended balance not to exceed \$7,500,000 for TNGO Tennessee Mobility Innovation Initiative.

Item 85. To the Department of Economic and Community Development, in Section 61, Item 22, the unexpended balance of the \$2,000,000 non-recurring appropriation for grants to counties and municipalities for capital projects related to, and maintenance of, county courthouse buildings located within the county or municipality. A municipality that receives an allocation of sales tax revenue derived from a courthouse square revitalization zone pursuant to Tennessee Code Annotated, Section 67-6-103(h)(2) is not eligible to receive such funds.

Item 86. To the Department of Economic and Community Development, in Section 1, Title III-Item 8, the unexpended balance of the \$50,000,000 non-recurring appropriation for the small modular reactor grant fund.

Item 87. To the Department of Economic and Community Development in Section 4, Title III-8, Item 9, the unexpended balance of the \$63,000,000 non-recurring funding for Research and Development (R&D) and Innovation Grants.

Item 88. All funds appropriated to the Department of Education for the purposes of the state testing programs which remain unobligated and unexpended at the end of any fiscal year shall not revert to the general fund but shall be carried forward in a reserve to be expended for the purposes of such programs.

Item 89. To the Department of Education in Section 36, Item 96, and in Section 1, Title III-9, Item 2.1e, of Chapter 603, Public Acts of 2007, in a non-recurring amount of \$2,000,000 for the Teach Tennessee Program.

Item 90. To the Department of Education, the unexpended balance of appropriations for the Safe Schools Act of 1998, in Section 36, Item 97; Section 1, Title III-9, Item 2.2(a); and Section 8, Item 47(a).

Item 91. To the Department of Education, the unexpended balance of grants received from non-state entities for the provision of program services.

Item 92. To the Department of Education, State Board of Education, Section 36, Item 102, for K-12 Academic Standards Review Process.

Item 93. To the Department of Education, Special Education Services, in Section 36, Item 103, for the Individualized Education Act.

Item 94. To the Department of Education, in Section 36, Item 106, and in Section 1, Title III-9, Item 2.2d, for priority school grants, pursuant to Tennessee Code Annotated, Section 49-6-2605(b)(2).

Item 95. To the Department of Education, in Section 36, Item 107, the unexpended balance of the \$3,000,000 appropriation for seat belt grants.

Item 96. To the Department of Education, in Section 36, Item 108; for the Charter Schools Facility Fund.

Item 97. To the Department of Education, in Section 36, Item 110, College, Career, and Technical Education, the unexpended balances of the non-recurring appropriations for (a) Early Post-Secondary Opportunities, (b) Occupational License Teacher Loan Forgiveness, (c) Middle School CTE start-up grants, (d) Work-Based Learning Coordinators, (e) STEM Expansion Program, and (f) National Career Readiness Certificate Pilot Program.

Item 98. To the Department of Education, in Section 36, Item 111, Academic Offices, the unexpended balances of the non-recurring appropriations for (a) Rural Principal Development, and (b) Governor's Civics Initiative.

Item 99. To the Department of Education, in Section 36, Item 113, and in Section 1, Title III-9, the unexpended balance of non-recurring appropriation relative to learning loss initiatives.

Item 100. To the Department of Education, in Section 36, Item 114, the unexpended balance of appropriations for summer camps and summer transportation grants.

Item 101. To the Department of Education, in Section 36, Item 115, the unexpended balance of the \$529,000,000 non-recurring appropriation for Innovative Middle and High School Career and Technical Education grants.

Item 102. To the Department of Education, in Section 36, Item 116, from the unexpended balances of non-recurring appropriations for school safety grants.

Item 103. To the Department of Education, the unexpended balances of Education Savings Accounts for participating students, pursuant to Tennessee Code Annotated, Section 49-6-2603(d).

Item 104. To the Department of Education, the unexpended balance of the \$50,000 non-recurring appropriation for 2024 Public Chapter 954 relative to therapy dogs.

Item 105. To the Department of Education, for local education agency reimbursement of paid leave.

Item 106. To the Department of Education, the unexpended balances of Education Freedom Scholarship Accounts for eligible students, pursuant to Tennessee Code Annotated, Section 49-6-3503(c).

Item 107. To the Department of Education, state special schools, from donations made to said special schools.

Item 108. To the Department of Education, the unexpended balances of non-recurring appropriations for the school turnaround program.

Item 109. To Higher Education, Tennessee Higher Education Commission, in Section 1, Title III-10, the unexpended balance of revenues, including any associated reserve balances, received from federal college access initiative grants, for the same purpose.

Item 110. To Higher Education, THEC Grants, in Section 1, Title III-10, Item 1.6 and in Section 36, Item 123, for the Veteran Reconnect program.

Item 111. To Higher Education, THEC Grants, in Section 36, Item 124 and in Section 1, Title III-10, Item 1.6, for Tennessee Promise Forward grants.

Item 112. To Higher Education, THEC Grants, in Section 36, Item 125, for the unexpended balance of the \$25,000,000 appropriation for Governor's Investment in Vocational Education – Community Grants.

Item 113. To Higher Education, THEC Grants, for Supporting Postsecondary Access in Rural Communities micro grants.

Item 114. To Higher Education, in Section 36, Item 133, the unexpended balance of the \$14,500,000 non-recurring appropriation for the tnAchieves Knox Promise program.

Item 115. To the Department of Commerce and Insurance for the volunteer firefighter equipment and training grant program, pursuant to Tennessee Code Annotated, Section 68-102-154.

Item 116. To the Department of Commerce and Insurance in Section 36, Item 135, the unexpended balance of the non-recurring appropriations for law enforcement hiring, training, and recruitment program recruiting bonuses.

Item 117. To the Department of Commerce and Insurance in Section 36, Item 136, the unexpended balance of the \$24,000,000 non-recurring appropriation for law enforcement hiring, training, and recruitment program recruiting cost sharing.

Item 118. To the Department of Commerce and Insurance in Section 36, Item 138, the unexpended balance of the \$1,600,000 non-recurring appropriation for the purchase of a fire truck for the Tennessee Fire Services and Codes Enforcement Academy.

Item 119. To the Department of Commerce and Insurance in Section 36, Item 139, the unexpended balance of all non-recurring appropriations for competitive grants to rescue squads across the state in an amount not to exceed \$5,000,000.

Item 120. To the Department of Commerce and Insurance, in Section 36, Item 140, the unexpended balance of the \$2,250,000 non-recurring appropriation for a codes enforcement system modernization.

Item 121. To the Department of Commerce and Insurance, in Section 36, Item 141, the unexpended balance of the \$1,500,000 non-recurring appropriation for a manufactured housing system modernization.

Item 122. To the Department of Commerce and Insurance, in Section 61, Item 17, the unexpended balance of the \$20,000,000 non-recurring appropriation for competitive grants to volunteer fire departments across the state, to be used for equipment, supplies, or training provided by the Tennessee Fire Service and Codes Enforcement Academy.

Item 123. To the Department of Commerce and Insurance, in Section 61, Item 18, the unexpended balance of the \$5,000,000 non-recurring appropriation for competitive grants to rescue squads across the state, to be used for equipment.

Item 124. To the Department of Labor and Workforce Development in Section 36, Item 144, and in Section 1, Title III-13, Item 8, for the Subsequent Injury and Vocational Recovery Fund.

Item 125. To the Department of Labor and Workforce Development in Section 36, Item 145, and Section 1, Title III-13, Item 11, the unexpended balance of the \$20,000,000 non-recurring appropriations for a summer youth employment program.

Item 126. To the Department of Labor and Workforce Development in Section 1, Title III-13, Item 11, the unexpended balance of the \$4,000,000 non-recurring appropriations for a state workforce board.

Item 127. To the Department of Mental Health and Substance Abuse Services in Section 1, Title III-14, Item 2.5, and Section 36, Item 146, for housing initiatives for persons with mental illness or substance use disorder.

Item 128. To the Department of Mental Health and Substance Abuse Services, the unexpended balance of the appropriation made in Section 61, Item 70, of Chapter 1130, Public Acts of 2022, for the use of long-acting, injectable naltrexone and any wraparound treatment services necessary to provide opioid relapse treatment or alcohol use disorder treatment to adult clients of mental health providers contracted with the Department of Mental Health and Substance Abuse Services. This funding may also be granted by the department for the same purposes to serve clients in recovery or treatment court programs or adults in local or state custody in a county jail. Funding awarded by the department must be used to follow best practices in providing a continuum of care and to purchase long-acting, injectable naltrexone. The Commissioner of Mental Health and Substance Abuse Services shall report all measures taken to implement this item to the Chairs of the Finance, Ways and Means Committees by July 15, 2026, and December 15, 2026.

Item 129. To the Department of Mental Health and Substance Abuse Services in Section 36, Item 148, the unexpended balances of the non-recurring appropriations from Chapter 4, Public Acts of the first extraordinary session of the 113th General Assembly, including:

(a) Retention and sign-on bonuses for public health workers in the amount of \$12,131,000; and

(b) Community mental health grants in the amount of \$50,000,000.

Item 130. To the Department of Military in Section 36, Item 150, for tuition assistance.

Item 131. To the Department of Military, in Section 36, Item 151, Tennessee Emergency Management Agency, the unexpended balance of appropriations for state match on federal emergency preparedness management grants.

Item 132. To the Department of Military in Section 36, Item 152, the unexpended balance of the \$5,565,100 non-recurring appropriation for the lease of a warehouse for the Tennessee Emergency Management Agency.

Item 133. To the Department of Military in Section 36, Item 153, the unexpended balance of the \$5,000,000 non-recurring appropriation for the STORM Act.

Item 134. To the Department of Military, in Section 36, Item 154, the unexpended balance of the \$2,000,000 non-recurring appropriation for a TEMA incident management vehicle.

Item 135. To the Department of Military, in Section 36, Item 155, the unexpended balance of the \$1,400,000 non-recurring appropriation for border deployment.

Item 136. To the Department of Health, in Section 36, Item 156, and in Section 1, Title III-16, Item 4, for the Health Access Incentive Fund program.

Item 137. To the Department of Health in Section 1, Title III-16, and Section 36, Item 158, the unexpended balance of all non-recurring appropriations for the Dental Services Pilot Program.

Item 138. To the Department of Health, in Section 36, Item 159, the unexpended balance of the \$1,000,000 non-recurring appropriation for Tennessee Strong Families doula program grants.

Item 139. To the Department of Health, in Section 61, Item 19, the unexpended balance of the \$5,000,000 non-recurring appropriation for grants in equal amounts and on a competitive basis to licensed emergency medical services organizations across the state, to be used for equipment.

Item 140. To the Department of Disability and Aging in Section 36, Item 162, Community Intellectual Disabilities Services, for the unspent balance of appropriations in the enabling technology program.

Item 141. To the Department of Disability and Aging, any unexpended state appropriations, not to exceed five percent (5%) of the total appropriated funds for the Tennessee Early Intervention System program in both the Department of Disability and Aging and the Department of Children's Services and transferred from the Department of Education to the Department of Disability and Aging. Said reserve is subject to the approval of the Commissioner of Finance and Administration.

Item 142. To the Department of Disability and Aging in Section 36, Item 164, the unexpended balance of the \$1,000,000 non-recurring appropriation for adult changing tables. The department shall award grants up to \$10,000 each for the installation of the adult changing tables.

Item 143. To the Department of Disability and Aging in Section 36, Item 165 and Section 1, Title III-25, the unexpended balance of the appropriations made for the

implementation of the pilot project requiring the Commission on Aging and Disability to provide grants in equal amounts to each of the nine (9) Area Agencies on Aging and Disability (AAAD) for the Alzheimer's and dementia care respite pilot program.

Item 144. To the Department of Disability and Aging, in Section 36, Item 167, the unexpended balance of the \$5,000,000 non-recurring appropriation for Tennessee Strong Families Network Development.

Item 145. To the Department of Disability and Aging, in Section 61, Item 21, the unexpended balance of the \$5,000,000 non-recurring appropriation for competitive grants to senior centers across the state.

Item 146. To the Department of Human Services, in Section 36, Item 171 and Section 1, Title III-17, the unexpended balance of the \$45,000,000 non-recurring appropriation for the Child Care Improvement Fund.

Item 147. To the Department of Human Services, in Section 61, Item 23, the unexpended balance of the \$500,000 non-recurring appropriation for grants in such amount to the Second Harvest Food Bank of Middle Tennessee, to be used for the purpose of purchasing, handling, and transporting food for hunger relief. The Second Harvest Food Bank of Middle Tennessee shall distribute the funds to the five (5) food banks across the state, as follows: (a) 35% to Second Harvest Food Bank of Middle Tennessee; (b) 25% to Memphis Food Bank; (c) 20% to Second Harvest Food Bank of East Tennessee; (d) 10% to Chattanooga Area Food Bank; (e) 10% to Second Harvest Food Bank of Northeast Tennessee.

Item 148. To the Department of Revenue for the production of license plates.

Item 149. To the Department of Revenue in Section 36, Item 174, and Section 1, Title III-18, Item 8, for sales tax disaster relief pursuant to Tennessee Code Annotated, Section 67-6-396.

Item 150. To the Department of Revenue, Insurance Verification, for the uninsured motorist identification restricted fund pursuant to Tennessee Code Annotated, Section 55-12-213.

Item 151. To the Department of Revenue, in Section 36, Item 205, the unexpended balance of the \$300,000 non-recurring appropriation in Section 61, Item 12 for Chapter 1017, Public Acts of 2024, the MOTION Act.

Item 152. To the Department of Safety and the Tennessee Bureau of Investigation from the handgun carry permit fees paid pursuant to Tennessee Code Annotated, Section 39-17-1351.

Item 153. To the Department of Safety, the unexpended balance of donations from any non-profit organization created pursuant to Tennessee Code Annotated, Section 4-3-2017.

Item 154. To the Department of Safety, the unexpended balance of non-recurring appropriations for TACN radio system infrastructure.

Item 155. To the Department of Safety, in Section 36, Item 180, the unexpended balance of the \$8,282,500 non-recurring appropriation for communications infrastructure replacement.

Item 156. To Miscellaneous Appropriations in Section 36, Item 183, for wildfire suppression costs.

Item 157. The Commissioner of Finance and Administration is authorized to carry forward the unexpended balance of the appropriation made to Miscellaneous Appropriations in Section 36, Item 184, for the completion of a weighted caseload study to analyze the distribution of judicial, district attorney general and public defender positions throughout the state.

Item 158. To Miscellaneous Appropriations, in Section 36, Item 185, for consulting/study – governor's efficiency initiatives.

Item 159. To Miscellaneous Appropriations, in Section 36, Item 186, the unexpended balance of local government cybersecurity grants.

Item 160. To Miscellaneous Appropriations, in Section 36, Item 187, the unexpended balance of the \$5,000,000 appropriation for governor's initiatives.

Item 161. To Miscellaneous Appropriations in Section 36, Item 189, the unexpended balance of the \$170,000,000 non-recurring appropriation for Higher Education – ERP Replacement.

Item 162. To Miscellaneous Appropriations in Section 36, Item 193, the unexpended balance of the \$75,000,000 non-recurring appropriation for Statewide E-Filing System - Courts.

Item 163. To Miscellaneous Appropriations in Section 36, Item 194, the unexpended balance of the \$10,250,000 non-recurring appropriation for Tennessee Strong Families – TN Fosters Hope.

Item 164. To Miscellaneous Appropriations in Section 36, Item 195, the unexpended balance of the \$8,100,000 non-recurring appropriation for STS efficiency project.

Item 165. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 8.16, the unexpended balance of the \$5,000,000 non-recurring appropriation for STS-ERP Modernization Initial Phase.

Item 166. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 8.17, the unexpended balance of the \$1,150,000 non-recurring appropriation for STS-Artificial Intelligence Enablement.

Item 167. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 8.18, the unexpended balance of the \$3,000,000 non-recurring appropriation for STS-Business Gateway.

Item 168. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 8.19, the unexpended balance of the \$5,000,000 non-recurring appropriation for STS-ADA Compliance.

Item 169. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 8.20, the unexpended balance of the \$1,950,000 non-recurring appropriation for STS-Data Center Operations.

Item 170. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 8.21, the unexpended balance of the \$20,000,000 non-recurring appropriation for STS-North Data Center Relocation.

Item 171. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 8.22, the unexpended balance of the \$750,000 non-recurring appropriation for STS-TN Track Enhancements.

Item 172. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 9.34, the unexpended balance of the \$65,000,000 non-recurring appropriation for Water Regionalization Project.

Item 173. To Miscellaneous Appropriations, in Section 1, Title III-22, Item 9.35, the unexpended balance of the \$175,000,000 non-recurring appropriation for Public Safety Crime Prevention Grants.

Item 174. To Miscellaneous Appropriations, in Section 55, Item 1-54, the unexpended balance of the \$5,000,000 non-recurring appropriation for Artificial Intelligence Implementation.

Item 175. To the Department of Children's Services in Section 36, Item 199, Subject to the availability of revenue, the Commissioner of Finance and Administration is authorized to carry forward funds to provide for a statewide needs assessment of child welfare services.

Item 176. To the Department of Transportation in Section 1, Title III-30, Item 3, for equipment purchases.

Item 177. To the Department of Transportation for any appropriations which are reserved at June 30, 2026.

SECTION 37. Carry-forward of Unexpended Balances for Local Government Agencies and Third-Party Nonprofit Agencies. The provisions of this section take effect upon becoming a law, the public welfare requiring it. Subject to the availability of revenue at June 30, 2026, any unexpended balances of appropriations made under Chapter 530, Public Acts of 2025, other acts of this General Assembly or acts by previous General Assemblies for benefit of an agency of local government or a third-party nonprofit organization for which there is a grant agreement/contract approved by the Commissioner of Finance and Administration are hereby reappropriated to be expended in the 2026-2027 fiscal year and such appropriations shall be carried forward in a reserve into the fiscal year beginning July 1, 2026. The Commissioner of

Finance and Administration shall provide a list of any unexpended balances carried forward to the Director of Accounts, the Division of State Audit, and the Office of Legislative Budget Analysis. The reappropriation and carry-forward of these funds is subject to approval by the Commissioner of Finance and Administration, and expenditure and reporting requirements are adjusted accordingly to the fiscal year in which the funds are received by the grant recipient, notwithstanding any provision in the grant agreement to the contrary.

SECTION 38. Supplemental Appropriations 2025-2026. The provisions of this section take effect upon becoming a law, the public welfare requiring it. There is hereby appropriated the following amounts which shall be in addition to the appropriations provided under Chapter 530, Public Acts of 2025:

1.	Treasury Department	
1.1	LEA Public Construction Maintenance – General Fund Subsidy	\$10,616,000.00
2.	Claims and Compensation	
2.1	Unclaimed Property – Service Contract.....	2,250,000.00
3.	Veterans Services	
3.1	Emergency Cemetery Repairs.....	250,000.00
4.	Economic and Community Development	
4.1	Development District Grants.....	538,900.00
5.	Education	
5.1	Paid Parental Leave	\$ 1,273,400.00
5.2	Grade A Schools	11,000,000.00
	Total Education	\$ 12,273,400.00
6.	Commerce and Insurance	
6.1	POST Pay Supplements.....	\$ 326,400.00
6.2	Emergency Responder Death Benefits.....	1,500,000.00
	Total Commerce and Insurance	\$ 1,826,400.00
7.	Human Services	
7.1	Summer Nutrition Program.....	\$ 3,000,000.00
7.2	Summer Food Assistance	5,000,000.00
7.3	Data Analysis Contract.....	8,000,000.00
	Total Human Services	\$ 16,000,000.00
8.	Tennessee Bureau of Investigation	
8.1	Restore Crime Scene Vehicle Funds.....	1,035,500.00
9.	Children's Services	
9.1	Recalculate Residential Custodial Budget	\$36,811,400.00
9.2	Align Eligibility Requirements	16,291,800.00

Total Children's Services.....	\$	53,103,200.00
TOTAL	\$	97,893,400.00

The Commissioner of Finance and Administration is authorized to allot and transfer these appropriations to the appropriate expenditure account within each department, agency or branch of government and to adjust authorized positions accordingly. The Commissioner of Finance and Administration is further authorized to adjust federal aid and departmental revenues accordingly.

SECTION 39. Program Expansions from Federal and Other Departmental Revenue. The provisions of this section take effect upon becoming law, the public welfare requiring it. At June 30, 2026, any unexpended balances of departmental revenues and federal aid funds appropriated in this section are hereby reappropriated in the fiscal year beginning July 1, 2026.

There is hereby appropriated from departmental revenues and federal aid funds the amounts hereinafter set out:

SECTION 40. Accrued Liabilities and Obligations Between State Agencies. There is hereby appropriated a sum sufficient to recognize any accrued liability of the state and any obligations between state agencies at June 30, 2027, and federal aid and departmental revenues may be adjusted accordingly. This appropriation is subject to certification of the accrued liability and obligations between state agencies by the Commissioner of Finance and Administration to the State Comptroller. The commissioner shall provide a copy of the certification to the Office of Legislative Budget Analysis.

SECTION 41. The provisions of this section take effect upon becoming a law, the public welfare requiring it.

Item 1.

(1) From the appropriations made in Sections 1 and 4 of this act, there are appropriated sums sufficient to fund the following programs:

(a) An amount sufficient to implement and pay the cost of administering the Section 125 cafeteria plan established for state employees is hereby appropriated for that purpose. From the appropriation made in this item and any annual forfeited contributions, the Commissioner of Finance and Administration is authorized to establish positions and funding for such positions to fund recurring and non-recurring costs of administering the cafeteria plan established for such employees. There is hereby appropriated a sum sufficient to pay additional costs of administering the State Employee Cafeteria Plan as a result of increased participation in the plan by state employees; and

(b) An amount up to but not exceeding \$1,000,000 for the wellness program or other state employee insurance programs administered by the Department of Finance and Administration; and

(c) An amount up to but not exceeding \$10,000 for the daycare program for children of state employees as administered by the Department of Human Services, provided, that allotment of funds under this sub-item is subject to approval of the Commissioner of Finance and Administration; and

(d) An amount up to but not exceeding \$154,500 to fund the administrative costs of the state employee sick leave bank administered by the Department of Human Resources; and

(e) An amount to provide for the employer match to the state's 401(k) plan for state employees compensated on the centralized state payroll system pursuant to Tennessee Code Annotated, Title 8, Chapter 25.

(2) The State Treasurer shall have the authority to contract with the optional retirement plan vendors to provide investment products to optional retirement plan participants under the state's 401(k) program.

Item 2. The Commissioner of Finance and Administration is hereby authorized to establish a reserve account for Community Services Agency (CSA). If any CSA ceases to operate, any fund balances may be deposited to this account. There is hereby appropriated a sum sufficient from the reserve account to provide for outstanding obligations of any CSA or the ongoing operational cost of any CSA. Disbursement from this fund is subject to the approval of the Commissioner of Finance and Administration.

Item 3. In the fiscal year ending June 30, 2026, the Commissioner of Finance and Administration is authorized to transfer the unexpended balances of the amounts transferred from the Secretary of State in Section 62, Item 2(b) of Chapter 460, Public Acts of 2017 and Section 2, Item 22 of Chapter 1061, Public Acts of 2018 to the state office buildings and support facilities revolving fund reserve back to the Secretary of State.

Item 4. In addition to the revenues appropriated in Chapter 530, Public Acts of 2025, there is hereby appropriated a sum sufficient to the Department of Mental Health and Substance Abuse Services from revenues collected from TennCare managed care organizations.

Item 5. In addition to the revenues appropriated in Chapter 530, Public Acts of 2025, there is hereby appropriated a sum sufficient to the Department of Children's Services from revenues collected from TennCare managed care organizations.

SECTION 42. Legislation Requiring Local Government Expenditures – Appropriations and Provisions.

Item 1. No law of general application which imposes increased expenditure requirements on cities and counties in excess of one million dollars (\$1,000,000) shall take effect unless the state share of the cost of such law is specifically appropriated by the provisions of this act.

Item 2. From the growth in state-shared taxes apportioned to cities and counties and from the increase in local revenue generated from passage of any general law during the 2026 annual session of the 114th General Assembly not otherwise appropriated pursuant to this act, a sum sufficient hereby is appropriated to fund the state share of the cost of any law of general application which requires, without local discretion, that incorporated municipalities or county governments increase expenditures as a direct consequence of passage of any general law.

SECTION 43. Over-Appropriation, Reserve Designations, Fund Transfers, and Revenue Allocations. The provisions of this section take effect upon becoming a law, the public welfare requiring it.

Item 1. It is the legislative intent to recognize over-appropriation reversion savings in the general fund in the following amounts:

(a) In fiscal year 2025-2026 to recognize an over-appropriation of \$76,808,500, including a base recurring over-appropriation of \$76,808,500 and a non-recurring over-appropriation of \$0.

(b) In fiscal year 2026-2027 to recognize an over-appropriation of \$76,808,500, including a base recurring over-appropriation of \$76,808,500 and a non-recurring over-appropriation of \$0.

(c) It is the legislative intent that any reversion from higher education appropriations to the general fund balance at June 30, 2027, be drawn from the unexpended balance in the Tennessee Higher Education Commission and the Tennessee Student Assistance Corporation, but not from the Tennessee Student Assistance Awards.

(d) It is the legislative intent that any departmental revenue received by the Department of Mental Health and Substance Abuse Services from certified public expenditures shall revert to the general fund at June 30, 2026.

Item 2. In the fiscal year ending June 30, 2026, there shall be reserved or designated a sum in the general fund balance to provide for non-recurring appropriations and other appropriations intended to be funded in the 2026-2027 fiscal year from the general fund balance at June 30, 2026. The Commissioner of Finance and Administration shall determine the amount to be reserved or designated.

Item 3. Under the provisions of Tennessee Code Annotated, Section 55-6-107(a), the sum of \$10,800,000 shall be allocated to the general fund for the cost of issuing motor vehicle registration plates in the fiscal year ending June 30, 2027.

Item 4. Unexpended appropriations or unreserved fund balances in an amount to be determined by the Commissioner of Finance and Administration shall be transferred from the debt service fund to the general fund in the fiscal year ending June 30, 2026.

Item 5. In the fiscal year ending June 30, 2026, tax revenues allocated to the debt service fund, including motor vehicle title fees, in excess of \$389,600,000 shall be transferred to the general fund. If said allocation to the debt service fund is less than \$389,600,000, then the allocation of excise tax revenues to the debt service fund shall be increased in an amount to provide the allocation of \$389,600,000 to the debt service fund.

Item 6. In the fiscal year ending June 30, 2026, the allocation of motor vehicle title fees to the debt service fund shall be the sum generated by the \$1.50 fee under the provisions of Tennessee Code Annotated, Section 55-6-101(a)(1).

Item 7. Pursuant to Tennessee Code Annotated, Section 67-6-103, there is apportioned from the general fund share of the sales and use tax into cities and counties state shared taxes for the County Revenue Partnership Fund the sum of \$1,900,000 in the fiscal year ending June 30, 2026, and the sum of \$1,900,000 in the fiscal year ending June 30, 2027. These apportionments recognize the state share of certain laws imposing costs on local governments, to include: (a) Chapter 531, Public Acts of 2009, Section 30, relative to commitment of children to state custody at a rate above 300 percent of the average commitment rate from counties, in the amount of \$400,000; (b) Chapter 987, Public Acts of 2012, relative to domestic assault, in the amount of \$600,000; (c) Chapter 1057, Public Acts of 2022, relative to retirement benefits for certain military veterans, in the amount of \$500,000; (d) Chapter 1070, Public Acts of 2022, relative to pharmacy benefit managers, in the amount of \$200,000, and (e) Chapter 399, Public Acts of 2023, relative to requiring LEAs to grant six work weeks of paid leave to certified personnel, in the amount of \$200,000.

SECTION 44. State Office Buildings and Support Facilities Revolving Fund.

Item 1. There is hereby appropriated a sum sufficient from the State Office Buildings and Support Facilities Revolving Fund to provide for expenditures authorized under Tennessee Code Annotated, Title 9, Chapter 4, Part 9. There is appropriated a sum sufficient to the revolving fund in recognition of the lease cost of space for which recovery is not in the state's best interest. The Commissioner of Finance and Administration is authorized to allot, from the amount carried forward under Tennessee Code Annotated, Title 9, Chapter 4, Part 9, to provide funding for state office buildings and support facilities, and is further authorized to make appropriation transfers between the revolving fund and state departments and agencies.

Item 2. Funds herein appropriated for capital outlay of the state office building and support facilities revolving fund shall be used solely for improvements, betterments, and additions to state structures and for the acquisition of additional land and space, including the purchase of existing structures, as approved by the State Building Commission; provided, further, that such funds as are appropriated herein shall be utilized to finance only those projects, improvements, betterments, or additions which are presented in the State of Tennessee's 2026-2027 Budget Document, as amended by any changes or additional projects contained in the Appropriations Act as passed on third and final consideration; provided, further, that all funds appropriated in this act or other general acts of this session for capital outlay of the state office buildings and support facilities revolving fund shall be subject to the provisions of Tennessee Code Annotated, Title 4, Chapter 15, Part 1.

Item 3. The appropriation made to the state office building and support facilities revolving fund pursuant to Chapter 554, Public Acts of 2009, Section 68, Item 8(b), for purposes authorized by Chapter 529, Public Acts of 2009, "The Tennessee Clean Energy Act of 2009," and reappropriated in Chapter 1029, Public Acts of 2012, Section 41, Item 28, is hereby reappropriated for the same purpose.

Item 4. The Commissioner of Finance and Administration is authorized to reallocate appropriations and revenues to transfer the maintenance of state facilities not previously in the state office building and support facilities revolving fund to the state office building and support facilities revolving fund, subject to a signed agreement for the transfer of facilities between the department head of the transferring agency and the commissioner of the Department of General Services. Provided, further, the state office building and support facilities revolving fund shall bill the transferring agency for maintenance of said facilities transferred. The Commissioner of Finance and Administration is further authorized to transfer property maintenance positions from the organizational units of the agencies to the Department of General Services, adjust departmental revenue estimates, and adjust rates accordingly.

SECTION 45. Strategic Technology Solutions; Information Systems Development. The provisions of this section take effect upon becoming a law, the public welfare requiring it.

Item 1. There is hereby created a Capital Projects Account in the Strategic Technology Solutions program for the administration of the Information Systems Capital Projects Budget. This account is established to provide for: (a) implementation of the statewide Management Information Systems (MIS) Plan; (b) ability to separate the operational budget of the Strategic Technology Solutions program and the system development projects contained in the MIS Plan; and (c) financial control of the system development projects, including equipment replacement for the various agencies of state government.

Item 2. There is hereby authorized the transfer of those sums appropriated for Information Systems Capital Projects in Sections 1 and 4 and in Section 36, Item 1, of this act. Federal aid funds and other departmental revenues shall be adjusted accordingly to reflect the transfer of state appropriations.

Item 3. The Commissioner of Finance and Administration is authorized to transfer to the Capital Projects Account any appropriations made in Sections 1 and 4 of this act resulting from operating savings derived from implementation of information systems funded through this section.

Item 4. From the appropriations made for systems development and other data processing activities in this act and other acts of the legislature, the Commissioner of Finance and Administration is authorized to establish and charge the costs of information systems analyst positions, workstation support positions, and other data processing positions to said appropriations. The Commissioner of Finance and Administration is further authorized to transfer between departments and agencies existing information systems analyst positions, workstation support positions, and other data processing positions and the funding provided in this act for transferred positions.

Item 5. Expenditure of any funds, subject to the jurisdiction of the Information Systems Council, appropriated for systems development, the purchase of computer software or the purchase of computer hardware shall be subject to the policies of such Council.

Item 6. From the appropriations made for information systems activities in this act and other acts of the legislature, the Commissioner of Finance and Administration is authorized to transfer from professional services to payroll amounts budgeted for contractors. Additionally, the Commissioner of Finance and Administration is authorized to increase authorized positions in order to replace contractors with state employees.

Item 7. The Commissioner of Finance and Administration is authorized to approve an adjustment in rates charged by the Strategic Technology Solutions program and to reserve any funds needed to rebate savings to the federal government and to reallocate state appropriations between departments and to adjust federal aid and other departmental revenue accordingly. Any adjustment of rates or reserve of funds pursuant to the provisions of this act shall be reported to the Information Systems Council.

Item 8. The Commissioner of Finance and Administration shall have the authority to allocate savings generated from rate reductions from the Strategic Technology Solutions program to support modifications needed to be made to existing applications resulting from technology obsolescence or product nonperformance to extend the life of a system.

SECTION 46. Appropriations from Dedicated Special License Plate and Motor Vehicle Registration Fees.

Item 1. The revenues allocated under the provisions of Tennessee Code Annotated, Title 55, Chapter 4, Parts 2 and 3, Special License Plates, are hereby appropriated in a sum sufficient amount as provided in Parts 2 and 3.

Item 2. From the motor vehicle registration fees imposed pursuant to Tennessee Code Annotated, Section 55-4-132, there is hereby appropriated a sum sufficient in the fiscal year ending June 30, 2027, to be used solely for the development, acquisition, and updating of a computerized titling and registration system, and for the operation of the titling and registration system. The Commissioner of Finance and Administration is authorized to allocate the funds to implement the intent of the act.

SECTION 47. Revenue Fluctuation Reserve, Reserve for Future Requirements (General Fund Surplus), and Other General Fund Reserves. The provisions of this section take effect upon becoming a law, the public welfare requiring it.

Item 1. From state revenues and other funds available to the general fund in excess of requirements for the fiscal year ending June 30, 2026, the Commissioner of Finance and Administration shall establish the Revenue Fluctuation Reserve in such amount as may be available under the provisions of Tennessee Code Annotated, Section 9-4-211. Provided, it is the legislative intent that the Revenue Fluctuation Reserve be set at a level of not less than \$2,185,600,000 on June 30, 2026.

Item 2. From state revenues and other funds available to the general fund in excess of requirements for the fiscal year ending June 30, 2027, the Commissioner of Finance and Administration shall establish the Revenue Fluctuation Reserve in such amount as may be available under the provisions of Tennessee Code Annotated, Section 9-4-211. Provided, it is the legislative intent that the Revenue Fluctuation Reserve be set at a level of not less than \$2,205,600,000 on June 30, 2027.

Item 3. It is the legislative intent that at June 30, 2026, any surplus general fund revenue, after fulfilling the requirements of Chapter 530, Public Acts of 2025, and of this act, including all requirements of the closing of accounts at June 30, 2026, be deposited in a reserve for future requirements.

SECTION 48. TennCare Program. The provisions of this section take effect upon becoming a law, the public welfare requiring it.

Item 1. The Commissioner of Finance and Administration is authorized to transfer all federal and state health care funds, except those funds appropriated to support the State Group Insurance Program, the Local Education Insurance Program and the Local Government Health Insurance Program, to the TennCare Program for the purpose of implementing any program approved by waiver, state plan amendment and/or state and federal legislation pursuant to the provisions of health care services to Tennesseans designated as eligible by TennCare. In addition, any premiums collected by the TennCare Program are explicitly authorized to be appropriated to the program for the purpose of carrying out the provisions of TennCare.

The Commissioner of Finance and Administration is further authorized to transfer state funds and positions, as required, between TennCare and the following agencies and programs: Community Mental Health Services and mental health institutes in the Department of Mental Health and Substance Abuse Services; Disability and Aging; Children's Services; Human Services; Strategic Health-Care Programs; Commerce and Insurance, Division of TennCare Oversight; and other health services.

Item 2. From the appropriations made to the TennCare Program in this act in Section 1, Title III-26 and Section 4, Title III-25, for the Program Integrity Unit, the Commissioner of Finance and Administration is authorized to transfer positions from TennCare to the Attorney General and Reporter and to adjust departmental revenue estimates accordingly.

Item 3. Subject to the availability of funding at June 30, 2026, the Commissioner of Finance and Administration is authorized to carry forward into the fiscal year beginning July 1, 2026, any unexpended balances of appropriations made under Chapter 530, Public Acts of 2025, for the TennCare program, and such funds as are carried forward hereby are reappropriated to be expended in the 2026-2027 fiscal year. The Commissioner of Finance and Administration is authorized to adjust federal aid and other departmental revenues accordingly.

Item 4. For fiscal year 2026-2027, in addition to all other appropriations to the TennCare Program, the Commissioner of Finance and Administration is authorized to use certified public expenditures and/or intergovernmental transfers from all government-related TennCare service providers and local governments for the purpose

of matching funds under federal law for the TennCare Program. The use of the certified public expenditures and/or intergovernmental transfers shall be in accordance with federal law and regulations.

Item 5. The Commissioner of Finance and Administration is hereby authorized to adjust revenue estimates and related expenditures in Section 4, Title III-25, related to premiums and drug rebates for the purpose of carrying out the provisions of TennCare.

Item 6. The Commissioner of Finance and Administration is hereby authorized to expend or lend from the funds appropriated such sums as the Commissioner deems appropriate to assist TennCare managed care organizations (MCO) in their operations and obtain services from contractors, consultants, and other third parties to give such assistance, such being determined by the General Assembly to be for a public purpose. The Commissioner shall provide prompt notification to the Speakers of the Senate and House of Representatives and to the Chairs of the Finance, Ways and Means Committees regarding any such expenditure or loan with complete details of the amounts and recipients involved in such transactions.

Item 7. It is the intent of the General Assembly that the Commissioner of Finance and Administration shall have the authority to promulgate, as emergency rules pursuant to Tennessee Code Annotated, Section 4-5-208, those rules and regulations which concern the Medicaid/TennCare program, including Medicare Crossover payments, and which require promulgation in order for the state to fiscally function within the appropriations provided for the Medicaid/TennCare program or within the availability of revenues received for the Medicaid/TennCare program.

Item 8. The Commissioner of Finance and Administration is authorized to impose service limitations, to reduce optional eligibility categories, mandate standardized reimbursement levels, and/or reduce, or limit, optional benefits in the TennCare Program as necessary to control program expenditures in the fiscal years ending June 30, 2025, and June 30, 2026.

Item 9. On or before July 15, 2026, and December 1, 2026, the Division of TennCare shall submit to the Office of Legislative Budget Analysis a report detailing shared savings spending for each program, including those identified on page A-35 of the 2026-2027 Budget Document.

SECTION 49. Salary Policy for State and Higher Education Employees.

Item 1. Executive Branch Employees – Salary Pool.

(a) From the appropriation made in Section 1, Title III-22, Item 4.1, TEAM Act – Performance Bonus Pool, it is the legislative intent to provide a pool of funds for salary bonuses for executive branch employees as defined in Tennessee Code Annotated, Section 8-30-102(a), effective July 1, 2026. The salary bonuses are not applicable to employees in positions which come under the provisions of a statutorily mandated pay plan; provided, however, that employees who come under the provision of a statutorily mandated plan shall be

paid in accordance with the provisions of such plan. The salary increases shall be according to the following provisions:

(1) The pool of funds shall be used to provide bonus pay based on increased performance as measured by employee reviews.

(b) From the appropriation made in Section 1, Title III-22, Item 4.2, TEAM Act – Performance Pay Pool, it is the legislative intent to provide a pool of funds for salary increases for executive branch employees as defined in Tennessee Code Annotated, Section 8-30-102(a), effective July 1, 2026. The salary increase is not applicable to employees in positions which come under the provisions of a statutorily mandated pay plan; provided, however, that employees who come under the provision of a statutorily mandated plan shall be paid in accordance with the provisions of such plan. The salary increases shall be according to the following provisions:

(1) A portion of the pool of funds shall be used to provide increased pay based on performance as measured by employee reviews.

(2) A portion of the pool of funds may be used to adjust salary ranges.

Item 2. Non-Executive Branch Employees, Other Employee Classes – Salary Increase.

(a)(1) Except as provided in sub-item (a)(2), from the appropriation made in Section 1, Title III-22, Item 4.3, Non-TEAM Act – Salary Pool, it is the legislative intent to provide funds for an across-the-board salary increase effective July 1, 2026, for employees as defined in Tennessee Code Annotated, Section 8-30-102(b). The salary increase is not applicable to employees in positions which come under the provisions of a statutorily mandated pay plan; provided, however, that employees who come under the provision of a statutorily mandated plan shall be paid in accordance with the provisions of such plan.

(2) From the appropriation made in Section 1, Title III-22, Item 4.3, Non-TEAM Act – Salary Pool, it is the legislative intent to provide funds for a salary increase effective July 1, 2026, for employees as defined in Tennessee Code Annotated, Section 8-30-102(b)(3) – (5). The amount of each employee's salary increase, if any, shall be determined by the respective appointing authority of each employee's agency. The salary increase is not applicable to employees in positions which come under the provisions of a statutorily mandated pay plan; provided, however, that employees who come under the provision of a statutorily mandated pay plan shall be paid in accordance with the provisions of such plan.

Item 3. Higher Education Employees – Salary Pool.

(a) From the appropriations made in Section 1, Title III-10, Items 2.2, 2.3, 3, and 4, it is the legislative intent to provide a pool of funds for higher education employee salary increases effective July 1, 2026, at a level determined by each governing board.

Item 4. Survey Portion of Commissioned Officer Pay Plan and Wildlife Resources Agency Pay Plan.

(a) From the appropriations made in Section 1, Title III-11, and Title III-20, it is the legislative intent to provide funding for a salary increase for the survey portion of the commissioned officer pay plan in the Department of Safety, Tennessee Law Enforcement Training Academy, and POST Commission, as referenced in Tennessee Code Annotated, Section 4-7-205, effective July 1, 2026.

(b) From the appropriations made in Section 1, Title III-6, it is the legislative intent to provide funding for a salary increase for the survey portion of the Tennessee Wildlife Resources Agency pay plan effective July 1, 2026.

SECTION 50. Education Lottery-Funded Programs.

Item 1. From the Lottery for Education Account, the After-School Programs Special Account, and other accounts and sub-accounts established pursuant to Tennessee Code Annotated, Title 4, Chapter 51, the Tennessee Education Lottery Implementation Law, sums sufficient hereby are appropriated for the higher education scholarship programs and other education programs authorized by that law and by Title 49, Chapter 4, Part 9, relative to higher education scholarships; Title 49, Chapter 6, Part 7, relative to after-school educational programs. The appropriation from these sources for after-school programs pursuant to Title 49, Chapter 6, Part 7, shall not exceed the balance available in the After-School Programs Special Account at June 30, 2026, and such balance hereby is appropriated for expenditure in the fiscal year beginning July 1, 2026; provided, that the appropriation is contingent upon the availability of funds in the proper account and upon the availability of excess funds from net lottery proceeds, after the funding of higher education scholarships. The availability of excess funds shall be determined by the Commissioner of Finance and Administration prior to the distribution of any excess funds. A copy of such determination shall be filed with the Chairs of the Education Committees of the Senate and House of Representatives and the Office of Legislative Budget Analysis.

Item 2. It is hereby the legislative intent that the scholarship and grant levels enumerated below be reconciled to conform with this act and other Public Acts of this session and any other actions which affect the scholarship and grant levels for the various scholarship and grant programs.

(a) The amounts for the Tennessee promise scholarships in the 2026-2027 academic year shall be determined pursuant to Tennessee Code Annotated, Section 49-4-708;

(b) The maximum award amounts under Tennessee Code Annotated, Title 49, Chapter 4, Part 9, in the 2026-2027 academic year shall be:

(1) Determined pursuant to Tennessee Code Annotated, Section 49-4-914 for the HOPE Scholarship and HOPE nontraditional scholarship;

(2) Determined pursuant to Tennessee Code Annotated, Section 49-4-943, for the STEP UP scholarship;

(3) For the ASPIRE need-based supplemental award pursuant to Tennessee Code Annotated, Section 49-4-915:

(A) \$750 per semester at four-year institutions;

(B) \$250 per semester at two-year institutions;

(4) \$500 per semester for the General Assembly Merit Scholar supplemental award pursuant to Tennessee Code Annotated, Section 49-4-916;

(5) Determined pursuant to Tennessee Code Annotated, Section 49-4-923 for the Tennessee Wilder-Naifeh reconnect grant;

(6) \$2,000 for the Wilder-Naifeh Technical Skills Grant pursuant to Tennessee Code Annotated, Section 49-4-921;

(7) Determined pursuant to Tennessee Code Annotated, Section 49-4-933 for the Tennessee HOPE foster child tuition grant;

(8) \$1,000 per semester for the Helping Heroes Grant pursuant to Tennessee Code Annotated, Section 49-4-938;

(9) Determined pursuant to Tennessee Code Annotated, Section 49-4-930, for the dual enrollment grant program;

(10) Determined pursuant to Tennessee Code Annotated, Section 49-4-944, for the Tennessee Reconnect grant; and

(11) Determined pursuant to Tennessee Code Annotated, Section 49-4-909, for the Tennessee Middle College scholarship.

Item 3. A sum sufficient, not to exceed the available balance in the Lottery for Education After-School Programs Grant Fund (LEAP Grant Fund), is appropriated from the fund for the purpose of awarding 3-year grants in accordance with the provisions of Tennessee Code Annotated, Title 49, Chapter 6, Part 7.

Item 4. A sum sufficient, not to exceed the available balance in the Energy Efficient Schools Council Fund, is appropriated from the fund for the purpose of the Energy Efficient Schools Initiative in accordance with the provisions of Tennessee Code Annotated, Title 49, Chapter 17.

Item 5. In any year in which the net lottery proceeds deposited into the lottery for education account are not sufficient to meet the amount appropriated for educational programs and purposes pursuant to Tennessee Code Annotated, Section 4-51-111(c), a sum sufficient is appropriated from the disbursement fund created in Tennessee Code Annotated, Section 4-49-104. Provided, further, that the amount appropriated from the disbursement account is hereby reduced in an equal amount, pursuant to Tennessee Code Annotated, Section 4-49-104(f). The provisions of this item take effect upon becoming a law, the public welfare requiring it.

SECTION 51. Health-Care Safety Net – Provisions and Appropriations from Revenues and Reserves.

Item 1. The provisions of this item take effect upon becoming a law, the public welfare requiring it.

(a) In the fiscal year ending June 30, 2026, the unexpended balances of health-care safety net appropriations, including Project Diabetes, in Chapter 530, Public Acts of 2025, Section 51, Item 1(a) and Section 1, Titles III-14, III-16, and III-21, may be carried forward and hereby are reappropriated for expenditure in the year beginning July 1, 2026, subject to approval of the Commissioner of Finance and Administration.

(b) From the health-care safety net reserves carried forward at June 30, 2026, the Commissioner of Finance and Administration is authorized to transfer funds between health-care safety net programs and to Strategic Tennessee Health-Care Programs.

Item 2. In addition to the appropriations elsewhere in this act, sums sufficient hereby are appropriated to the appropriate programs from the revenues and reserves of CoverRx, CoverKids, Project Diabetes, and health care safety net programs.

SECTION 52. Federal Homeland Security Grant Programs – Provisions.

Item 1. The departmental revenues appropriated in this act from federal Homeland Security grant programs are subject to the following provisions:

(a) The allotment of these funds is subject to approval of the Commissioner of Finance and Administration, and the distribution among state and local agencies shall be subject to approval of or under procedures of the state Homeland Security Council.

(b) The Commissioner of Finance and Administration is hereby authorized to reallocate appropriations within the affected state agencies and to reallocate homeland security appropriations among the affected agencies for the purpose of providing the required state match to these and other federal homeland security and bioterrorism grants; to adjust position authorizations among affected departments, offices, and programs for that purpose; and to adjust federal and other departmental revenue estimates accordingly. The

commissioner shall file any such reallocations or adjustments with the Fiscal Review Committee and the Office of Legislative Budget Analysis.

Item 2. There are appropriated sums sufficient to the Department of Safety, Office of Homeland Security, from federal grant funds and to other agencies of state government receiving homeland security federal grant funds.

Item 3. In the fiscal year ending June 30, 2026, the unexpended balance of the state appropriation to the Department of Safety in Chapter 530, Public Acts of 2025, Section 52, Item 3 and in Section 1, Title III-20, Item 4, may be reserved to be carried forward into the next fiscal year, and such amounts as may be carried forward hereby are appropriated. Said reserve is subject to the availability of revenue and to the approval of the Commissioner of Finance and Administration. The provisions of this item take effect upon becoming a law, the public welfare requiring it.

Item 4. In the fiscal year ending June 30, 2026, the unexpended balance of the state appropriation to the Miscellaneous Appropriations in Chapter 530, Public Acts of 2025, Section 52, Item 4, may be reserved to be carried forward into the next fiscal year, and such amounts as may be carried forward hereby are appropriated. Said reserve is subject to the availability of revenue and to the approval of the Commissioner of Finance and Administration. The provisions of this item take effect upon becoming a law, the public welfare requiring it.

SECTION 53. Federal Program Reductions. The General Assembly recognizes that reductions in federal grants-in-aid of federal programs by the United States government will require extraordinary actions by the Commissioner of Finance and Administration to manage the state budget within available resources and without detrimental effect on state finances. It is the legislative intent that the reduced programs not be maintained at their former level by substituting state funds for the reduced federal aid.

Item 1. Accordingly, the Commissioner of Finance and Administration shall reduce the federal and other departmental revenue estimates and reduce the allotment of funds in an amount equal to the revenue reductions, in accordance with Section 23, Item 1, it being the legislative intent that such withdrawal of federal aid necessitates a reduction of spending authorization in order to protect the state finances.

Item 2. The commissioner also shall reduce the number of authorized positions of each program affected by the federal aid reductions, to the extent positions were funded by the federal aid being reduced.

Item 3. State funds appropriated to match federal aid that has been reduced shall be set aside in an allotment reserve of the affected program and shall not be expended except to the extent necessary to provide for severance benefits and other actions necessary to reduce programs; provided, however, that the allotment of state funds shall be authorized to the extent necessary to fulfill state maintenance-of-effort (MOE) requirements under federal law. To the extent that state MOE requirements are reduced by the federal programs, state funds in the amount of the allowable MOE reduction also shall be reserved and not expended, except as provided above in this item. The provisions of this item shall not operate to require the reserving of state funds

that have been appropriated in excess of the previous level of required state match or MOE in order to enhance the affected joint federal-state program.

Item 4. It is the legislative intent that the state matching funds held in allotment reserve as a result of these actions revert to the appropriate fund balance at June 30, 2027, in addition to the amounts estimated in the over-appropriation in Section 43 of this act, and that such funds as may be estimated at mid-year, when the 2026-2027 Budget is transmitted, be available for the Governor's budget recommendations for the maintenance of any priority program services, if approved in the 2026 appropriations bill enacted by the General Assembly.

Item 5. The Commissioner of Finance and Administration, by December 31, 2026, shall report to the Senate and House Finance, Ways and Means committees and the directors of the Office of Legislative Budget Analysis on the reductions made by department and by state program, including the amounts of federal and other departmental revenue and allotments reduced, the matching state appropriations held in reserve and not allotted, the number of positions reduced, and a general summary of the impact on program services. After the report date, the commissioner shall provide any updated information in a fiscal year-end report encompassing the same categories of information, if the program reductions have changed from the earlier report.

SECTION 54. From the appropriations in Section 1, Title III-26 and Section ___ of this act, the following non-recurring amounts are appropriated to the TennCare Program.

Item 1.

(a) If Senate Bill No. 1939 / House Bill No. 1867, the annual coverage assessment act, becomes a law, there hereby is appropriated from the appropriations in Section 1, Title III-26 and Section ___ of this act, the sum of \$1,681,647,100 (non-recurring) to the TennCare Program, and the Commissioner of Finance and Administration is authorized to adjust federal and other departmental revenue accordingly; provided, however, that if the federal government disallows the coverage assessment as a valid source to match federal Medicaid funds, the appropriations in this Item 1(a) shall be null and void, and the appropriations in Section 1, Title III-26 and Section ___ shall be reduced accordingly. If the cited bill does not become a law, the appropriations in Section 1, Title III-26 and Section ___ of this act are hereby reduced in the amount of \$1,681,647,100

(b) There is further appropriated to the TennCare Program, in addition to the appropriation for directed hospital payments, a sum sufficient from any amount in excess of \$1,681,647,100 collected from the coverage assessment for the purpose of hospital payments for unreimbursed costs.

(c) To the extent that revenue collected from the coverage assessment is less than \$1,681,647,100, the appropriation for directed hospital payments, hereby is reduced in the amount of the under-collection.

(d) From the funds available in TennCare maintenance of coverage trust fund at June 30, 2026, there hereby is appropriated to the TennCare program a

sum sufficient for the purposes authorized in law. The Commissioner of Finance and Administration is authorized to adjust federal and other departmental revenue accordingly. The allotment of funds under this item is subject to approval of the Commissioner of Finance and Administration.

Item 2.

(a) If Senate Bill No. 2023 / House Bill No. 1864, the annual nursing home assessment fee, becomes a law, there is hereby appropriated from the appropriations in Section 1, Title III-26 and Section ___ of this act, the sum of \$184,877,200 (non-recurring) to the TennCare Program for nursing home reimbursement. Further, the Commissioner of Finance and Administration is authorized to adjust federal and other departmental revenue accordingly. If the cited bill does not become law, the appropriations in Section 1, Title III-26 and Section ___ of this act, are hereby reduced in the amount of \$184,877,200.

(b) There is further appropriated to the TennCare Program, in addition to the appropriation for nursing home reimbursement, a sum sufficient from any amount in excess of \$184,877,200 collected from the coverage assessment for the purpose of nursing home reimbursement.

(c) From the funds available in TennCare nursing home assessment trust fund at June 30, 2026, there hereby is appropriated to the TennCare program a sum sufficient for the purposes authorized in law. The Commissioner of Finance and Administration is authorized to adjust federal and other departmental revenue accordingly. The allotment of funds under this item is subject to approval of the Commissioner of Finance and Administration.

Item 3.

(a) If Senate Bill No. 2221 / House Bill No. 2097, the annual ambulance assessment fee, becomes a law, there is hereby appropriated from the appropriations in Section 1, Title III-26 and Section ___ of this act, the sum of \$10,235,400 (non-recurring) to the TennCare Program for ambulance provider reimbursement. Further, the Commissioner of Finance and Administration is authorized to adjust federal and other departmental revenue accordingly. If the cited bill does not become law, the appropriations in Section 1, Title III-26 and Section ___ of this act, are hereby reduced in the amount of \$10,235,400.

(b) There is further appropriated to the TennCare Program, in addition to the appropriation for ambulance provider reimbursement, a sum sufficient from any amount in excess of \$10,235,400 collected from the coverage assessment for the purpose of ambulance provider reimbursement.

(c) From the funds available in TennCare ambulance assessment trust fund at June 30, 2026, there hereby is appropriated to the TennCare program a sum sufficient for the purposes authorized in law. The Commissioner of Finance and Administration is authorized to adjust federal and other departmental revenue accordingly. The allotment of funds under this item is subject to approval of the Commissioner of Finance and Administration.

SECTION 55. The Tennessee Code Commission is requested to place an appropriate, permanent note following the codification of any public act which is codified and which has not received constitutionally required first year's funding through the provisions of this act.

SECTION 56. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 57. This act takes effect July 1, 2026, the public welfare requiring it; provided, however, that any provision of this act which authorizes prior or immediate expenditures and any section or item which specifies an immediate effective date takes effect upon becoming a law, the public welfare requiring it.